



Unit One

Fundamentals of Marketing

Module 1

Introduction

This chapter is divided into three sessions. The first session will deal with the definitions of marketing and marketing management; the second session will focus on core concepts of marketing and the last session will deal with the evolution of the marketing management concepts/philosophies and the marketing process.

Learning objective

After completing this unit you will be able to

- Define marketing from different perspectives
- Understand the meaning of the core concepts of marketing
- Explain the evolution of marketing management philosophies
- Differentiate marketing from selling
- Explain the marketing process

Discussion Questions

- What do you think is marketing?
- Do you understand the following marketing concepts? Needs, wants, demand, product, exchange, transaction and market.

Session 1

Reading Text

The Meaning of Marketing

The simplest definition is this one: Marketing is the delivery of customer satisfaction at a profit. The twofold goal of marketing is to attract new customers by promising superior value and to .keep current customers by delivering satisfaction. Sound marketing is critical to the success of every organization-large or small, for-profit or not-for-profit, domestic or global...



Marketing Defined

Marketing can be defined as a social and managerial process whereby individuals and groups obtain what they need and want through creating and exchanging products and value with others.

Marketing is different from selling. Selling occurs only after a product is produced. By contrast, marketing starts long before a company has a product. Marketing is the homework that managers undertake to assess needs, measure their extent and intensity, and determine whether a profitable opportunity exists. Marketing continues throughout the product's life, trying to find new customers and keep current customers by improving product appeal and performance, learning from product sales results, and managing repeat performance. If the marketer does a good job of understanding consumer needs, develops products that provide superior value, and prices, distributes, and promotes them effectively; these products will sell very easily. Thus, selling and advertising are only part of a larger “marketing mix”- a set of marketing tools that work together to affect the marketplace.

Core Concepts of Marketing

In order to explain the marketing definition, we will examine the following important terms: needs, wants, and demands; products and services; value, satisfaction, and quality; exchange, transactions, and relationships; and markets. These core marketing concepts are linked, with each concept building on the one before it.

Needs, Wants, and Demands

- **Needs:** The most basic concept underlying marketing is that of human needs. Human needs are states of felt deprivation. They include basic physical needs for food, clothing, warmth, and safety; social needs for belonging and affection; and *individual* needs for knowledge and self-expression. These needs were not invented by marketers; they are a basic part of the human makeup.
- **Wants** are the form taken by human needs as they are shaped by one's society's culture and individual personality, experience and economic background and are described in terms of objects that will satisfy needs. A hungry person in America needs food but wants a hamburger, French fries, and a soft drink. A person in Mauritius needs food but wants a



mango, rice, lentils, and beans.

- **Demand:** When backed by buying power, wants become **demands**. Consumers view products as bundles of benefits and choose products that give them the best bundle for their money. Given their wants and resources, people demand products with the benefits that add up to the most satisfaction.

Products and Services

People satisfy their needs and wants with products and services. A **product** is anything that can be offered to a market to satisfy a need or want. The concept of product is not limited to physical objects -- anything capable of satisfying a need can be called a product. In addition to tangible goods, products include services, which are activities or benefits offered for sale that are essentially intangible and do not result in the ownership of anything. Examples include banking, airline, hotel, tax preparation, and home repair services.

More broadly defined, products also include other entities such as, persons, places, organizations, information, and ideas. Consumers decide which entertainers to watch on television, which place to visit on vacation, which organization to support through contributions and which ideas to adopt. To the consumer, these are all products. If at times the term product does not seem to fit, we could substitute other, terms such as satisfier, resource, or offer.

Lecture Synopsis

- Marketing is the delivery of customer satisfaction at a profit.
- **Marketing** can be defined as a social and managerial process whereby individuals and groups obtain what they need and want through creating and exchanging products and value with others.
- Marketing is different from selling.
- Selling occurs only after a product is produced.
- **Needs** are states of felt deprivation.
- **Wants** are the form taken by human needs as they are shaped by one's society's culture and individual personality, experience and economic background and are described in terms of objects that will satisfy needs.
- When backed by buying power, wants become **demands**.
- A **product** is anything that can be offered to a market to satisfy a need or want.



Wrap – up Questions

1. Define marketing and marketing management.
2. Differentiate the core concepts of marketing such as needs, wants, demand and products

Session 2

Reading Text

Value, Satisfaction, and Quality

Consumers usually face a broad array of products and services that might satisfy a given need. How do they choose among these many products and services? Consumers make buying choices based on their perceptions of the value that various products and services deliver.

- **Customer value** is the difference between the values the customer gains from owning and using a product and the costs of obtaining the product. Customers often do not judge product values and costs accurately or objectively. They act on *perceived* value.
- **Customer satisfaction** depends on a product's perceived performance in delivering value relative to a buyer's expectations. If the product's performance falls short of the customer's expectations, the buyer is dissatisfied. If performance matches expectations, the buyer is satisfied. If performance exceeds expectations, the buyer is delighted. Outstanding marketing companies go out of their way to keep their customers satisfied. The key is to match customer expectations with company performance. Smart companies aim to *delight* customers by promising only what they can deliver, then delivering *more* than they promise.
- **Quality:** Customer satisfaction is closely linked to quality. In recent years, many companies have adopted **total quality management (TQM)** programs, designed to constantly improve the quality of their products, services, and marketing processes. Quality has a direct impact on product performance and hence on customer satisfaction.

In the narrowest sense quality can be defined as "freedom from defects." But most customer-centered companies go beyond this narrow definition of quality. Instead, they define quality in terms of customer satisfaction. So quality can be understood as fitness to use or purpose or meeting expectations. Quality begins with customer needs and ends with customer satisfaction.

Exchange, Transactions, and Relationships

- **Exchange:** Marketing occurs when people decide to satisfy needs and wants through



exchange. Exchange is the act of obtaining a desired object from someone by offering something in return. Exchange is only one of many ways that people can obtain a desired object. For example, hungry people could find food by hunting, fishing, or gathering fruit. They could beg for food or take food from someone else. Or they could offer money, another good, or a service in return for food.

People do not have to prey on others or depend on donations, nor must they possess the skills to produce every necessity for themselves. They can concentrate on making things that they are good at making and trade them for needed items made by others. Thus, exchange allows a society to produce much more than it would with any alternative system.

For exchange potential to exist, five conditions must be satisfied.

- There are at least two parties
- Each party has something that might be of value to the other party.
- Each party is capable of communication & delivery
- Each party is free to accept or reject the exchange offer.
- Each party believes it is appropriate or desirable to deal with the other party.
- **Transaction:** Whereas exchange is the core concept of marketing, a transaction, in turn, is marketing's unit of measurement. A transaction consists of a trade of values between two parties: One party gives X to another party and gets Y in return. For example, you pay Birr for a television set. This is a classic monetary transaction, but not all transactions involve money. In a barter transaction, you might trade your old refrigerator in return for a neighbor's secondhand television set.

In the broadest sense, the marketer tries to bring about a response to some offer. The response may be more than simply buying or trading goods and services. A political candidate, for instance, wants votes, a church wants membership, and a social action group wants idea acceptance. Marketing consists of actions taken to obtain a desired response from a target audience toward some product, service, idea, or other object.

- **Relationship Marketing:** Transaction marketing is part of the larger idea of relationship marketing. Beyond creating short-term transactions, marketers need to build long-term relationships with valued customers, distributors, dealers, and suppliers. They want to build strong economic and social connections by promising and consistently delivering high-quality products, good service, and fair prices.



Increasingly, marketing is shifting from trying to maximize the profit on each individual transaction to building mutually beneficial relationships with consumers and other parties. In fact, ultimately, a company wants to build a unique company asset called a *marketing network*. A marketing network consists of the company and its supporting stakeholders: customers, employees, suppliers, distributors, retailers, ad agencies, and others with whom it has built mutually profitable business relationships. Increasingly, competition is not between companies but rather between whole networks, with the prize going to the company that has built the better network. The operating principle is simple: Build a good network of relationships with key stakeholders and profits will follow.

Market, Marketing and Marketing Management

- **Market:** The concepts of exchange and relationships lead to the concept of a market. A market is the set of actual and potential buyers of a product. These buyers share a particular need or want that can be satisfied through exchanges and relationships. Thus, the size of a market depends on the number of people who exhibit the need, have resources to engage in exchange, and are willing to offer these resources in exchange for what they want.

Originally the term *market* stood for the place where buyers and sellers gathered to exchange their goods, such as a village square. Economists use the term *market* to refer to a collection of buyers and sellers who transact in a particular product class, as in the housing market or the grain market. Marketers, however, see the sellers as constituting an industry and the buyers as constituting a market. The sellers and the buyers are connected by four flows. The sellers send products, services, and communications to the market; in return, they receive money and information. The inner loop shows an exchange of money for goods; the outer loop shows an exchange of information.

- **Marketing:** - The concept of markets finally brings us full circle to the concept of marketing. Marketing means managing markets to bring about exchanges and relationships for the purpose of creating value and satisfying needs and wants. Thus, we return to our definition of marketing as a process by which individuals and groups obtain what they need and want by creating and exchanging products and value with others.

Exchange processes involve work. Sellers must search for buyers, identify their needs, design



good products and services, set prices for them, promote them, and store and deliver them. Activities such as product development, research, communication, distribution, pricing and service are core marketing activities. Although we normally think of marketing as being carried on by sellers, buyers also carry on marketing activities. Consumers do marketing when they search for the goods they can afford. Company purchasing agents do marketing when they track down sellers and bargain for good terms.

In the usual situation, marketing involves serving a market of end users in the face of competitors. The company and the competitors send their respective products and messages to consumers either directly or through marketing intermediaries to the end users. All of the actors in the system are affected by major environmental forces (demographic, economic, physical, technological, political-legal, social-cultural).

Each party in the system adds value for the next level. Thus, a company's success depends not only on its own actions but also on how well the entire system serves the needs of final consumers.

- **Marketing Management:** - We define marketing management as the analysis, planning, implementation and control of programs designed to create, build and maintain beneficial exchanges with target buyers for the purpose of achieving organizational objectives. Marketing management involves managing demand, which in turn involves managing customer relationships.

Demand Management: The organization has a desired level of demand for its products. At any point in time, there may be no demand, adequate demand, irregular demand, or too much demand, and marketing management must find ways to deal with these different demand status. Marketing management is concerned not only with finding and increasing demand, but also with changing or even reducing it (demarketing). Demarketing is marketing to reduce demand temporarily or permanently. The aim of demarketing is not to destroy demand, but only to reduce or shift it. Thus, marketing management seeks to affect the level, timing and nature of demand in a way that helps the organization achieve its objectives. Simply put, marketing management is demand management.

Managing Customer Relationship: - Managing demand means managing customers. A company's demand comes from two groups: new customers and repeat customers.



Traditional marketing theory and practice have focused on attracting new customers and making sale. Today, however, the emphasis is shifting. Beyond designing strategies to attract new customers and create transactions with them, companies now are going all out to retain current customers and build lasting customer relationships.

Lecture Synopsis

- Customer value is the difference between the values the customer gains from owning and using a product and the costs of obtaining the product.
- Customer satisfaction depends on a product's perceived performance in delivering value relative to a buyer's expectations.
 - If the product's performance falls short of the customer's expectations, the buyer is dissatisfied.
 - If performance matches expectations, the buyer is satisfied.
 - If performance exceeds expectations, the buyer is delighted.
- Quality customer satisfaction is closely linked to quality.
- Exchange is the act of obtaining a desired object from someone by offering something in return.
- A transaction consists of a trade of values between two parties: One party gives X to another party and gets Y in return.
- Transaction marketing is part of the larger idea of relationship marketing.
- The concepts of exchange and relationships lead to the concept of a market.
- A market is the set of actual and potential buyers of a product.
- Originally the term *market* stood for the place where buyers and sellers gathered to exchange their goods, such as a village square.
- Economists use the term *market* to refer to a collection of buyers and sellers who transact in a particular product class, as in the housing market or the grain market.
- Marketing Management is the analysis, planning, implementation and control of programs designed to create, build and maintain beneficial exchanges with target buyers for the purpose of achieving organizational objectives.
- Marketing management involves managing demand, which in turn involves managing customer relationships.



Wrap- up questions

- Define the marketing concepts
 - Value, Satisfaction, and Quality
 - Exchange, Transactions, and Relationships
 - Market, Marketing and Marketing Management

Session 3

Reading Text

Marketing Management Concepts/Philosophies

- **Evolution of Marketing Management Concepts/Philosophy**

We describe marketing management as carrying out tasks to achieve desired exchanges with target markets. What philosophy should guide these marketing efforts? What weight should be given to the interests of the organization, customer and society? Very often these interests conflict to each other.

There are five alternative concepts under which organizations conduct their marketing activities: the production, product, selling, marketing, and social marketing concepts.

- a. The Production Concept/philosophy**

The production concept holds that consumers will favor products that are available and highly affordable. Therefore, management should focus on improving production and distribution efficiency. This concept is one of the oldest philosophies that guide sellers.

The production concept is still a useful philosophy in two types of situations.

- The **first** occurs when the demand for a product exceed the supply. Here, management should look for ways to increase production.
- The **second** situation occurs when the product's cost is too high and improving productivity is needed to bring it down.

- b. The Product Concept/philosophy**

This assumes that consumers will favor products that offer the most in quality, performance, and innovative features. Thus, an organization should devote energy to making continuous product



improvements. Manufacturers who follow this concept believe that “if you can build a better mousetrap, preach a better sermon, write the best book, the world will make a beaten path to your door, though you build your houses in the woods”.

Product-oriented companies often design their products with little or no customer input. They trust that their engineers will know how to design or improve the product. But they are often rudely shocked. Buyers may well be looking for a better solution to a mouse problem but not necessarily for a better mousetrap. The solution might be a chemical spray, an exterminating service, or something that works better than a mousetrap. Furthermore, a better mousetrap will not sell unless the manufacturer designs, packages, and prices it attractively; places it in convenient distribution channels; brings it to the attention of people who need it; and convinces buyers that it is a better product.

c. The Selling Concept/philosophy (Mid 1930 –Mid 1950)

The Depression changed perception. The main problem no longer was to produce or grow enough, but rather to sell the output. Just offering a good product was not an assurance for market success. Managers began to realize that to sell their product in an environment where consumers had the opportunity to choose from among many alternatives required substantial promotional effort.

Many organizations follow the selling concept, which holds that consumers will not buy enough of the organization's products unless it undertakes a large-scale selling and promotion effort. The concept is typically practiced with unsought goods-those that buyers do not normally think of buying, such as encyclopedias or insurance. These industries must excel at tracking down prospects and selling them on product benefits.

Most firms practice the selling concept when they have overcapacity. Their aim is to sell what they make rather than make what the market wants. Such marketing carries high risks. It focuses on creating sales transactions rather than on building long-term, profitable relationships with customers. It assumes that customers who are coaxed into buying the product will like it. Or, if they don't like it, they will possibly forget their disappointment and buy it again later. These are usually poor assumptions to make about buyers. Most studies show that dissatisfied customers do not buy again. Worse yet, the average satisfied customer tells three others about good experiences, the average dissatisfied customer tells ten others about his or her bad experiences.



d. The Marketing Concept/philosophy (Mid-1950s-1990)

The marketing concept holds that achieving organizational goals depends on determining the needs and wants of target markets and delivering the desired satisfactions more effectively and efficiently than competitors do. The marketing concept has been stated in colorful ways, such as "We make it happen for you" (Marriott); "To fly, to serve" (British Airways); "We're not satisfied until you are" (GE); and "Let us exceed your expectations" (Celebrity Cruise Lines).

The selling concept and the marketing concept are sometimes confused. The selling concept takes an inside-out perspective. It starts with the factory, focuses on the company's existing-products, and calls for heavy selling and promotion to obtain profitable sales. It focuses primarily on customer conquest-getting short-term sales with little concern about who buys or why.

In contrast, the marketing concept takes an outside in perspective. As Herb Kelleher, Southwest Airline's colorful CEO, puts it, "We don't have a Marketing Department; we have a Customer Department" "The marketing concept starts with a well-defined market, focuses on customer needs, coordinates all the marketing activities affecting customers, and makes profits by creating long-term customer relationships based on customer value and satisfaction. Thus, under the marketing concept, customer focus and value are the paths to sales and profits. In the words of one Ford executive, "If we're not customer driven, our cars won't be either."

L.L. Bean has included the following notice: I do not consider a sale complete until goods are worn out and the customer still is satisfied. We will thank anyone to return goods that are not perfectly satisfactory Above all things we wish to avoid having a dissatisfied customer.

Today, L.L. Bean dedicates itself to giving "perfect satisfaction in every way." To inspire its employees to practice the marketing concept, L.L. Bean has for decades displayed posters around its offices that proclaim the following:

What is a customer? A customer is the most important person ever in this company - in person or by mail. A customer is not dependent on us, we are dependent on him. A customer is not an interruption of our work; he is the purpose of it. We are not doing a favor by serving him; he is doing us a favor by giving us the opportunity to do so. A customer is not someone to argue or match wits with -- nobody ever won an argument with a customer. A customer is a person who brings us his wants -- it is our job to handle them profitably to him and to



ourselves.

In contrast, many companies claim to practice the marketing concept but do not. They have the forms of marketing, such as marketing vice president, product managers, marketing plans, and marketing research, but this does not mean that they are market-focused and customer-driven companies. The question is whether they are finely tuned to changing customer needs and competitor strategies.

e. The Societal Marketing Concept/philosophy

The societal marketing concept holds that the organization should determine the needs, wants, and interests of target markets. It should then deliver superior value to customers in a way that maintains or improves the consumer's and the society's well being. The societal marketing concept is the newest of the five marketing management philosophies.

The societal marketing concept questions whether the pure marketing concept is adequate in an age of environmental problems, resource shortages, rapid population growth, worldwide economic problems, and neglected social services. It asks if the firm that senses, serves, and satisfies individual wants is always doing what's best for consumers and society in the long run. According to the societal marketing concept, the pure marketing concept overlooks possible conflicts between consumer short-run wants and consumer long-run welfare.

Consider the fast-food' industry. Most people see today's giant fast-food chains as offering tasty and convenient food at reasonable prices. Yet many consumer and environmental groups have voiced concerns. Critics point out that hamburgers, fried chicken, French fries, and most other foods sold by fast-food restaurants are high in fat and salt. The products are wrapped in convenient packaging, but this leads to waste and pollution. Thus, in satisfying consumer wants, the highly successful fast-food chains may be harming consumer health and causing environmental problems.

Such concerns and conflicts led to the societal marketing concept. The societal marketing concept calls on marketers to balance three considerations in setting their marketing policies: company profits, consumer wants, and society's interests. Originally, most companies based their marketing decisions largely on short-run company profit. Eventually, they began to recognize the long run importance of satisfying consumer wants, and the marketing concept emerged. Now many companies are beginning to think of society's interests when making their marketing



decisions.

Differences between Marketing and Selling Concepts

For most of us, we must mistakenly think that selling & marketing are synonyms. However, there is a vast difference between the two activities. The basic difference is that selling is internally focused, while marketing is externally focused.

E.g. 1. When a firm makes a product and then tries to persuade customers to buy it, that's selling. In effect, the firm attempts to alter consumer demand to fit the firm's supply of the product.

E.g. 2. When a firm finds out the customer wants and develops a product that will satisfy that need and also yield a profit, that's marketing. In marketing the company adjusts its supply to the will of consumer demand.

A selling approach may be successful for a while, but if the customer is not given priority, problems will occur. As a result despite selling many units it did not generate sufficient profits to invest in critical marketing activities –promotion, customer service, product improvements and building a strong dealer network- that would have continued to meet the needs of the market.

- Some distinction between selling and marketing are:

Selling	Marketing
• Emphasis is on the product	• Emphasis is on customer's wants.
• Company first makes the Product and then figures out how to Sell it.	• Company first determines Customers wants and then figures at How to make and deliver a product to satisfy those wants.
• Management is sales-volume oriented	• Management is profit oriented.
• Planning is short run oriented, in terms of today's products & markets.	• Planning is long-run oriented, In terms of new products, tomorrow' markets , and future growth.
• Needs of seller are stressed	• Wants of buyers are stressed.

The Marketing Process

The strategic plan defines the company's overall mission and objectives. Within each business unit, marketing plays a role in helping to accomplish the overall strategic objectives. Marketing's role and activities in the organization are summarized in the marketing process.



The marketing process is the process of analyzing marketing opportunities, selecting target markets, developing the marketing mix and managing the marketing effort. Target consumers stand in the center. The company identifies the total market, divides it into smaller segments, selects the most promising segments, and focuses on serving and satisfying these segments. It designs a marketing mix made up of factors under its control — product, price, place and promotion. To find the best marketing mix and put it into action, the company engages in marketing analysis, planning, implementation and control.

A. Marketing Strategies for Competitive Advantage

To be successful, the company must do a better job than its competitors of satisfying target consumers. Thus, marketing strategies must be geared to the needs of consumers and also to the strategies of competitors.

Designing competitive marketing strategies begins with thorough competitor analysis. The company constantly compares the value and customer satisfaction delivered by its products, prices, channels, and promotion with those of its close competitors. In this way it can discern areas of potential advantage and disadvantage.

The company asks:

- Who are our competitors?
- What are their objectives and strategies?
- What are their strengths and weaknesses?
- How will they react to different competitive strategies we might use?

The competitive marketing strategy a company adopts depends on its industry position. A firm that dominates a market can adopt one or more of several market leader strategies. Market challengers are runner-up companies that aggressively attack competitors to get more market share. For example, Pepsi challenges Coke, Komatsu challenges Caterpillar, and MSN challenges America Online.

The challenger might attack the market leader; other firms its own size, or smaller local and regional competitors.

Some runner-up firms will choose to follow rather than challenge the market leader. Firms using market follower strategies seek stable market shares and profits by following competitors'



product offers, prices, and marketing programs. Smaller firms in a market, or even larger firms that lack established positions, often adopt market niches strategies. They specialize in serving market niches that major competitors overlook or ignore. For example, Arm & Hammer has a lock on the baking soda corner of most consumer goods categories, including toothpaste, deodorizers, and others. Oshkosh Truck has found its niche as the world's largest producer of airport rescue trucks and front-loading concrete mixers. "Nichers" avoid direct confrontations with the majors by specializing along market, customer, product, or marketing mix lines. Through smart niching, smaller firms in an industry can be as profitable as their larger competitors.

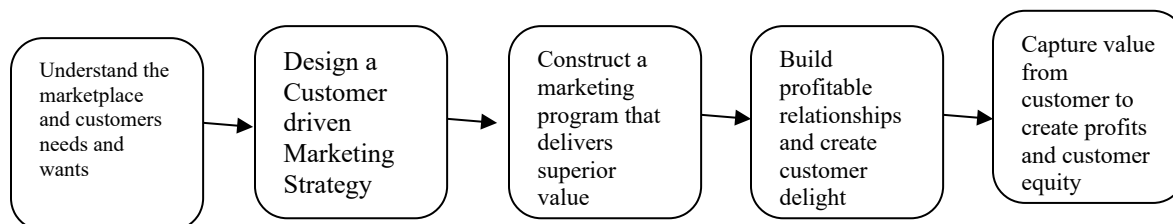
B. Developing the Marketing Mix

Once the company has decided on its overall competitive marketing strategy, it is ready to begin planning the details of the marketing mix. The Marketing mix is the set of controllable, tactical marketing tools that the firm blends to produce the response it wants in the target market. The marketing mix consists of everything the firm can do to influence the demand for its product. The many possibilities can be collected into four groups of variables known as the “four Ps”; product, price, place and promotion.

C. Managing the Marketing Effort

The company wants to design and put into action the marketing mix that will best achieve its objectives in its target markets. The company first develops overall strategic plans, then translate these companywide strategic plans into marketing and other plans for each division, product and brand. Through implementation, the company turns the plans into actions. Control consists of measuring and evaluating the results of marketing activities and taking corrective action where needed. Finally, marketing analysis provides information and evaluations needed for all of the other marketing activities.

A Simple Model of the Marketing Process



Lecture Synopsis



- There are five alternative concepts under which organizations conduct their marketing activities.
- The production concept is one of the oldest concepts in business. Holds that consumers will favor these products that are widely available and low in cost. Its objective is achieving high production efficiency and wide distribution.
- The product concept holds that consumers will favor those products that offer the most quality, performance or innovative features. It focuses on making superior products and improving them over time.
- Along with responsibilities came expectations for performance. Unfortunately, overly aggressive selling – the “**hard sell**” – and unscrupulous tactics also evolved during this period.
- In the marketing orientation stage companies **identify what a customer’s** want and tailor all of the activities of the firm to satisfy those needs as efficiently and effectively as possible.
- A firm that sufficiently extends the breadth and time dimensions of its marketing goals to fulfill social responsibility are practicing what has become known as the societal marketing concept.
- Extending the time dimension of its marketing goals means that a firm should take a long-term view of customer satisfaction and performance objectives, rather than concentrating only on tomorrow.
- For a company to prosper in the long run, it must satisfy its customer’s social needs as well as their economic needs.

Wrap- up Questions

- Differentiate the marketing management concepts/philosophies
- Differentiate selling from marketing



Unit Two

The Marketing Environment

Module 2

Introduction

Environmental forces influence organization marketing. Some of these forces are external to the firm, while others come from within. There isn't much that management can do about controlling the external forces, but it generally can control the internal ones.

This chapter will discuss the marketing environment and the elements of the marketing environment. The chapter is divided into three sessions. Session 1 will focus on the meaning of the marketing environment, the elements of the macro environment and session 2 will focus on the microenvironment and internal environment of the marketing function.

Learning Objectives

After reading this chapter, you should be able to:

- describe the environmental forces that affect the company's ability to serve its customers
- explain how changes in the demographic and economic environments affect marketing decisions
- identify the major trends in the firm's natural and technological environments.
- Explain the key changes in the political and cultural environments.
- Discuss how companies can react to the marketing environment.

Discussion Questions

- What do you think is a marketing environment?
- How do you differentiate the marketing environment from the physical environment?

Session 4

Reading Text

The Meaning of Marketing Environment

Managing the marketing function would be hard enough if the marketer had to deal only with the



controllable marketing mix variables. But the company operates in a complex marketing environment, consisting of uncontrollable forces to which the company must adapt. The environment produces both threats and opportunities. The company must carefully analyze its environment so that it can avoid the threats and take advantage of the opportunities.

The company's marketing environment includes forces close to the company that affect its ability to serve consumers, such as other company departments, channel members, suppliers, competitors, and publics. It also includes broader demographic and economic forces, political and legal forces, technological and ecological forces, and social and cultural forces.

As we enter the new millennium, both consumers and marketers wonder what the future will bring. The environment continues to change at a rapid pace. For example, think about how you buy groceries today. How will your grocery buying change during the next few decades? What challenges will these changes present for marketers? Here's what two leading futurists envision for the year 2025.

We won't be shopping in 21-aisle supermarkets in 2025, predicts Gary Wright, corporate demographer for Procter & Gamble in Cincinnati. The growth of e-commerce and the rapid speed of the Internet will lead to online ordering of lower priced, nonperishable products—everything from peanut butter to coffee filters. Retailers will become "bundlers," combining these orders into large packages of goods for each household and delivering them efficiently to their doorsteps. As a result, we'll see mergers between retailing and home-delivery giants—think Wal-Mart Express, a powerful combo of Wal-Mart and Federal Express. Consumers won't waste precious time searching for the best-priced bundle. Online information agents will do it for them, comparing prices among competitors.

Smart information agents also play a role in the world imagined by Ryan Mathews, futurist at First Matter LLC in Detroit. By 2025, computers will essentially be as smart as humans, he contends, and consumers will use them to exchange information with on-screen electronic agents that ferret out the best deals online. Thanks to embedded-chip technology in the pantry, products on a CHR (continuous household replenishment) list—like paper towels and pet food—will sense when they're running low and reorder themselves automatically. If the information agent finds a comparable but cheaper substitute for a CHR product, the item will be switched instantly.



Such pictures of the future give marketers plenty to think about. A company's marketers take the major responsibility for identifying and predicting significant changes in the environment. More than any other group in the company, marketers must be the trend trackers and opportunity seekers. Although manager in an organization needs to observe the outside environment, marketers have two special aptitudes” They have disciplined methods-marketing intelligence and marketing research-for collecting information about the marketing environment-They also spend more time in the customer and competitor environment. By conducting systematic environmental scanning, marketers are able to revise and adapt marketing strategies to meet new challenges and opportunities in the market place.

The marketing environment is made up of a microenvironment and a macro environment. The microenvironment consists of the forces close to the company that affect its ability to serve its customers-the company, suppliers, marketing channel firms, customer markets, competitors, and publics. The macro environment consists of the larger society forces that affect the microenvironment-demographic, economic, natural, technological, political, and cultural forces. We look first at the company's microenvironment.

2.2. External Environment – The General Environment

The company and all of the other actors operate in a larger macro environment. They are forces that shape opportunities and process threats to the company. They are the set of uncontrollable forces by the marketing department. They are common to all companies. They affect the company in two different ways:

- a. By creating the environment within which companies exist, and
- b. By creating the direct forces that affect the marketing function directly.

In the remaining sections of this chapter, we examine these forces and show how they affect marketing functions.

A. The Demographic Environment

Demography is the study of human populations in terms of size, density, location, age, gender, race, occupation, and other statistics. The demographic environment is of major interest to marketers because it involves people, and people make up markets.

The world population is growing at an explosive rate. It now totals more than 6 billion and will



exceed 7.9 billion by the year 2025. The explosive world population growth has major implications for business. **A growing population means growing human needs to satisfy. Depending on purchasing power, it may also mean growing market opportunities.** For example, to curb its skyrocketing population, the Chinese government has passed regulations limiting families to one child each. As a result, Chinese children are spoiled and fussed over as never before. Known in China as "little emperors," Chinese children are being showered with everything from candy to computers as a result of what's known as the "six-pocket syndrome." As many as six adults-including parents and two sets of doting grandparents-may be indulging the whims of each child. Parents in the average Beijing household now spend about 40 percent of their income on their cherished only child. This trend has encouraged toy companies such as Japan's Bandai Company (known for its Mighty Morphin Power Rangers), Denmark's Lego Group, and Mattel to enter the Chinese market.

The world's large and highly diverse population poses both opportunities and challenges. Thus, marketers keep close track of demographic trends and developments in their markets, both at home and abroad. They track changing age and family structures, geographic population shifts, educational

Many large companies, ranging from large retailers such as Sears and Wal-Mart to consumer products companies such as Levi-Strauss and Procter & Gamble, now target specially designed products and promotions to one or more of these groups. Miller beer, for example, created television ads for -the Hispanic market shown exclusively on Spanish-speaking channels. Even within the Hispanic market, however, different consumers have diverse interests and beliefs depending on country of origin, length of time in the United States, geographic placement, and other factors. Thus, although Miller employs the same visual elements across the country, it alters background music and voice-overs to reflect differences between, for example, Cubans in New York City and Mexican Americans in Los Angeles.

Diversity goes beyond ethnic heritage. For example, there are more than 52 million disabled people in the United States-a market larger than African Americans or Hispanics-representing almost \$800 million in annual spending power. People with mobility challenges are an ideal target market for companies such as Peapod (wwwv.pe.pod.com), which teams up with large supermarket chains in many heavily populated areas to offer online grocery shopping and home



delivery. They also represent a growing market for travel, sports, and other leisure-oriented products and services.

b. Economic Environment

Markets require buying power as well as people. The economic environment consists of factors that affect consumer purchasing power and spending patterns. Nations vary greatly in their levels and distribution of income. Some countries have subsistence economies-they consume most of their own agricultural and industrial output. These countries offer few market opportunities. At the other extreme are industrial economies, which constitute rich markets for many different kinds of goods. Marketers must pay close attention to major trends and consumer spending patterns both across and within their world markets. Following are some of the major economic factors/variables that affect the marketers' ability to achieve its objectives.

- Changes in Income
- Change in the cost of living.
- Change in interest rates,
- Change in savings and borrowing patterns
- Savings and investment policies
- Employment rate
- Balance of payment and etc

Companies watch these variables by using economic forecasting. Businesses do not have to be wiped out by an economic downturn or caught short in a boom. With adequate warning, they can take advantage of changes in the economic environment.

C. Natural Environment

The natural environment involves the natural resources that are needed as inputs by marketers or that are affected by marketing activities. Environmental concerns have grown steadily during the past three decades.

Marketers should be aware of several trends in the natural environment.

1st. Growing shortages of raw materials. Air and water may seem to be infinite resources, but some groups see long-run dangers. Air pollution chokes many of the world's large cities and water shortages are already a big problem in some parts of the United States and the world.



Renewable resources, such as forests and food, also have to be used wisely. Nonrenewable resources, such as oil, coal, and various minerals, pose a serious problem. Firms making products that require these scarce resources face large cost increases, even if the materials do remain available.

2nd. Increased pollution. Industry will almost always damage the quality of the natural environment. Consider the disposal of chemical and nuclear wastes; the dangerous mercury levels in the ocean; the quantity of chemical pollutants in the soil and food supply; and the littering of the environment with non-biodegradable bottles, plastics, and other packaging materials.

3rd. Increased government intervention in natural resource management. The governments of different countries vary in their concern and efforts to promote a clean environment. Some, like the German government, vigorously pursue environmental quality. Others, especially many poorer nations, do little about pollution, largely because they lack the needed funds or political will. Even the richer nations lack the vast funds and political accord needed to mount a worldwide environmental effort. The general hope is that companies around the world will accept more social responsibility, and that less expensive devices can be found to control and reduce pollution.

In the United States, the Environmental Protection Agency (EPA) was created in 1970 to set and enforce pollution standards and to conduct pollution research. In the future, companies doing business in the United States can expect strong controls from government and pressure groups. Instead of opposing regulation, marketers should help develop solutions to the material and energy problems facing the world.

Concern for the natural environment has spawned the so-called green movement. Today, enlightened companies go beyond what government regulations dictate. They are developing environmentally sustainable strategies and practices in an effort to create a world economy that the planet can support indefinitely. They are responding to consumer demands with ecologically safer products, recyclable or biodegradable packaging, better pollution controls, and more energy-efficient operations. 3M runs a Pollution Prevention Pays program that has led to a substantial reduction in pollution and costs. AT&T uses a special software package to choose the



least harmful materials, cut hazardous waste, reduce energy use, and improve product recycling in its operations. McDonald's eliminated polystyrene cartons and now uses smaller, recyclable paper wrappings and napkins. IBM's AS/400e series of midrange business computers is more energy efficient, contains recycled content, and is designed to be disassembled for recycling. Dixon-Ticonderoga, the folks who developed the first pencil made in the United States, developed Prang crayons made from soybeans rather than paraffin wax, a by-product of oil drilling. Soybeans are a renewable resource and produce brighter, richer colors and a smoother texture. More and more, companies are recognizing the link between a healthy economy and a healthy ecology:

D. Technological Environment

The technological environment is perhaps the most dramatic force now shaping our destiny. Technology has released such wonders as antibiotics, organ transplants, notebook computers, and the Internet. It also has released such horrors as nuclear missiles, chemical weapons, and assault rifles. It has released such mixed blessings as the automobile, television, and credit cards. Our attitude toward technology depends on whether we are more impressed with its wonders or its blunders.

The technological environment changes rapidly. Think of all of today's common products that were not available 100 years ago, or even 30 years ago. Abraham Lincoln did not know about automobiles, airplanes, radios, or the electric light. Woodrow Wilson did not know about television, aerosol cans, automatic dishwashers, room air conditioners, antibiotics, or computers. Franklin Delano Roosevelt did not know about xerography, synthetic detergents, tape recorders, birth control pills, or earth satellites. John F. Kennedy did not know about personal computers, compact disk players, VCRs, or the World Wide Web.

New technologies create new markets and opportunities. However, every new technology replaces an older technology. Transistors hurt the vacuum-tube industry, xerography hurt the carbon-paper business, the auto hurt the railroads, and compact disks hurt phonograph records. When old industries fought or ignored new technologies, their businesses declined. Thus, marketers should watch the technological environment closely. Companies that do not keep up with technological change soon will find their products outdated. They will miss new product and market opportunities.



Scientists today are researching a wide range of promising new products and services, ranging from practical solar energy, electric cars, and cancer cures to voice controlled computers and genetically engineered food crops. Today's research usually is carried out by research teams rather than by lone inventors like Thomas Edison, Samuel Morse, or Alexander Graham Bell. Many companies are adding marketing people to R&D teams to try to obtain a stronger marketing orientation. Scientists also speculate on fantasy products, such as flying cars, three-dimensional televisions, and space colonies. The "Challenge in each case is not only technical but also commercial-to make practical, affordable versions of these products.

As products and technology become more complex, the public needs to know that these are safe. Thus, government agencies investigate and ban potentially unsafe products. In the United States, the Federal Food and Drug Administration has set up complex regulations for testing new drugs. The Consumer Product Safety Commission sets safety standards for consumer products and penalizes companies that fail to meet them. Such regulations have resulted in much higher research costs and in longer times between new-product ideas and their introduction. Marketers should be aware of these regulations when applying new technologies and developing new products.

E. Legal/Political Environment

Marketing decisions are strongly affected by developments in the political environment. The political environment consists of laws, government agencies, and pressure groups that influence and limit various organizations and individuals in a given society. The existence of party competition, civil war or peace etc also affect the marketers' ability to achieve its objectives.

F. Social/Cultural Environment

The **cultural environment** is made up of institutions and other forces that affect a society's basic values, perceptions, preferences, and behaviors. People grow up in a particular society that shapes their basic beliefs and values. They absorb a world view that defines their relationships with others. The following cultural characteristics can affect marketing decision making.

- **Persistence of Cultural Values**

People in a given society hold many beliefs and values. Their core beliefs and values have a high degree of persistence. For example, most Americans believe in working, getting married, giving



to charity, and being honest. These beliefs shape more specific attitudes and behaviors found in everyday life. Core beliefs and values are passed on from parents to children and are reinforced by schools, churches, business, and government.

Secondary beliefs and values are more open to change. Believing in marriage is a core belief; believing that people should get married early in life is a secondary belief. Marketers have some chance of changing secondary values, but little chance of changing core values. For example, family-planning marketers could argue more effectively that people should get married later than that they should not get married at all.

- **Shifts in Secondary Cultural Values**

Although core values are fairly persistent, cultural swings do take place. Consider the impact of popular music groups, movie personalities, and other celebrities on young people's hairstyling, clothing, and sexual norms. Marketers want to predict cultural shifts in order to spot new opportunities or threats. Several firms offer "futures" forecasts in this connection. For instance, the percentage of people who value physical fitness and well-being has risen steadily over the years. Such information helps marketers cater to trends with appropriate products and communication appeals.

The major cultural values of a society are expressed in people's views of themselves and others, as well as in their views of organizations, society, nature, and the universe.

- **People's Views of Themselves.** People vary in their emphasis on serving themselves versus serving others. Some people seek personal pleasure, wanting fun, change, and escape. Others seek self-realization through religion and recreation.

G. International/Global environment

This represents the forces stated above at the international or global level.

Lecture Synopsis

- Successful marketing depends largely on a company's ability to manage its marketing programs within its environment.
- Environmental monitoring also called environmental scanning is deemed necessary. Environmental monitoring is the process of:
 1. Gathering information regarding a company's external environment.



2. Analyzing it, and
 3. Forecasting the impact of whatever trends the analysis suggests.
- Environmental forces influence organization marketing
 - Marketing Environment is divided in to two parts:-
 1. External Environment and
 2. Internal Environment.
 - There isn't much that management can do about controlling the external forces, but it generally can control the internal ones.
 - **External macro environment** (so called because they affect all firms) includes demographics, economic conditions, culture, and laws.
 - Elements of the Macro Marketing Environment
 - Demographic Environment
 - Legal/political Environment
 - Cultural Environment
 - Economic Environment
 - Natural Environment
 - Technological Environment

Wrap-up discussion questions/ activities (10 min)

- Define the marketing environment
- Discuss the elements of the marketing macro environment

Session 5

Reading Text

The Company's Microenvironment

Marketing management's job is to attract and build relationships with customers by creating customer value and satisfaction. However, marketing managers cannot accomplish this task alone. Their success will depend on other actors in the company's microenvironment-other company departments, suppliers, marketing intermediaries, customers, competitors, and various publics, which combine to make up the company's value delivery system.

a. The Company



In designing marketing plans, marketing management takes other company groups into account-groups such as top management, finance, research and development (R&D), purchasing, manufacturing, and accounting. All these interrelated groups form the internal environment. Top management sets the company's mission, objectives, broad strategies, and policies. Marketing managers make decisions within the plans made by top management, and marketing plans must be approved by top management before they can be implemented.

Marketing managers must also work closely with other company departments. Finance is concerned with finding-and using funds to carry out the marketing plan. The R&D department focuses on designing safe and attractive products. Purchasing worries about getting supplies and materials, whereas manufacturing is responsible for producing the desired quality and quantity of products. Accounting has to measure revenues and costs to help marketing know how well it is achieving its objectives. Together, all of these departments have an impact on the marketing department's plans and actions. Under the marketing concept, all of these functions must "think consumer:" They should work in harmony to provide superior customer value and satisfaction.

Share holders and Boards of Directors

The governing structure of large public corporations gives shareholders the opportunity to influence a company by exercising voting rights. Traditionally, shareholders have been interested primarily in the return on their investment and have left the actual operation of the organization to its managers. In recent years, however, certain groups of social activities have begun purchasing small quantities of stock for the purpose of forcing votes on controversial issues at annual corporate meetings.

Management is responsible for the organization as a whole, a responsibility that often requires dealing with multiple stakeholders and balancing conflicting claims. For example, shareholders want larger returns, employees want higher wages and better benefits; local communities want parks and day – care facilities. Therefore management must keep the relationships among key stakeholders in balance in order to ensure the survival of the organization both in the short and long – term.

b. Suppliers

Suppliers are an important link in the company's overall customer value delivery system. They provide the resources needed by the company to produce its goods and services. Supplier



problems can seriously affect marketing. Marketing managers must watch supply availability- supply, shortages or delays, labor -strikes, and other events can cost sales, in the short run" and damage customer satisfaction in the long run. Marketing" managers" also 'monitor the price trends of their key inputs. Rising supply cost may force price increase that can harm the company's sales volume.

c. Marketing Intermediaries

Marketing intermediaries help the company to promote, sell, and distribute its goods to final buyers. They include resellers, physical distribution firms, marketing services agencies, and financial intermediaries. Resellers are distribution channel firms that help the company find customers or make sales to them. These include wholesalers and retailers, who buy and resell merchandise. Selecting and working with resellers is not easy. No longer do manufacturers have many small, independent resellers from which to choose. They now face large and growing reseller organizations. These organizations frequency have enough power to dictate terms or even shut the manufacturer out of large markets.

Physical distribution firms help the company to stock and move goods from their points of origin to their destinations. Working with warehouse and transportation firm, a company must determine the best ways to store and ship goods, balancing factors such as cost, delivery, speed, and safety. Marketing services agencies are the marketing research firms, advertising agencies, media firms, and marketing consulting firms that help the company target and promote its products to the right markets. When the company decides to use one of these agencies, it must choose carefully because these firms vary in creativity, quality, service, and price. Financial intermediaries include banks, credit companies, insurance companies, and other's businesses that help finance transactions or insure against the risks associated with the buying and selling of goods. Most firms and customers depend on financial intermediaries to finance their transactions.

Like suppliers, marketing intermediaries form an important component of the company's overall value delivery system. In its quest to create satisfying customer relationships, the company must do more than just optimize its own performance. It must partner effectively with marketing intermediaries to optimize the performance of the entire system.

Thus, today's marketers recognize the importance of working with their intermediaries as partners rather than simply as channels through which they sell their products. For example,



Coca-Cola recently signed a 10-year deal with Wendy's that will make Coke the exclusive soft drink provider to the fast-food chain, picking up more than 700 Wendy's franchises that were previously served by Pepsi. In the deal, Coca-Cola promised Wendy's much more than just its soft drinks. It pledged the powerful marketing support that comes along with an exclusive partnership with Coke.

d. Customers

The company needs to study its customer markets closely. There are five types of customer markets: Consumer, Business, Reseller, Government and International Markets.

- **Consumer markets** consist of individuals and households that buy goods and services for personal consumption.
- **Business markets** buy goods and service for further processing or for use in their production process
- **Reseller markets** buy goods and services to resell at a profit.
- **Government markets** are made up of government agencies that buy goods and services to produce public services or transfer the goods and services to others who need them.
- Finally, **international markets** consist of these buyers in other countries, including consumers, producers, resellers, and governments. Each market type has special characteristics that call for careful study by the seller.

e. Competitors

The marketing concept states that to be successful, a company must provide greater customer value and satisfaction than its competitors do. Thus, marketers must do more than simply adapt to the needs of target consumers. They also must gain strategic advantage by positioning their offerings strongly against competitors' offerings in the minds of consumers.

No single competitive marketing strategy is best for all companies. Each firm should consider its own size and industry position compared to those of its competitors. Large firms with dominant positions in an industry can use certain strategies that smaller firms cannot afford. But being large is not enough. There are winning strategies for large firms, but there are also losing ones. Small firms can develop strategies that give them better rates of return than large firms enjoy.

f. Publics

The company's marketing environment also includes various publics. A public is any group that



has an actual or potential interest in or impact on an organization's ability to achieve its objectives.

- **Financial publics** influence the company's ability to obtain funds. Banks, investment houses, and stockholders are the major financial publics.
- **Media publics** carry news, features, and editorial opinion. They include newspapers, magazines, and radio and television stations.
- **Government publics:** Management must take government developments into account. Marketers must often consult the company's lawyers on issues of product safety, truth in advertising, and other matters.
- **Citizen action publics:** A company's marketing decisions may be questioned by consumer organizations, environmental groups, minority groups, and others. Its public relations department can help it stay in touch with consumer and citizen groups.
- **Local publics** include neighborhood residents and community organizations. Large companies usually appoint a community relations officer to deal with the community, attend meetings, answer questions, and contribute to worthwhile causes.
- **General public:** A company needs to be concerned about the general public's attitude toward its products and activities. The public's image of the company affects its buying.
- **Internal publics** include workers, managers, volunteers, and the board of directors. Large companies use newsletters and other means to inform and motivate their internal publics. When employees feel good about their company, this positive attitude spills over to external publics.

A company can prepare marketing plans for these major publics as well as for its customer markets. Suppose the company wants a specific response from a particular public, such as goodwill, favorable word of mouth, or donations of time or money. The company would have to design an offer to this public that is attractive enough to produce the desired response.

g. The Media

In today's business, nothing remains secret or hidden from the media. Everything that the business does is known and exposed by the media. The media has the power to expose these activities of the company to the public or customers. This will affect the company positively or negatively depending on the nature of the activity of the business.

h. Financial Institutions



Finance is the lifeblood of every business. As such the financial problems of the marketers are solved by the acts of the financial institutions. The availability of finance for loan, its interest rates, collateral required, etc. can be considered.

i. Special Interest groups

These include the different groups that promote the interest of certain groups. The interests of the groups such as: those who protect the wild life, who animals, the disabled, or any disadvantaged groups in a society.

j. Government

The different government agencies that promote or restrict the marketer's activities can be considered here. These government agencies include such agencies as:

- Revenues authority
- Customs authority
- Trade and tourism bureau
- etc

Internal Environment

Strictly speaking, internal stakeholders are not part of the organization's environment; they are part of the environment for which an individual marketing manager is responsible. They are groups or individuals, such as employees, which are not strictly part of an organization's environment but for whom an individual manager remains responsible.

• Employees

The nature of the work force is changing in most organizations, in part because of demographic factors. The skills needed by employees are also changing. The relationship between employees and employers should not be a master and servant relationship; rather it must be a partnership relation. The organization survives because employees have contributed their skills and abilities towards the success of the organization. In the other hand it is the employer who has sacrificed its capital and creates an organization and job opportunities to the employees.

The Marketing Manager

The marketing manager's vision innovativeness and strategy determines the success of an organization. Visionary and innovative managers are looking for new and better things in their day to day activities. This is important in a competitive environment of today.

The Position of the Marketing Department in the Organization



Organization structure is designed in such a way that the different activities of the organization are given a due attention. The more important the activity is, the higher position of that activity in the hierarchy of the organization. The higher the position the more influential it becomes in strategy and policy issues in the company. Therefore, the position of the marketing department in the organization structure determines the role of the department in the success of the marketing activity. Marketing Strategies, Goals and Objectives also affect the

Synopsis of lecture

- **External micro environment** (so called because they affect a particular firm) consists of suppliers, marketing intermediaries, and customers.
- The Micro Marketing Environment
- Elements of the Micro Marketing Environment
 - The Company
 - Suppliers Environment
 - Competitors Environment
 - Customers Environment
 - Marketing Environment
 - Public
- Internal forces that are controllable also shape an organization's marketing system by management.
- These internal influences include a firm's production, financial, and personal activities.
- Other non-marketing forces are the company's location, its research and development (R&D) strength, and the overall image the firm projects to the public.

Discussion questions/ activities

- Define the microenvironment.
- Discuss the elements of marketing environment.
- Discuss the elements of the internal environment.



Unit Three

Strategic Marketing Planning

Module 3

Introduction

The management process as applied to marketing consists basically of: Planning a marketing program, implementation and evaluating its performance.

Planning is about setting a predetermined goal. It is deciding now what to do later, including how and when we are going to do it. Without a plan, we cannot get things done effectively and efficiently, because we don't know what needs to be done or how to do it.

In strategic planning, managers match an organizations resource with its market opportunities over the long run. Market and economic conditions during the past two decades prompted many companies to consider more formally and more frequently how best to match their opportunities and their resources.

Learning Objectives

After studying this unit, you will be able to explain;

- the nature and scope of planning and how it fits within the management process
- the steps involved in strategic planning
- similarities and differences among mission, objectives, strategies and tactics, and
- the purpose and contents of annual marketing plan.

Discussion Questions

- Discuss about strategic planning as applied in marketing.
- Discuss the process of strategic marketing planning
- Discuss the possible marketing strategies
- Discuss the basic concepts in strategic planning

Session 6



Reading Text

The Meaning of Strategic Marketing Planning

Many companies operate without formal plans. In new companies, managers are sometimes so busy they have no time for planning. In small companies, managers sometimes think that only large corporations need formal planning. In mature companies, many managers argue that they have done well without formal planning and that therefore it cannot be too important. They may resist taking the time to prepare a written plan. They may argue that the marketplace changes too quickly for a plan to be useful, that it would end up collecting dust.

Granted, planning is not much fun, and it takes time away from doing. Yet companies must plan. As someone said, **"If you fail to plan, you are planning to fail."** Formal planning can yield many benefits for all types of companies, large and small, new and mature.

The process of planning may be as important as the plans that emerge; planning encourages management to think systematically about what has happened, what is happening, and what might happen. It forces the company to sharpen its objectives and policies, leads to better coordination of company efforts, and Provides clearer performance standards for control.

The argument that planning is less useful in a fast-changing environment makes little sense. In fact, the opposite is true: Sound planning helps the company to anticipate and respond quickly to changes, and to prepare better for sudden developments. Thus planning turns out to be an essential part of good management.

Companies usually prepare annual plans, long-range plans, and strategic plans. The annual and long-range plans deal with the company's current businesses and how to keep them going. The strategic plan involves adapting the firm to take advantage of opportunities in its constantly changing environment.

We define **strategic planning** as the process of developing and maintaining a strategic fit between the organization's goals and capabilities and its changing marketing opportunities.

Strategic planning sets the stage for the rest of the planning in the firm. It relies on defining a clear company mission, setting supporting company objectives, designing a sound business portfolio, and Coordinating functional strategies.



At the corporate level, the company first defines its overall purpose and mission. This mission then is turned into detailed supporting objectives that guide the whole company. Next, headquarters decides what portfolio of businesses and products is best for the company and how much support to give each one. In turn, each business and product unit must develop detailed marketing and other departmental plans that support the companywide plan. Thus, marketing planning occurs at the business unit, product, and market levels. It supports company strategic planning with more detailed planning for specific marketing opportunities.

Key Planning Concepts

a. Mission

An organization mission is actually the broadest and highest level of objectives. It defines the basic purpose or purposes of the organization or outlines why the organization exists. It is determined by its customers, customer satisfaction defines organizational purpose or mission more than does the organization's name, status or articles of incorporation. Mission of an organization is defined through mission statement.

“**A mission statement** is a statement of the organization's purpose-what it wants to accomplish in the larger environment. A clear mission statement acts as an "invisible hand" that guides people in the organization.”

Traditionally companies have defined their businesses in product terms ("We manufacture furniture") or in technological terms ("We are a chemical-processing firm"). Today companies define their mission in terms of customers.

Characteristics of a good Mission

1. **Mission statements should be market oriented:** Products and technologies eventually become outdated, but basic market needs may last forever. A market-oriented mission statement defines the business in terms of satisfying basic customer needs.
2. **Mission should not be too narrow or too broad.** A pencil manufacturer that says it is in the communication equipment business is stating its mission too broadly.
3. **Missions should be realistic.** Singapore Airlines would be deluding itself if it adopted the mission to become the world's largest airline.
4. **Missions should be specific.** Many mission statements are written for public relations purposes and lack specific, workable guidelines. The statement "We want to become the leading



company in this industry by producing the highest-quality products with the best service at the lowest prices" sounds good, but it is full of generalities and contradictions.

“ Celestial Seasonings' mission statement is very specific: "Our mission is to grow and dominate the U.S. specialty tea market by exceeding consumer expectations with: The best tasting, 100 percent natural hot and iced teas, packaged with Celestial art and philosophy, creating the most valued tea experience"

5. Missions should fit the market environment. The Girl Scouts of America would not recruit successfully in today's environment with their former mission: "to prepare young girls for motherhood and wifely duties." The organization should base its mission on its distinctive competencies. McDonald's could probably enter the solar energy business, but that would not take advantage of its core competence-providing low-cost food and fast service to large groups of customers.

6. Finally, mission statements should be motivating. A company's mission should not be stated as making more sales or profits-profits are only a reward for undertaking a useful activity. A company's employees need to feel that their work is significant and that it contributes to people's lives.

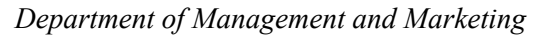
Contrast the missions of IBM and Microsoft.

- i. When IBM sales were \$50 billion, then-President John Akers said that IBM's mission was to become a \$100 billion company by the end of the century.
- ii. Microsoft's long-term mission has been IAYF-"information at your fingertips"-to put information at the fingertips of every person. Microsoft's mission is much more motivating than is IBM's.

One study found that "visionary companies" set a purpose beyond making money. For example, Walt Disney Company's aim is "making people happy." But even though profits may not be part of these companies' mission statements, they are the inevitable result.

b. Objective & Goals

Goals are defined as future states or conditions that contribute to the fulfillment of organization's mission. They are more concrete and specific than mission. They are statements outlining what the organization is trying to achieve, they give an organization and its member's direction and purpose.



Types of too general (weak) goals/objectives

- For example: Direct our promotion in males, ages 25-40

To be effective, a tactic must coincide with and support the strategy with which it is related. The concepts of mission, objectives, strategies, and tactics each raise and impart question that must be answered by an organization seeking success in business or, more specifically, in marketing.

- ## Strategic planning process

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Feedback &
control

1. Defining the Company's Business Mission

An organization exists to accomplish something- its mission. The organization's mission states what customers it serves, what need it satisfies, and what types of products it offers. At first, every company has a clear purpose or mission, but overtime this mission may become unclear as the organization grows, adds new products and markets, or faces new conditions in the environment. When management senses that the organization is drifting, it must renew its search for purpose. It is time to ask: What is our business? Who is the customer? What do consumers value? What should our business be?

These simple sounding questions are among the most difficult the company will ever have to answer. Successful companies continuously raise these questions and answer them carefully and completely. Many organizations develop formal mission statements that answer these questions.

One study found that "visionary companies" set a purpose beyond making money. For example, Walt Disney Company's aim is "making people happy." But even though profits may not be part of these companies' mission statements, they are the inevitable result.

2. Setting Company Objectives and Goals

The overall evaluation of a company's strengths, weakness, opportunities and threats is called SWOT analysis. Once the company has performed its SWOT analysis, it can proceed to develop specific goals for the planning period. This stage of the business strategic planning process is called goal formulation. The company's mission needs to be turned into detailed supporting objectives for each level of management. Each manager should have objectives and be responsible for reaching them. An objective is simply a desired outcome. Effective planning must begin with a set of objectives that are to be achieved by carrying out plans.

Other important trade off includes short-term profit verses long-term growth, deep penetration of existing markets versus developing new markets, profit goals versus non-profit goals and high growth versus low risk. Each choice in this set of goals trade off calls for a different marketing strategy.



3. Designing the Business Portfolio

Guided by the company's mission statement and objectives, management now must plan its business portfolio-the collection of businesses and products that make up the company. The best business portfolio is the one that best fits the company's strengths and weaknesses to opportunities in the environment. The company must:

1. Analyze its current business portfolio and decide which businesses should receive more, less, or no investment; and
2. Develop growth strategies for adding new products or businesses to the portfolio.

a. Analyzing the Current Business Portfolio

The major activity in strategic planning is business portfolio analysis, whereby management evaluates the businesses making up the company. The company will want to put strong resources into its more profitable businesses and phase down or drop its weaker ones.

Management's first step is to identify the key businesses making up the company." These can be called the strategic business units. A strategic business unit (SBU) is a unit of the company that has a separate mission and objectives and that can be planned independently from other company businesses. An SBU can be a company division, a product line within a division, or sometimes a single product or brand.

The next step in business portfolio analysis calls, for management to assess the attractiveness of its various SBUs and decide how much support each deserves. In some companies, this is done informally. Management looks at the company's collection of businesses or products and uses judgment to decide how much each SBU should contribute and receive. Other companies use for portfolio-planning methods.

The purpose of strategic planning is to find ways in which the company can best use its strengths to take advantage of attractive opportunities in the environment. So most standard portfolio analysis methods evaluate SBUs on two important dimensions --- the attractiveness of the SBUs market or industry and the strength of the SBUs position in that market or industry. The best-known portfolio-planning methods were developed by the Boston Consulting Group, and by General Electric. They will be discussed in session 9.

Lecture Synopsis



- Many companies operate without formal plans.
 - Granted, planning is not much fun, and it takes time away from doing. Yet companies must plan. As someone said, **"If you fail to plan, you are planning to fail."**
 - The process of planning may be as important as the plans that emerge.
 - The argument that planning is less useful in a fast-changing environment makes little sense. In fact, the opposite is true: Sound planning helps the company to anticipate and respond quickly to changes, and to prepare better for sudden developments.
 - **Strategic planning** is the process of developing and maintaining a strategic fit between the organization's goals and capabilities and its changing marketing opportunities.
 - Strategic planning sets the stage for the rest of the planning in the firm.
 - An organization mission is actually the broadest and highest level of objectives.
 - It defines the basic purpose or purposes of the organization or outlines why the organization exists.
 - A mission statement is a statement of the organization's purpose-what it wants to accomplish in the larger environment.
 - Goals are defined as future states or conditions that contribute to the fulfillment of organization's mission.
 - A strategy is a broad plan of action by which an organization intends to reach its objectives.
 - A tactic is a means by which a strategy is implemented.
- c. A tactic is a more specific detailed course of action plan than is a strategy.

Wrap-up Questions

- Define the basic concepts of strategic marketing planning
- Define strategic marketing planning

Session 7

Reading Text

Strategic Planning process Continued

b. External Environmental Analysis (Opportunity and Threat Analysis)

Once the business unit has formulated its mission statement, the business manager knows the parts of the environment it needs to monitor to achieve goals. In general a business unit has to monitor key external macro environment forces (demographic, economic, technological,



political, legal, social & cultural) and significant microenvironment factors (customers, competitors, distribution channel, suppliers) that affect its ability to earn profits. The business unit should set up a marketing intelligence system to track trends and important developments. For each trend or development, management needs to identify the associated opportunities and threats.

- **Opportunities:** A marketing opportunity is an area of buyer need in which a company can perform profitability.

Attractiveness **portunity and threat matrixes**
(a) Opportunity matrix

		Success probability	
		High	Low
Attractiveness	High	1	2
	Low	3	4

Opportunities can be classified according to their attractiveness and their success probability. The company's success probability depends on whether its business strengths not only match the key success requirements for operating in the target market but also exceeds those of its competitions.

- **Threats:** An environmental threat is a challenge posed by an unfavorable trend or development that would lead, in the absence of defensive marketing action, to deterioration in sales or profit.

hreat matrix

		Probability of occurrence	
		High	Low
Seriousness	High	1	2
	Low	3	4

Threats should be classified according to their seriousness and probability of occurrence. To deal with threats, the company needs to prepare contingency plans that spell out what changes the company can make before or during the threat occurrence.



Once management has identified the major opportunities and threats facing a specific business unit, it can characterize that business's overall attractiveness.

Four outcomes are possible:

- An ideal business is high in major opportunities and low in major threats.
- A speculative business is high in both major opportunities and threats.
- A mature business is low in major opportunities and low in threats.
- A troubled business is low in opportunities and high in threats.

c. Internal Environmental Analysis (Strengths and Weaknesses)

Each business needs to evaluate its internal strength and weakness periodically. Management or an outside consultant reviews the business marketing, financial, manufacturing, and organizational competencies and rates each factor as a major strength, minor strength, neutral factor, minor weakness, or major weakness.

Today, strategy designers have been aided by a number of matrixes showing the relationship of critical variables. The SWOT matrix has a wider scope, and it has different emphases from those of the Business portfolio matrix. It has been common to suggest that companies identify their strengths and weakness, as well as the opportunities and threats in the external environment.

Clearly the business does not have to correct all its weakness, nor should it gloat about all its strengths. The big question is whether the business should limit itself to those opportunities where it possesses the required strength or should consider better opportunities where it might have to acquire or develop certain strength.

The SWOT Matrix for Strategic Formulation

Internal factors	Internal strengths (s) e.g. strengths in management, operations finance, marketing R&D, engineering	Internal weakness (W) e.g. Weakness in the area shown in the box of strengths
External factors		
External opportunities (O) current & future economic conditions, political and social changes, new products, services and technology consider risks also	SO strategy maxi-maxi potentially the most successful strategy, utilizing the organizations strengths to take advantages of opportunities	WO strategy mini-maxi e.g. developmental strategy to overcome weaknesses in order to take advantage of opportunities
External Threats (T) e.g. lack of energy competition,	ST strategy Maxi-mini e.g. use of strengths to cope	WT strategy Mini-mini e.g. retrenchment, liquidation,



and areas similar to those shown in the opportunities box above	with threats or to avoid threats	or joint venture.
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The strategies are based on the analysis of the external environment (threats and opportunities) and the internal environment (weakness and strengths).

- The **WT strategy** aims to minimize both weakness and threats. It may require that the company, for example, forms a joint venture, retrench, or even liquidate. (**Mini-Mini Strategy**)
- The **WO strategy** attempts to minimize the weaknesses and maximize the opportunities. Thus, a firm with certain weakness in some areas may either develop those areas within the enterprise or acquire the needed competencies (such as technology or persons with needed skills) from the outside, making it possible to take advantage of opportunities in the external environment. (**Mini – Maxi strategy**)
- The **ST strategy** is based on the organization's strengths to deal with threats in the environment. The aim is to maximize the former while minimizing the latter. Thus, a company may use its technological, financial, managerial, or marketing strength to cope with the threats of a new product introduced by its competitors. (**Maxi- mini Strategy**)
- **The SO strategy:** The most desirable situation occurs when a company can use its strength to take advantage of opportunities. Indeed, it is the aim of enterprises to move from other position in the matrix to this one. If they have weakness, they will strive to overcome them, making them strengths. If they face threats, they will cope with them so that they can focus on opportunities. (**Maxi-maxi Strategy**)

4. Program Formulation

Once the business unit has developed its principal strategies, it must work out detailed supporting programs. Thus if the business has decided to attain technological leadership, it must plan programs to strengthen its R & D department, gather technological intelligence, develop leading edge products, train the technical sales force, develop ads, to communicate its technological leadership and soon.

5. Implementation



A clear strategy and a well-thought-out supporting program may be useless if the firm fails to implement them carefully. Indeed, strategy is only one of seven elements, according to the McKinsey consulting firm, that the best-managed companies exhibit.

The McKinsey 7-s framework for business success includes –

- **The hardware of success are:** Strategy, Structure, and Systems.
- **The software's of success are:** - Style, Staff, Skills, and Shared values.
- The first soft element, **Style**, means that company employees share a common way of thinking and behaving.
- The second **staff** means that a company has hired able people, trained them well, and assigned them to the right jobs.
- The third, **skills**, means that the employees have the skills needed to carry out the company strategy.
- The fourth **shared values**, means that the employees share the same guiding values. When these soft elements are present, companies are usually more successful at strategy implementation.

6. Feedback and Control

As it implements its strategy, the firm needs to track the results and monitor new development in the internal and external environments. The environment will eventually change. And, when it does, the company will need to preview and revise its implementation, programs, strategies, or even objectives.

Lecture Synopsis

- **Opportunities:** An opportunity is an area of buyer need in which a company can perform profitability.
- **Threats:** is a challenge posed by an unfavorable trend or development that would lead, in the absence of defensive marketing action, to deterioration in sales or profit.
- Helps each business needs to evaluate its internal strength and weakness periodically.
- Clearly the business does not have to correct all its weakness, nor should it gloat about all its strengths.



- The strategies are based on the analysis of the external environment (threats and opportunities) and the internal environment (weakness and strengths).
- Once the business unit has developed its principal strategies, it must work out detailed supporting programs.
- A clear strategy and a well-thought-out supporting program may be useless if the firm fails to implement them carefully.
- The Mckinsey 7-s framework for business success includes – the hardware and the software of success.
- As it implements its strategy, the firm needs to track the results and monitor new development in the internal and external environments.
- The environment will eventually change.

Wrap-up Questions

- Discuss the factors of the external environment
- List the four possible strategic recommendations based on external and internal environmental analysis.

Session 8

Reading Text

Developing Alternative Growth Strategies

Beyond evaluating current business, designing the business portfolio involves identifying business and products the company consider in the future. To identify the growth opportunities companies can use one of the following strategies: intensive growth strategy, integrative growth strategy and diversification strategy.

1. **Intensive Growth strategy:** - Corporate management's first course of action should be a review of whether any opportunities exist for improving its existing businesses performance. Ansoff has proposed a useful framework for detecting new intensive growth opportunities called a product/market expansion grid.

Product/market expansion grid is a portfolio planning tool for identifying company growth opportunities through market penetration, market development, product development and diversification.

Market opportunity identification through the product/market expansion grid



	Existing Product	New Product
Existing Markets	Market Penetration	Product Development
New Markets	Market Development	Diversification

- **Market Development:** - A strategy for company growth by identifying and developing new market segments for current company products. For instance, managers could review new demographic markets--such as senior consumers or ethnic groups to see if new groups could be encouraged to visit Wow Burger house for the first time or to buy more from them. Managers also could review new geographical markets. Wow Burger may plan to expand swiftly into new markets, in Ethiopia, especially in the newly developed regional cities.
- **Product development:** - A strategy for company growth by offering modified or new products to current market segments. For example, Wow Burger is increasing its food offerings in an effort to bring customers into its stores during the lunch and dinner hours and to increase the amount of the average customer's sales ticket.
- **Diversification:** - A strategy for company growth by starting up or acquiring business outside the company's current products and markets. For example, Wow burger may involve in a restaurant business or other activities it is doing currently in an effort to offer new formats to related but new markets.

ii) Integrative Growth Strategy: - Often a business's sales and profits can be increased through backward, forward, or horizontal integration within its industry. An organization might acquire one or more of its suppliers (producers) to gain more control or generate more profit (backward integration). Or an organization might acquire some wholesalers or retailers, especially if they are highly profitable (forward integration). Finally an organization might acquire one or more competitors (horizontal integration), provided that the government does not bar this move.

Through investigating possible integration moves, the company may discover additional sources of sales-volume increases over the next years. These new sources may still not deliver the desired sales volume. However, in that case, the company must consider diversification.

iii) Diversification Growth Strategy: - Diversification growth makes sense when good opportunities can be found outside the present businesses. A good opportunity is one in which the industry is highly attractive and the company has the mix of business strengths to be successful. Three types of diversification are possible.



- **Concentric diversification strategy:** The company could seek new products that have technological and/or marketing synergies with existing product lines, even though the new products themselves may appeal to a different group of customers.
- **Horizontal diversification strategy:** Second, the company might search for new products that could appeal to its current customers even though the new products are technologically unrelated to its current product line.
- **Conglomerate diversification strategy:** Finally, the company might seek new businesses that have no relationship to the company's current technology, products, or markets.

Major classes of Growth opportunities

Intensive Growth	Integrative Growth	Diversification Growth
Market Penetration	Backward Integration	Concentric Diversification
Market Development	Forward Integration	Conglomerate Diversification
	Horizontal Integration	Horizontal Diversification

The company first considers whether it could gain more market share with its current products in their current markets (market penetration strategy). Next it considers whether it can find or develop new markets for its current products (market- development strategy). Then it considers whether it can develop new products of potential interest to its current markets (product development strategy). Later it will also review opportunities to develop new products for new markets-diversification strategy). These four product-market growth strategies can be described in the next session (11).

Lecture Synopsis

- One useful device for identifying growth opportunities is the product/market expansion grid.
- Product/market expansion grid is a portfolio planning tool for identifying company growth opportunities through market penetration, market development, product development and diversification.
- Intensive Growth strategy includes: Market Penetration Market Development Product development Diversification
- Integrative Growth Strategy: - Often a business's sales and profits can be increased through backward, forward, or horizontal integration within its industry.



- Diversification Growth Strategy: - Diversification growth makes sense when good opportunities can be found outside the present businesses.

Wrap- up Questions

- List the marketing strategies

Lesson 9

Reading Text

Developing Growth Strategies in the Age of Connectedness

Beyond evaluating current businesses, designing the business portfolio involves finding businesses and products the company should consider in the future. Companies need growth if they are to compete more effectively, satisfy their stakeholders, and attract top talent. "Growth is pure oxygen," states one executive. "It creates a vital, enthusiastic corporation where people see genuine opportunity In that way, growth is more than our single most important financial driver; it's an essential part of our corporate culture." At the same time, a firm must be careful not to make growth itself an objective. The company's objective must be "profitable growth."

Marketing has the main responsibility for achieving profitable growth for the company. Marketing must identify, evaluate, and select market opportunities and lay down strategies for capturing them. One useful device for identifying growth opportunities is the product-market expansion grid.

Key Planning Approaches

The purpose of strategic planning is to find ways in which the company can best use its strengths to take advantage of attractive opportunities in the environment. So most standard portfolio-analysis methods evaluate SBUs on two important dimensions: The attractiveness of the SBU's market or industry and the strength of the SBU's position in that market or industry. The best-known portfolio-planning method was developed by the Boston Consulting Group, a leading management consulting firm.

a. The Boston Consulting Group Approach

Using the Boston Consulting Group (BCG) approach, a company classifies all its SBUs according to the growth-share matrix. On the vertical axis, market growth rate provides a measure of market attractiveness. On the horizontal axis, relative market share serves as a



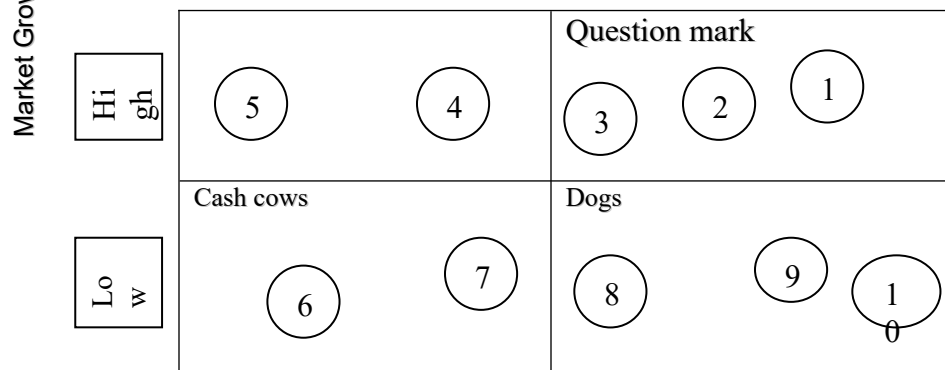
measure of company strength in the market. By dividing the growth-share matrix four types of SBUs can be distinguished:

- **Stars:** Stars are high-growth, high-share businesses or products. They often need heavy investment to finance their rapid growth. Eventually their growth will slow down, and they will turn into cash cows.
- **Cash cows:** Cash cows are low-growth, high-share businesses or products. These established and successful SBUs need less investment to hold their market share. Thus; they produce a lot of cash that the company uses to pay its bills and to support other SBUs that need investment.
- **Question marks:** Question marks are low-share business units in high growth markets. They require a lot of cash to hold their share, let alone increase it. Management has to think hard about which question marks it should try to build into stars and which should be phased out.
- **Dogs:** Dogs are low-growth, low-share businesses and products. They may generate enough cash to maintain themselves but do not promise to be large sources of cash.

The ten circles in the growth-share matrix represent a company's ten current SBUs. The company has two stars, two cash cows, three question marks, and three dogs. The areas of the circles are proportional to the SBU's dollar sales. This company is in fair shape, although not in good shape. It wants to invest in the more promising question marks to make them stars and to maintain the stars so that they will become cash cows as their markets mature. Fortunately, it has two good-sized cash cows whose income helps finance the company's question marks, stars, and dogs.

- The company should take some decisive action concerning its dogs and its question marks.

The picture would be worse if the company had no stars, if it had too many dogs, or if it had only one weak cash cow.





Hi

Low

Relative Market Share

Once it has classified its SBUs, the company must determine what role each will play in the future. One of four strategies can be pursued for each SBU.

- **Build:** - Here the objective is to increase the SBU's market share, even forgoing short term earnings to achieve this objective if necessary. Building is appropriate for question marks whose market share must grow if they are to become stars.
- **Hold:** - Here the objective is to hold the SBU's market share. This strategy is appropriate for strong cash cows if they are to continue yielding a large positive cash flow. It can invest just enough to hold the SBU's share at the current level.
- **Harvest:** - Here the objective is to increase the SBU's short-term cash flow regardless of long term effect. Harvesting involves a decision to eventually withdraw from a business by implementing a program of continuous cost retirement. The company plans to cash in on its "Crop to milk its business".

Harvesting generally involves: - Eliminating its expenditures, not replacing the physical plant as it wears out, not replacing sales people, reducing advertising expenditures, and so on.

The hope is to reduce costs at a faster rate than any potential drop in sales, thus resulting in an increase in the company's positive cash flow. This strategy is appropriate for weak cash cows whose future is **vein** and from which more cash flow is needed. Harvesting can also be used with question marks and dogs. The company coming at a harvesting strategy faces prickly social and ethical questions over how much information to share with various stockholders.

Divest: - Here the objective is to sell or liquidate the business because resources can be better used elsewhere. This strategy is appropriate for dogs and question market that are acting as a drag on the company's profits.

Companies must carefully decide whether harvesting or divesting is a better strategy for a weak business. Harvesting reduces the business future value and therefore the price at which it can later be sold if divested. An early decision to divest, in contrast, is likely to produce fairly good bids if the business is in relatively good shape and of more value to another firm. As time passes, SBUs change their positions in the growth-share matrix.



Each SBU has a life cycle.

- Many SBUs start out as question marks and move into the star category if they succeed.
- They later become cash cows as market growth falls,
- Finally die off or turn into dogs toward the end of their life cycle.

The company needs to add new products and units continuously so that some of them will become stars and, eventually; cash cows that will help finance other SBUs.

b. The General Electric Approach

General Electric introduced a comprehensive portfolio planning tool called a strategic business-planning grid. Like the BCG approach, it uses a matrix with two dimensions- One representing industry attractiveness and One representing company strength in the industry. The best businesses are those located in highly attractive industries where the company has high business strength.

The GE approach considers many factors besides market growth rate as part of industry attractiveness. It uses an Industry attractiveness index made up of: Market size, market growth rate, Industry profit margin, Amount of competition, Seasonality and cyclical of demand, Industry cost structure. Each of these factors is rated and combined in: an index of industry attractiveness. For our purposes, an industry's attractiveness will be described as high, medium, or low.

For business Strength, the GE approach again uses an index rather than a simple measure of relative market share. The business strength index includes factors such as the company's: relative market share, price competitiveness, product quality, customer and market knowledge, sales effectiveness, and geographic advantages.

These factors are rated and combined in an index of business strength, which can be described as **strong, average, or weak**.

		Business Strength		
		Strong	Average	Weak
Industry Attractiveness	High	A		C
	Medium			
	Low	B		D



The grid is divided into three zones. The green cells (the three at the upper left of the grid) include the strong SBUs in which the company should invest and grow. The yellow (the diagonal cells) contain SBUs that are medium in overall attractiveness. The company should maintain its level of investment in these SBUs. The three red cells (the three lower right cells) indicate SBUs that are low in overall attractiveness. The company should give serious thought to harvesting or divesting these SBUs.

C. Ansoff's Product/Market Expansion Grid

Markets	Product	
	Current	New
Current	Market penetration strategy	Product development strategy
New	Market Development strategy	Diversification strategy

The four product-market growth strategies describe in detail as follows:

- i. **Market Penetration:** -A company tries to sell more of its present products to its present markets. It is about **making** more sales to current customers without changing its products. Supporting tactics might include: Greater spending on advertising or personal selling, adding new stores in current market areas to make it easier for more customers to visit, improvements in prices, service, menu selection, or store design might encourage customers to stop by more often or to buy more during each visit and a company tries to become a single source of supply by offering preferential treatment to customers who will concentrate all their purchases with it.
- ii. **Market Development:** A firm continues to sell its present products, but to a new market. It is about identifying and developing new markets for its current products. For instance,
 - Managers could review new demographic markets--such as senior consumers or ethnic groups to see if new groups could be encouraged to visit shops for the first time or to buy more from them.
 - Managers also could review new geographical markets.
 - Managers can also develop its international markets.



- iii. Product Development:** This strategy calls for a company to develop new products to sell to its existing markets/ offering modified or new products to current markets.
- iv. Diversification:** A company develops new product to sell to new markets. It could start up or buy businesses outside of its current products and markets. This strategy is risky because it doesn't rely on either the company's successful products or its position in established markets.

As market conditions change over time, a company may shift product-market growth strategies. For example, when its present market is fully saturated, a company may have no choice other than to pursue new markets.

D. Porter's Generic Strategies Model

Michael porter, a Harvard business professor, advises firms to assess two factors, scope of target market and differential advantage, and then choose an appropriate strategy. Porter's generic strategies model recommends three alternatives for consideration.

- 1. Overall cost leadership:** A company or an SBU, typically large, seeks to satisfy a broad market by producing a standard product at a low cost and then under pricing competitors.
- 2. Differentiation:** An organization creates a distinctive, perhaps even a unique, product through its unsurpassed quality, innovative design, or some other feature and, as a result, can charge a higher than average price. This strategy may be used to pursue either a broad or narrow target.
- 3. Focus:** A firm or an SBU concentrates on part of a market and tries to satisfy it with either a very low-priced or highly distinctive product. The target market ordinarily is set apart by some factor such as geography or specialized needs.

Lecture Synopsis

- Beyond evaluating current businesses, designing the business portfolio involves finding businesses and products the company should consider in the future.
- Companies need growth if they are to compete more effectively, satisfy their stakeholders, and attract top talent.
- Using the Boston Consulting Group (BCG) approach, a company classifies all its SBUs according to the growth-share matrix.
- By dividing the growth-share matrix four types of SBUs can be distinguished: Stars, Cash cows, Question marks and Dogs



- The company should take some decisive action concerning its dogs and its question marks.
- The picture would be worse if the company had no stars, if it had too many dogs, or if it had only one weak cash cow.
- Many SBUs start out as question marks and move into the star category if they succeed. They later become cash cows as market growth falls, finally die off or turn into dogs toward the end of their life cycle.
- The best businesses are those located in highly attractive industries where the company has high business strength.
- The four product-market growth strategies describe in detail as follows: Market Penetration, Market Development, Product Development, Diversification
- Porter's generic strategies model recommends three alternatives for consideration: Overall cost leadership, Differentiation and Focus

Wrap-up Questions

- Briefly discuss the key planning concepts

Lesson 10

Reading Text

Planning Cross-Functional Strategies

The company's strategic plan establishes what kinds of businesses the company will be in and its objectives for each. Then, within each business unit more detailed planning must take place. The major functional departments in each unit-marketing, finance, accounting, purchasing, manufacturing, information systems, human resources, and others-must work together to accomplish strategic objectives.

Marketing's Role in Strategic Planning

There is much overlap between overall company strategy and marketing strategy. Marketing looks at consumer needs and the company's ability to satisfy them; these same factors guide the company's overall mission and objectives. Marketing plays a key role in the company's strategic planning in several ways.

- **Marketing provides a guiding philosophy**--the marketing concept-that suggests company strategy should revolve around serving the needs of important consumer



groups.

- **Marketing provides inputs to strategic planners** by helping to identify attractive market opportunities and by assessing the firm's potential to take advantage of them.
- **Marketing designs strategies for reaching the unit's objectives** within individual business units. Once the unit's objectives are set, marketing's task is to carry them out profitably.

Marketing and the Other Business Functions

Marketers play an important role in delivering customer value and satisfaction. However, as we noted in chapter 1, marketing cannot do this alone. Because customer value and satisfaction are affected by the performance of other functions, all departments must work together to deliver superior value and satisfaction. Marketing plays an integrative role to help ensure that all departments work together toward this goal.

a. Cross-Functional Conflict

Each business function has a different view of which publics and activities are most important.

For Example:

- An operation focuses on suppliers and production;
- Finance is concerned with stockholders and sound investment;
- Marketing emphasizes consumers and products, pricing, promotion, and distribution.

Ideally, the different functions should work in harmony to produce value for consumers. But in practice, departmental relations are full of conflicts and misunderstandings. The marketing department takes the consumer's point of view. But when marketing tries to develop customer satisfaction, it often causes other departments to do a poorer job in their terms. Marketing department actions can increase purchasing costs, disrupt production schedules, increase inventories, and create budget headaches. Thus, the other departments may resist bending their efforts to the will of the marketing department.

Yet marketers must get all departments to "think consumer" and to put, the consumer at the center of company activity. Customer satisfaction requires a total company, cross-functional effort to deliver superior value to target customers.

- Creating value for buyers is much more than a "marketing function"; rather, [it's] analogous to a symphony orchestra in which the contribution of each subgroup is tailored



and integrated by a conductor-with a synergistic effect. A seller must draw upon and integrate effectively ... its entire human and other capital resources.... [Creating superior value for buyers] is the proper focus of the entire business and not merely of a single department in it.

Jack Welch, General Electric's highly regarded CEO, tells his employees: "Companies can't give job security. Only customers can!" He emphasizes that all General Electric people, regardless of their department, have an impact on customer satisfaction and retention. His message: "If you are not thinking customer, you are not thinking."

b. Marketing Department Organization

The company must design a marketing department that can carry out marketing strategies and plans.

- **If the company is very small, one person might** do all of the marketing work-research, selling, advertising, customer service, and other activities.
- **As the company expands, a marketing department organization** emerges to plan and carry out marketing activities.
- **In large companies, this department contains many specialists.**

Thus, Black & Decker has product and market managers, sales managers and salespeople, market researchers, advertising experts, and other specialists.

Modern marketing departments can be arranged in several ways.

- **Functional Organization:**

The most common form of marketing organization is the functional organization in which different marketing activities are **headed by a functional specialist**-a sales manager, advertising manager, marketing research manager, customer service manager, new product manager. A company that sells across the country or internationally often uses a geographic organization in which its sales and marketing people are assigned to specific countries, regions, and districts. Geographic organization allows salespeople to settle into a territory, get to know their customers, and work with a minimum of travel time and cost.

- **Product management organization**

Companies with many, very different products or brands often create a product management organization. Using this approach, a product manager develops and implements a complete strategy and marketing program for a specific product or brand. Product management first



appeared at Procter & Gamble in 1929. A new company soap, Camay, was not doing well, and a young P&G executive was assigned to give his exclusive attention to developing and promoting this product. He was successful, and the company soon added other product managers. Since then, many firms, especially consumer products companies, have set up product management organizations. However, recent dramatic changes in the marketing environment have caused many companies to rethink the role of the product manager.

- **A market management organization**

For companies that sell one product line to too many different types of markets that have different needs and preferences, a market management organization might be best. A market management organization is similar to the product management organization. Market managers are responsible for developing marketing strategies and plans for their specific markets. This system's main advantage is that the company is organized around the needs of specific Customer segments.

- **Some combination of the functional, geographic, product, and market organization forms.**

Large companies that produce many different products flowing into many different geographic and customer markets. This ensures that each function, product, and market receives its share of management attention. However, it can also add costly layers of management and reduce organizational flexibility. Still, the benefits of organizational specialization usually outweigh the drawbacks.

Strategic Planning and Small Business

Many discussions of strategic planning focus on large corporations with many divisions and products. However, small businesses can also benefit from sound strategic planning. Whereas most small ventures start out with extensive business and marketing plans used to attract potential investors, strategic planning often falls by the wayside once the business gets going. Entrepreneurs and presidents of small companies are more likely to spend their time "putting out fires" than planning. But what does a small firm do when it finds that it has taken on too much debt, when its growth is exceeding production capacity, or when it's losing market share to a competitor with lower prices? Strategic planning can help small business managers to anticipate such situations and determine how to prevent or handle them. Strategic planning is crucial to a



small company's future.

Connecting with Consumers

To succeed in today's competitive marketplace, companies must be customer centered, winning customers from competitors, then keeping and growing them by delivering greater value. But before it can satisfy consumers, a company must first understand their needs and wants. Thus, sound marketing requires a careful analysis of consumers. Companies know that they cannot connect profitably all consumers in a given market-at least not all consumers in the same way. There are too many different kinds of consumers with too many different kinds of needs. And some companies are in a better position to serve certain segments of the market.

Thus, each company must: divide up the total market, choose the best segments and design strategies for profitably serving chosen segments better than its competitors do. This process involves three steps: market segmentation, market targeting, and market positioning.

Lecture Synopsis

- The company's strategic plan establishes what kinds of businesses the company will be in and its objectives for each.
- There is much overlap between overall company strategy and marketing strategy.
- Marketing looks at consumer needs and the company's ability to satisfy them; these same factors guide the company's overall mission and objectives.
- Marketing plays a key role in the company's strategic planning in several ways.
- Marketing provides a guiding philosophy--the marketing concept--that suggests company strategy should revolve around serving the needs of important consumer groups.
- Marketing provides inputs to strategic planners by helping to identify attractive market opportunities and by assessing the firm's potential to take advantage of them.
- Marketing designs strategies for reaching the unit's objectives within individual business units. Once the unit's objectives are set, marketing's task is to carry them out profitably.
- Marketers play an important role in delivering customer value and satisfaction. However marketing cannot do this alone.
- Because customer value and satisfaction are affected by the performance of other functions, all departments must work together to deliver superior value and satisfaction.
- Marketing plays an integrative role to help ensure that all departments work together



toward this goal.

- Each business function has a different view of which publics and activities are most important.
- Yet marketers must get all departments to "think consumer" and to put, the consumer at the center of company activity. Customer satisfaction requires a total company, cross-functional effort to deliver superior value to target customers.
- Creating value for buyers is much more than a "marketing function"; rather, [it's] analogous to a symphony orchestra in which the contribution of each subgroup is tailored and integrated by a conductor-with a synergistic effect.
- The company must design a marketing department that can carry out marketing strategies and plans.
- Many discussions of strategic planning focus on large corporations with many divisions and products. However, small businesses can also benefit from sound strategic planning.

Wrap-up Questions

- Discuss the organization of the marketing function and its cross functional relationship.

Session 11

Reading Text

The Marketing Plan

The marketing plan is one of the most important outputs of the marketing process. A business unit must develop a marketing plan for achieving its goals. Marketing plans have several section as illustrated below:-

Contents of A marketing plan

- Executive summary and table of contents
- Current marketing situation
- Opportunities and issue analysis
- Objectives
- Marketing strategy
- Action programs
- Projected profit and loss statement



- Controls

1. Executive summary and table of contents: - The marketing plan should open with a brief in a few pages of the plan's main goals and recommendations. The executive summary permits higher management to grasp quickly the plan's major thrust. A table of contents should follow the executive summary.

2. Current marketing situation: - The current marketing situation presents relevant data on the market, product, competition, distribution, and macro environment.

- **Market situation:** - Here data are presented on the target market. The size and growth of the market (in units) or dollars) are shown for several past years and by market and geographical segments. Data on customer needs, perceptions and buying behavior trends are also presented.
- **Product situation:** - In product situation the sales, prices, contribution, margins, and net profits are shown for each major product in the line for several past years.
- **Competitive Situation:** - Here the major competitors are identified and described in terms of their size, goals, market share, product quality, marketing strategies, and other characteristics that are needed to understand their intentions and behavior.
- **Distribution Situation:** - This section presents data on the size and importance of each distribution channel.
- **Macro Environment Situation:** - This section describes broad macro environment trends demographic, economic, technological, political/legal, social/cultural that bear on the product lines future.
- **Opportunity and threat Analysis:** - After summarizing the current marketing situation, the product manager proceeds to identify the major opportunities/threats, strengths/weakness, and any issues facing the product line.
- **Strengths/weakness Analysis:** - The product manager needs to identify product strengths and weakness.

3. Objectives and Issues: - After the product manager has summarized the issues involved with the product line, he or she must decide on the plan's objectives. Two types of objectives must be set financial & marketing.

4. Marketing Strategy: - The product manager now outlines the broad marketing strategy or "game plan" that he/she will use to accomplish the plan's objectives. The marketing strategy



is often includes: Target market setting, Product positioning, Product line-expansion/contraction etc., Price, Distribution outlets, Sales force, Service, Advertising, Sales promotion, R & D and marketing research.

- 5. Action programs:** - The marketing plan must specify the broad marketing programs designed to achieve the business objectives. Each marketing strategy element must now be elaborated to answer: What will be done? When will it be done? Who will do it? How much will it cost?
- 6. Projected profit and loss statement:** - Action plans allow the product manager to build a supporting budget. On the revenue side, this budget shows the forecasted sales volume in units and the average price. On the expense side, it shows the cost of production, physical distribution, and marketing, broken down into final categories. The difference between revenue and sales is projected profit.
- 7. Controls:** - The last section of the marketing plan outlines the controls for monitoring the plan's progress. Typically the goals and budget are spelled out for each month or quarter. Higher management can review the results each period and identify businesses that are not attaining their goals.

Lecture Synopsis

- The marketing plan is one of the most important outputs of the marketing process.
- A business unit must develop a marketing plan for achieving its goals.
- Marketing plans have several sections.
- The marketing process is the process of
 - analyzing marketing opportunities
 - selecting target markets
 - developing the marketing mix
 - managing the marketing effort.

Wrap-up Question

- **Discuss the marketing plan elements and process.**



Chapter Four

Market Segmentation

Module 4

Introduction

A company cannot serve all customers in a broad market. The customers are too numerous and diverse in their buying requirements. The company needs to identify the market segments that it can serve more efficiently.

Many companies are embracing target marketing. Here sellers distinguish the major market segments, target one or more of these segments, and develop products and marketing programs tailored to each.

Learning Objectives

After studying this unit, you will be able to explain:

- the related concept of market segmentation and target market
- basis for segmentation
- the process of market segmentation, including its benefits and use
- how can a company identify the segments that make up a market?

Discussion Questions

- What do you think is market segmentation?
- Discuss the levels and bases of market segmentation.

Session 12

Reading Text

Meaning of Market Segmentation



Markets consist of buyers, and buyers differ in one or more ways. They may differ in their wants, resources, locations, buying attitudes, and buying practices. Through market segmentation, companies divide large, heterogeneous markets into smaller segments that can be reached more efficiently and effectively with products and services that match their unique needs. In this section, we discuss five important segmentation topics:

- levels of market segmentation,
- segmenting consumer markets,
- segmenting business markets,
- segmenting international markets, and
- Requirements for effective segmentation.

Levels of Market Segmentation

Because buyers have unique needs and wants, each buyer is potentially a separate market. Ideally, then, a seller might design a separate marketing program for each buyer. However, although some companies attempt to serve buyers individually, many others face larger numbers of smaller buyers and do not find complete segmentation worthwhile. Instead, they look for broader classes of buyers who differ in their product needs or buying responses. Thus, market segmentation can be carried out at several different levels.

- **Mass Marketing**

Companies have not always practiced target marketing. In fact, for most of the 1900s, major consumer products companies held fast to **mass marketing, mass producing, mass distributing, and mass promoting about the same product in about the same way to all consumers.**

The traditional argument for mass marketing is that

- it creates the largest potential market,
- which leads to the lowest costs,
- which in turn can translate into either lower prices or higher margins.

However, many factors now make mass marketing more difficult. For example, the world's mass markets have slowly splintered into a large amount of smaller segments. Today, marketers find it very hard to create a single product or program that appeals to all of these diverse groups.



The proliferation of distribution channels and advertising media has also made it difficult to practice "one-size-fits-all" marketing. Today's consumers can shop at megamalls, superstores, or specialty shops; through mail catalogs or virtual stores on the Internet. They are bombarded with messages delivered via media ranging from old standards such as television, radio, magazines, newspapers, and telephone to newcomers like the Internet, fax, and e-mail. No wonder some have claimed that mass marketing is dying. Not surprisingly, many companies are retreating from mass marketing and turning to segmented marketing.

- **Segment Marketing**

A company that practices segment marketing isolates broad segments that make up a market and adapts its offers to more closely match the needs of one or more segments.

Segment marketing offers several benefits over mass marketing.

- The company can market more efficiently, targeting its products- or services, channels, and communications programs toward any consumers that it can serve best and most profitably.
- The company can also market more effectively by fine-tuning its products, prices, and programs to the needs of carefully defined segments.
- The company may face fewer competitors if fewer competitors are focusing on this market segment.

- **Niche Marketing**

Market segments are normally large; identifiable groups within a market-for example, luxury car buyers, performance car buyers, utility car buyers, and economy car buyers. Niche marketing focuses on subgroups within these segments. A niche is a more narrowly defined group, usually identified by dividing a segment into subsegments or by defining a group with a distinctive set of traits who may seek a special combination of benefits. For example, the utility vehicles segment might include light-duty pickup trucks and sport utility vehicles (SUVs).The sport utility vehicles subsegment might be further divided into standard SUV (as served by Ford and Chevrolet} and luxury SUV (as served by Lincoln and Lexus) niches.

- Whereas segments are fairly large and normally attract several competitors, niches are smaller and normally attract only one or a few competitors.
- Niche marketers presumably understand their niches' needs so well that their customers



willingly pay a price premium.

Niching offers smaller companies an opportunity to compete by focusing their limited resources on serving niches that may be unimportant to or overlooked by larger competitors. However, large companies also serve niche markets in many markets today, niches are the norm. As an advertising agency executive observed, "There will be no market for products that everybody likes a little, only for products that somebody likes a lot." Other experts assert that companies will have to "niche or be niched."

- **Micromarketing**

Segment and niche marketers tailor their offers and marketing programs to meet the needs of various market segments. At the same time, however, they do not customize their offers to each individual customer. Thus, segment marketing and niche marketing fall between the extremes of mass marketing and micro marketing. Micromarketing is the practice of tailoring products and marketing programs to suit the tastes of specific individuals and locations. Micromarketing includes local marketing and individual marketing.

- a. Local Marketing**

Local marketing involves tailoring brands and promotions to the needs and wants of local customer groups-cities, neighborhoods, and even specific stores. Thus, retailers such as Sears and Wal-Mart routinely customize each store's merchandise and promotions to match its specific clientele. Citibank provides different mixes of banking services in its branches depending on neighborhood demographics.

Local marketing has some drawbacks.

- It can drive up manufacturing and marketing costs by reducing economies of scale.
- It can also create logistics problems as companies try to meet the varied requirements of different regional and local markets.
- Further, a brand's overall image might be diluted if the product and message vary too much in different localities.

Still, as companies face increasingly fragmented markets, and as new supporting technologies develop, the advantages of local marketing often outweigh the drawbacks.

- It helps a company to market more effectively in the face of pronounced regional and local differences in community demographics and lifestyles.
- It also meets the needs of the company's first line customers-retailers-who prefer more



fine-tuned product assortments for their neighborhoods.

b. Individual Marketing

In the extreme, micromarketing becomes individual marketing tailoring products and marketing programs to the needs and preferences of individual customers. Individual marketing has also been labeled **one-to-one marketing, customized marketing, and markets-of-one marketing**.

The widespread use of mass marketing has obscured the fact that for centuries consumers were served as individuals. New technologies are permitting many companies to return to customized marketing. More powerful computers, detailed databases, robotic production and flexible manufacturing, and immediate and interactive communication media such as e-mail, fax, and the Internet-all have combined to foster "mass customization" Mass customization is the process through which firms interact one-to-one with masses of customers to design products and services tailor-made to individual needs.

Business-to-business marketers are also finding new ways to customize their offerings. The move toward individual marketing mirrors the trend in consumer self-marketing. Increasingly, individual customers are taking more responsibility for determining which products and brands to buy. Consider two business buyers with two different purchasing styles. The first sees several salespeople, each trying to persuade him to buy his or her product. The second sees no salespeople but rather logs onto the Internet; searches for information on available products; interacts electronically with various suppliers, users, and product analysts; and then makes up her own mind about the best offer. The second purchasing agent has taken more responsibility for the buying process, and the marketer has had less influence over her buying decision.

As the trend toward more interactive dialogue and less advertising monologue continues, self-marketing will grow in importance. As more buyers look up consumer reports, join Internet product discussion forums, and place orders via phone or online, marketers will have to influence the buying process in new ways. They will need to involve customers more in all phases of the product development and buying processes, increasing opportunities for buyers to practice self-marketing.

Lecture synopsis

- Markets consist of buyers, and buyers differ in one or more ways. They may differ in



their wants, resources, locations, buying attitudes, and buying practices.

- Through market segmentation, companies divide large, heterogeneous markets into smaller segments that can be reached more efficiently and effectively with products and services that match their unique needs.
- Market segmentation can be carried out at several different levels such as: Mass Marketing, Segment Marketing, Niche Marketing, Micromarketing

Wrap-up Questions

- Define market segmentation
- List the levels of market segmentation

Session 13

Reading Text

Patterns of Market Segmentation

Market segments can be built in many ways. One way is to identify preference segments. This is referred as market targeting. There are three major steps in market targeting.

- **The first is market segmentation**-dividing a market into smaller groups of buyers with distinct needs, characteristics, or behaviors who might require separate products or marketing mixes. The company identifies different ways to segment the market and develops profiles of the resulting market segments.
- **The second step is market targeting**-evaluating each market segment's attractiveness and selecting one or more of the market segments to enter.
- **The third step is market positioning**-setting the competitive positioning for the product and creating a detailed marketing mix.

Suppose ice cream buyers are asked how much they value sweetness and creaminess as the product attributes. Three different patterns can emerge.

a. Homogeneous Preferences

This preference shows a market where all the customers have roughly the same preference. The market shows no natural segments. We would predict that existing brands would be similar and cluster around the middle of the scale in both sweeteners and creaminess.

b. Diffused Preferences



At the other extreme, consumer preferences may be scattered throughout the space; indicating that consumers vary greatly in their preferences. The first brand to enter the market is likely to position center to appeal to the most people. A brand in the center minimizes the sum of total customers dissatisfaction. A second competitor could locate next to the first brand and fight for market share. Or it clear locate is a cannal to attract a customers group that was not satisfied with the cluster brand. If several brands are in the market, they are likely to position through at the space and show real differences to match consumer-preference differences.

c. Clustered Preferences

The market might reveal distinct preference clusters, called natural market segments. The firm in this market has three options.

- It might position in the center, hoping to appeal to all groups.
- It might position in the largest market segment (concentrated marketing).
- It might develop several brands, each positioned in a different segment of the first firm developed only one brand, competitors would enter and introduce brands in the others segments.

Procedures of Market Segmentation

The three steps procedure for identifying market segments: Survey, Analysis, and profiling.

- Survey Stage:** - The researcher conducts exploratory interviews and focus groups to gain insight into consumer motivations, attitudes, and behavior. Then the researcher prepares a questionnaire and collects data on attributes and their importance ratings; brand awareness and brand ratings; product usage patterns, attitudes toward the product category; and demographics, geographic, psychographics, and media graphics of the respondents.
- Analysis Stage:** - The researches applies factor analysis to the data to remove highly correlated variables, then applies cluster analysis to create a specified number of maximally different segments.
- Profiling Stage:** - Each cluster profiled in terms of its distinguishing attitudes, behavior, demographics, psychographics, and media patterns. Each segment is given a name based on its Dominant Characteristic.

Market segmentation must be redone periodically because market segments change. At one time the personal computer industry segmented its products purely on speed and power, thus



appealing to the broad swathes, high end users and low end users, but missing out on the prosperous middle. Later PC marketers recognized an emerging “SOHO” market, marred for “Small office and home office. Mail-order companies such as Dell and Gateway appealed to this market’s requirement for high performance coupled with low price and user-friendliness. Shortly thereafter PC makers began to see SOHO as comprised of smaller segments.

One way to discover new segments is to investigate the hierarchy of attempts that consumers examine in closing a brand. This process is called partitioning. Years ago, most car buyers first decided on the manufacturer and then on one of its car ditions (brand dominant hierarchy). A buyer might four general motorcars and within this set, Pontiac. Today, many buyers decide first on the nation from which they want to try a car (nation-dominant hierarchy)

Buyers may first decide they want to buy a Japans car, then Toyota, and then the corolla model of Toyota. Companies must monitor potential shifts in the consumer’s hierarchy of attributes and adjust to changing priorities.

The hierarchy of attributes can help in creating several customer segments. Buyers who first decide on price are price dominant; those who first decide on the type of car (eg. Sports, passengers, station wagons) are type dominant; those who first decide on the car brand are brand dominant. Each segment may have distinct demographics, psychographics, and media graphics.

Lecture synopsis

- Market segmentation is based on customer preferences.
- Customers can be differentiate into three groups based on their preference base.
 - a. Homogeneous Preferences
 - b. Diffused Preferences
 - c. Clustered Preferences
- There is a three steps procedure for identifying market segments: Survey, Analysis, and profiling.

Wrap-up Questions

- Discuss the types of customer preferences
- Discuss the process of identifying market segments



Session 14

Reading Text

Segmenting the Consumer Market

There is no single way to segment a market. A marketer has to try different segmentation variables, alone and in combination, to find the best way to view the market structure. Here we look at the major geographic, demographic, psychographic, and behavioral variables.

- 1. Geographic Segmentation:** - Geographic segmentation calls for dividing the market into different geographical units such as nations, regions, states, counties, cities, or neighborhoods. A company may decide to operate in one or a few geographical areas, or to operate in all areas but pay attention to geographical differences in needs and wants.
- 2. Demographic Segmentation:** = Demographic segmentation divides the market into groups based on variables such as age, gender, family size, family life cycle, income, occupation, education, religion, race, and nationality. Demographic factors are the most popular bases for segmenting customer groups. This is because: consumer needs, wants, and usage rates often vary closely with demographic variables and demographic variables are easier to measure than most other types of variables.

Even when market segments are first defined using other bases, such as benefits sought or behavior, their demographic characteristics must be known in order to assess the size of the target market and to reach it efficiently.

- a. Age and Life-Cycle Stage:** Consumer needs and wants change with age. Some companies use age and life-cycle segmentation, offering different products or using different marketing approaches for different age and life-cycle groups.

Marketers must be careful to guard against stereotypes when using age and lifecycle segmentation. For example, although some 70-year-olds require wheelchairs, others play tennis. Similarly, whereas some 40-year-old couples are sending their children off to college, others are just beginning new families. Thus, age is often a poor predictor of a person's life cycle, health, work or family status, needs, and buying power. Companies marketing to mature consumers usually employ positive images and appeals.

- b. Gender:** Gender segmentation has long been used in clothing, cosmetics, toiletries, and magazines.



- c. **Income:** Income segmentation has long been used by the marketers of products and services such as automobiles, boats, clothing, cosmetics, financial services, and travel. Many companies target affluent consumers with luxury goods and convenience services.

3. **Psychographic Segmentation:** = **Psychographic segmentation** divides buyers into different groups based on **social class, lifestyle, or personality characteristics**. People in the same demographic group can have very different psychographic makeup. Marketers also have used personality variables to segment markets.

- a. **Social class:** - People can be divided into different categories based on their social classes. They can be divided as: upper class (upper-upper, upper, lower upper), middle class (upper-middle, middle, lower middle), lower class (upper-lower, lower, lower-lower)
- b. **Lifestyle:** - People exhibit many more lifestyle than are suggested by the seven social classes. The goods they consume express their lifestyle. Companies making cosmetics, alcoholic beverages and furniture are always seeking opportunities in lifestyle segmentation. But lifestyle segmentation does not always work.
- c. **Personality:** - Marketers have used personality variable to segments. They endow their products with brand personalities that correspond to consumer's personalities that correspond to consumer personalities. In the late 1950s, Fords and Chevrolets were promoted as having different personalities. Ford buyers were identified as independent, impulsive, muscular, alert to change and self-confident.
- d. **Values:** - Some marketers segment by core values, the belief system that underlie consumer attitudes and behavior. Core values go much deeper than behavior or attitude, and determine at a basic level, people's choices and desires over the long term. Marketers that segment by values believe that by appealing to people's inner selves it is possible to influence their purchase behavior.

4. **Behavioral Segmentation:** = **Behavioral segmentation** divides buyers into groups based on their **knowledge, attitudes, uses, or responses** to a product. Many marketers believe that behavior variables are the best starting point for building market segments.

- a. **Occasions:** Buyers can be grouped according to occasions when they
- get the idea to buy,
 - actually make their purchase, or



- use the purchased item.

Occasion segmentation can help firms build up product usage. For example, orange juice is most often consumed at breakfast, but orange growers have promoted drinking orange juice as a cool and refreshing drink at other times of the day. In contrast, Coca-Cola's "Coke in the Morning" advertising campaign attempts to increase Coke consumption by promoting the beverage as an early morning pick-me-up. Some holidays, such as Mother's Day and Father's Day, were originally promoted partly to increase the sale of candy, flowers, cards, and other gifts. Many food marketers prepare special offers and ads for holiday occasions.

b. Benefits Sought. A powerful form of segmentation is to group buyers **according to the different benefits that they seek from the product.**

Benefit segmentation requires: finding the major benefits people look for in the product class, the kinds of people who look for each benefit, and the major brands that deliver each benefit.

For example, one study of the benefits derived from travel uncovered three major market segments: those who travel to get away and be with family, those who travel for adventure or educational purposes, and people who enjoy the "gambling" and "fun" aspects of travel.

One of the best examples of benefit segmentation was conducted in the toothpaste market. Research found four benefit segments: economic, medicinal, cosmetic, and taste. Each benefit group had special demographic, behavioral, and psychographic characteristics. Each segment also favored certain brands.

c. User Status: Markets can be segmented into groups of **nonusers, ex-users, potential users, first-time users, and regular users of a product.** A company's market position also influences its focus. Market share leaders focus on attracting potential users, whereas smaller firms focus on attracting current users away from the market leader.

d. Usage Rate: Markets can also be segmented into **light, medium, and heavy product users.** Heavy users are often a small percentage of the market but account for high percentage of total consumption. Marketers usually prefer to attract one heavy user to their product or service rather than several light users.

e. Loyalty Status: A market can also be segmented by **consumer loyalty. Consumers have a varying degree of loyalty to specific brands, stores, and companies.** Buyers can be divided into four groups according **to their degree of loyalty.**

- **Hard-core loyal:** - Completely loyal consumers - they buy one brand all the time.



- **Split loyal:** - Somewhat loyal consumers - they are loyal to two or three brands of a given product or favor one brand while sometimes buying others.
- **Shifting loyal:** Consumers who shift from one brand to another.
- **Suit hers:** - No loyalty to any brand consumers. They either want something different each time they buy or they buy whatever's on sale.

A company can learn a lot by analyzing loyalty patterns in its market. It should start by studying its own loyal customers. Each market consists of different numbers of the four types of buyers. A brand loyal market is one with a high percentage of hard-core brand loyal buyers. A company can learn a great deal by analyzing the degree of brand loyalty by studying its hard-core loyal, the company can identify its products strengths. By studying its split loyal, the company can point which brands are most competitive with its own. By looking at customers, which are shifting away from its brand, the company can learn about its marketing weakness and attempt to correct them. One caution: what appear to be a brand loyal purchase patterns may reflect habit, indifference, a low price, a high suturing cost, or the non availability of other brands. Thus a company must carefully interpret what is behind the observed purchase patterns.

f. Buyers Readiness stage: - A market consists of people in different states of readiness to buy a product. Some are unaware of the product, some are aware, some are informed, some are interested, some desire the product, and some intend to buy. The relative numbers make a big difference in designing the marketing program.

g. Attitude: - Five attitude groups can be found in market enthusiastic, positive, indifferent, negative, and hostile. To the extent that attitudes are correlated with demographic descriptors.

Lecture Synopsis

- There is no single way to segment a market.
- A marketer has to try different segmentation variables, alone and in combination, to find the best way to view the market structure.
- The basic factors used to segment the market includes: geographic, demographic, psychographic, and behavioral variables.
- Geographic segmentation calls for dividing the market into different geographical units.
- Demographic segmentation divides the market into groups based on demographic variables such as: Age and Life-Cycle Stage, Gender and Income.



- Psychographic segmentation divides buyers into different groups based on social class, lifestyle, or personality characteristics.
- Behavioral segmentation divides buyers into groups based on their knowledge, attitudes, uses, or responses to a product.
- Many marketers believe that behavior variables are the best starting point for building market segments. occasions, Benefits Sought, User Status, Usage Rate, Loyalty Status: (Hard-core loyal, Split loyal, Shifting loyal, Suit hers), Buyers Readiness stage and Attitude.

Wrap-up Questions

- List the psychographic factors used to segment a customer market
- List the behavioral factors used to segment a customer market.

Session 15

Reading Text

Segmenting Business Markets

Consumer and business marketers use many of the same variables to segment their markets.

Business buyers can be segmented:

- **Geographically**, firms that process natural resources locate close to the source to minimize shipping costs. manufactures of recreational vehicles, are geographically concentrated simply because newer firms choose to locate near the industry pioneers. Any firm that sells to those industries could use geographic segmentation.
- **Demographically** (industry, company size). Like consumers, business makes demographics that can be used to segment a market. For example, the size of a firm (measured by sales volume or number of employees), the firms type of business (advertising agencies typically focus on either clients that market to consumer or firms that sell to other businesses), or the firms methods of buying (some rely on price and select the lowest bidder, while others use criteria such as quality or delivery time).
- **Benefits sought user status, usage rate, and loyalty status.**

Business marketers also use some additional variables, such as: customer operating



characteristics, purchasing approaches, situational factors, and Personal characteristics.

To get a feel for business market segmentation, let's look at segmenting by: Types of customers, Size of customers and Type of buying situation

- **Type of Customer:** = Any firm that sells to business customers in a variety of industries may want to segment its market on the basis of customer types. For example, a firm that sells small electric motors would have a broad potential market among different industries. However, this firm will do better by segmenting its potential market by type of customer and specializing in order to more completely meet the needs of firms in a limited number of these segments.
- **Size of Customer:** - Business customer size can be measured by such factors as sales volume, number of employee's number of production facilities, and number of sales offices. Many sellers divide their potential market into large and small accounts, using separate distribution channels to reach each segments. The seller's sales force may sell directly to large volume accounts. Buy to reach the smaller accounts, the seller may use a middleperson.
- **Type of Buying Situation:** - It is one thing for United Airlines to decide between buying a new model of a Boeing Airplane versus an alternative from McDonnell Douglas or Airbus. It is quite another buying situation for a company to replenish its supply of staples or ballpoint pens. Certainly the first buying situation –called a new buy –is significantly different from the second –called a straight re buy. This situation as, along with one in between called a modified re buy. These buying situation are sufficiently different that a business seller might well segment its market into these three buy class categories. Or the seller can at least set up the segments by combining new buy and modified re buy into one segment. Different marketing programs would be developed to reach one of these two or three segments.

Segmenting International Markets

Few companies have either the resources or the Will to operate in all, or even most, of the countries that mark the globe. Although some large companies, such as Coca Cola or Sony, sell products in as many as 200 countries, most international firms focus on a smaller set. Operating in many countries presents new challenges. Different countries, even those that are close



together, can vary dramatically in their economic, cultural, and political makeup. Thus, just as they do within their domestic markets, international firms need to group their world markets into segments with distinct buying needs and behaviors.

To be useful, market segments must be:

- **Measurable:** The size, purchasing power, and profiles of the segments can be measured. Certain segmentation variables are difficult to measure.
- **Accessible:** The market segments can be effectively reached and served. Suppose a fragrance company finds that heavy users of its brand are single men and women who stay out late and socialize a lot. Unless this group lives or shops at certain places and is exposed to certain media, its members will be difficult to reach.
- **Substantial:** The market segments are large or profitable enough to serve. A segment should be the largest possible homogenous group worth pursuing, with a tailored marketing program.
- **Differentiable:** The segments are conceptually distinguishable and respond differently to different marketing mix elements and programs. If married and unmarried women respond similarly to a sale on perfume, they do not constitute separate segments.
- **Actionable:** Effective programs can be designed for attracting and serving the segments. For example, although one small airline identified seven market segments, its staff was too small to develop separate marketing programs for each segment.

Lecture synopsis

- Consumer and business marketers use many of the same variables to segment their markets.
- Business buyers can be segmented: geographically, demographically, benefits sought user status, usage rate, and loyalty status. Some additional variables, such as: customer operating characteristics, purchasing approaches, situational factors, and Personal characteristics.
- Few companies have either the resources or the will to operate in all, or even most, of the countries that mark the globe.
- Different countries, even those that are close together, can vary dramatically in their economic, cultural, and political makeup.



- Just as they do within their domestic markets, international firms need to group their world markets into segments with distinct buying needs and behaviors.
- To be useful, market segments must be: measurable, accessible, substantial, *differentiable* and actionable

Wrap-up Questions

- Discuss the bases of segmenting the business market
- Discuss the bases of segmenting the international market.

Session 16

Reading Text

Market Targeting Strategies

Meaning of Market Targeting

Market targeting is the act of select one or more market segments to enter. Market segmentation reveals the firm's market segment opportunities. Once the firm segments the market, it will evaluate the various segments and decide how many and which ones to target. We now look at how companies evaluate and select target segments.

a. Evaluating Market Segments

In evaluating different market segments, a firm must look at three factors: segment size and growth, segment structural attractiveness, and Company objectives and resources.

The company must first collect and analyze data on current segment sales, growth rates, and expected profitability for various segments. It will be interested in segments that have the right size and growth characteristics. But "right size and growth" is a relative matter. The largest, fastest-growing segments are not always the most attractive ones for every company. Smaller companies may lack the skills and resources needed to serve the larger segments or may find these segments too competitive. Such companies may select segments that are smaller and less attractive, in an absolute sense, but that are potentially more profitable for them.

The company also needs to examine factors that affect the long run segment attractiveness such



as: Major structural factors that affect long run segment attractiveness, The relative power of buyers also affects segment attractiveness, buyers with strong bargaining power relative to sellers will try to force prices down, demand more services, and set competitors against one another-all at the expense of seller profitability. Finally, a segment may be less attractive if it contains powerful suppliers who can control prices or reduce the quality or quantity of ordered goods and services.

Even if a segment has the right size and growth and is structurally attractive, the company must consider its own objectives and resources in relation to that segment. Some attractive segments could be dismissed quickly when:

- They do not mesh with the company's long-run objectives.
- The company does not possess the skills and resources it needs to succeed in that segment. Even if a segment fits the company's objectives.
- The company lacks the strengths needed to compete successfully in a segment and cannot readily obtain them, it should not enter the segment.
- Even if the company possesses the required strengths, it needs to employ skills and resources superior to those of the competition in order to really win in a market segment.
 - The company should enter only segments in which it can offer superior value and gain advantages over competitors.

b. Selecting Market Segments

After evaluating different segments, the company must now decide which and how many segments to serve. This is the problem of target market selection. A target market consists of a set of buyers who share common needs or characteristics that the company decides to serve. A firm can adopt one of three market-coverage strategies: undifferentiated marketing, differentiated marketing, and concentrated marketing.

- **Undifferentiated Marketing**

Using an undifferentiated marketing (or mass-marketing) strategy, a firm might decide to ignore market segment differences and go after the whole market with one offer. This mass-marketing strategy focuses on what is common in the needs of consumers rather than on what is different. The company designs a product and a marketing program that will appeal to the largest number of buyers. It relies on mass distribution and mass advertising, and it aims to give the product a



superior image in people's minds. Most modern marketers have strong doubts about this strategy. Difficulties arise in developing a product or brand that will satisfy all consumers. Moreover, mass marketers often have trouble competing with more focused firms that do a better job of satisfying the need of specific segments and niches.

- **Differentiated Marketing**

Using a differentiated marketing strategy, a firm decides to target several market segments or niches and designs separate offers for each. By offering product and marketing variations, these companies hope for higher sales and a stronger position within each market segment. Developing a stronger position within several segments creates more total sales than undifferentiated marketing across all segments. But differentiated marketing also increases the costs of doing business. A firm usually finds it more expensive to develop and produce, say, 10 units of 10 different products than 100 units of one product. Developing separate marketing plans for the separate segments requires extra marketing research, forecasting, sales analysis, promotion planning, and channel management. Trying to reach different market segments with different advertising increases promotion costs. Thus, the company must weigh increased sales against increased costs when deciding on a differentiated marketing strategy.

- **Concentrated Marketing**

A third market-coverage strategy, concentrated marketing, is especially appealing when company resources are limited. Instead of going after a small share of a large market, the firm goes after a large share of one or a few segments or niches.

Today, the low cost of setting up shop on the Internet makes it even more profitable to serve seemingly minuscule niches. Small businesses, in particular, are realizing riches from serving small niches on the Web.

Concentrated marketing provides an excellent way for small new businesses to get a foothold against larger, more resourceful competitors. Through concentrated marketing, firms achieve strong market positions in the segments or niches they serve because of their greater knowledge of the segments needs and the special reputations they acquire. They also enjoy many operating economies because of specialization in production, distribution, and promotion. If the segment is well chosen, firms can earn a high rate of return on their investments. At the same time, concentrated marketing involves higher-than-normal risks. The particular market segment can



turn sour. Or larger competitors may decide to enter the same segment.

c. Choosing a Market-Coverage Strategy

Many factors need to be considered when choosing a market-coverage strategy. The best strategy depends on:

- **Company resources.** When the firm's resources are limited, concentrated marketing makes the most sense.
- **The degree of product variability.** Undifferentiated marketing is more suited for uniform products such as grapefruit or steel. Products that can vary in design, such as cameras and automobiles, are more suited to differentiation or concentration.
- **The product's life-cycle stage also must be considered:** - When a firm introduces a new product, it is practical to launch only one version, and **undifferentiated marketing or concentrated marketing makes the most sense.** In the mature stage of the product life cycle, however, differentiated marketing begins to make more sense.
- **Market variability.** If most buyers have the same tastes, buy the same amounts, and react the same way to marketing efforts, undifferentiated marketing is appropriate.
- **Competitors' marketing strategies:** -When competitors use differentiated or concentrated marketing, undifferentiated marketing can be suicidal. Conversely, when competitors use undifferentiated marketing, a firm can gain an advantage by using differentiated or concentrated marketing.

Target Market Strategies

Let's assume that a company has segmented the total market for its product. Now management is in a position to select one or more segments as its target markets. The company can follow one of three strategies – market aggregation, single-segment concentration, or multiple –segment targeting.

Four guidelines govern how to determine which segments should be the target markets.

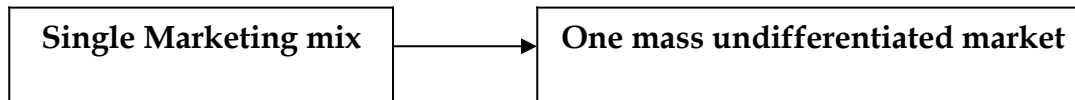
- Target markets should be compatible with the organizations goal and image.
- Match the market opportunity represented in the target markets with the company's resources.
- Over the long run, a business must generate a profit to survive.



- A company entering should seek a market where there are the least and smallest competitors. A seller should not enter a market that is already saturated with competition unless it has some overriding differential advantage that will enable it to take customers from existing firms.

a. Aggregation Strategy

By adopting a market aggregation strategy also known as a mass-market or un-differentiated market strategy –a seller treats its total market as a single segment.



An aggregated market where customers are considered to be alike with respect to demand for the product. Therefore management can develop a single marketing mix and reach most of the customers in the entire market. That is the company develops a single product for this mass audience. It develops one pricing structure and one distribution system of its product. And it uses a single promotional program aimed at the entire market.

This strategy would be appropriate for firms that are marketing undifferentiated, staple products such as salt or sugar. In the eyes of many people, sugar is sugar. Regardless of the brand, and all brands of table salt are pretty much alike.

The strength of a market aggregation is in its cost minimization. It enables a company to produce, distribute, and promote its product very efficiently.

- **Producing and marketing** one product for the entire market means longer production runs at lower unit costs.
- **Inventory costs are minimized** when there is no (or very limited) variety of colors and size of products.
- **Warehousing and transportation** are most efficient when one product is going to one market.
- **Promotion costs are minimized** when the same message is transmitted to all customers.

b. Single Segment Strategy

A single-segment (or concentration) strategy involves selecting one segment from within the total market as the target market. One marketing mix is developed to reach this single segment.



A company may want to concentrate on a single market segment rather than to take on the competitors in the broader market.

A single-segment strategy enables a seller to penetrate one market in depth to acquire a reputation as a specialist or an expert in this limited market. A company can imitate a single-segment strategy with limited resources. And as long as the single segment remains a small market, large competitors are likely to leave it alone. However, if the small market should show signs of becoming a large market, big boys jump in.

Single Marketing Mix → Market Segment A

→ Market Segment B

→ Market Segment C

The limitation of a single-segment strategy is that the seller has all its eggs in one basket. If the market potential of that single segment declines, the seller's sales decline considerably. Also even with a strong name and reputation in one segment may find it very different to expand in to a different segment.

c. Multiple-Segment strategy

Under a multiple-segment strategy two or more different groups of potential customers are identified as target markets. A separate marketing mix is developed to reach segment.

- Marketing mix A → Market segment A
- Marketing mix B → Market segment B
- Marketing mix C → Market segment C

In a multiple-segment strategy, a seller frequently will develop a different version of the basic product for each segment. However, market segmentation can also be accomplished with no change in the product, but rather with separate distribution channels or promotional appeals, each tailored to a given market segment.

Advantages of Multiple Segment Strategy

A multiple segment strategy normally results in a greater sales volume than a single segment strategy. It also is useful for a company facing seasonal demand. A firm with excess production capacity may well seek additional market segment to absorb this capacity.

Limitations of Multiple Segment Strategy



Multiple segments can provide benefits to an organization, but the strategy has some drawbacks with respect to costs and market coverage.

- In the first place, marketing to multiple segments can be expensive in both the production and marketing of products.
- A multiple-segments strategy increases marketing expenses in several ways.
 - **Total inventory costs go up**, because adequate inventories of each style, color, and the like must be maintained.
 - **Advertising costs go up**, because different ads may be required for each market segments.
 - **Distribution costs are likely to increase** as efforts are made to make products available to various segments.
 - **General administrative expenses go up** when management must plan and implement several different marketing programs.

Socially Responsible Target Marketing

Smart targeting helps companies to be more efficient and effective by focusing on the segments that they can satisfy best and most profitably. Targeting also benefits consumers-companies reach specific groups of consumers with offers carefully tailored to satisfy their needs. However, target marketing sometimes generates controversy and concern. Issues usually involve the targeting of vulnerable or disadvantaged consumers with controversial or potentially harmful products.

The meteoric growth of the Internet and other carefully targeted direct media has raised fresh concerns about potential targeting abuses. The Internet allows increasing refinement of audiences and, in turn, more precise targeting. This might help makers of questionable products or deceptive advertisers to more readily victimize the most vulnerable audiences. As one expert observes, "In theory, an audience member could have tailor-made deceptive messages sent directly to his or her computer screen.

Thus, in market targeting, the issue is not really who is targeted but rather how and for what. Controversies arise when marketers attempt to profit at the expense of targeted segments-when they unfairly target vulnerable segments or target them with questionable products or tactics. Socially responsible marketing calls for segmentation and targeting that serve not just the interests of the company but also the interests of those targeted.

Lecture Synopsis



- Market targeting is the act of select one or more market segments to enter.
- In evaluating different market segments, a firm must look at three factors: segment size and growth, segment structural attractiveness, and Company objectives and resources.
- While evaluating a segment the company must: Collect and analyze data on current segment sales, growth rates, and expected profitability for various segments, examine factors that affect the long run segment attractiveness
- After evaluating different segments, the company must now decide which and how many segments to serve.
- A firm can adopt one of three market-coverage strategies: undifferentiated marketing, differentiated marketing, and concentrated marketing.
- The best marketing coverage strategy depends on: Company resources, The degree of product variability, The product's life-cycle stage, Market variability, Competitors' marketing strategies.
- The company can follow one of three strategies – market aggregation, single-segment concentration, or multiple –segment targeting.
- Socially responsible marketing calls for segmentation and targeting that serve not just the interests of the company but also the interests of those targeted.

Wrap-up Questions

- Pick the market targeting strategies
- Discuss the socially responsible market targeting.

Session 17

Reading Text

Market Positioning

Meaning of Market Positioning

Establish and communicate the products key distinctive benefits in the market. Positioning is what you do to a product. Positioning is what you do to the mind of the prospect. Positioning is the act of designing the company's offering and image so that they occupy a meaning full and distinctive competitive position in the target customer's minds.

Tools for Competitive Differentiations



A company must try to identify the specific way it can differentiate its products to obtain a competitive advantage. Differentiation is the act of designing a set of meaningful differences to distinguish the company's offering from competitors offering. How exactly can a company differentiate its market offering from competitors? Here we will examine how a market offering can be differentiated along time dimensions: - product, services, personnel, channel or image.

Product Differentiation

Differentiation of physical products takes place along a continuous. At one extreme we find highly standards products that allow little variation. At the other extreme are products capable of high differentiation, such as automobiles, commercial holdings, and furniture. Here the seller faces an abundance of design parameters. The main product differentiations are features, performance, conformance, durability, reliability, reparability, style and design.

a. Features: - Features are characteristics that supplement the products basic function. The starting point of feature differentiation is a stripped down, or "bare bones", version of the product. The company can create additional version by adding extra features. Thus automobile manufacturers can offer optional features, such as electric windows, air bags, automatic transmission, and air conditioning. Each feature has a chance of capturing the fancy of additional buyers.

How can a company identify and select appropriate features? One answer is for the company to contact recent buyers and ask them a series of questions. How do you like the product? Any bad features? Good features? Are there any features that could be added that would improve your satisfaction? What are they? How much would you pay for each feature? How do you feel about each of several features that other customers suggested?

This research will provide the company with a long list of potential features. The next task is to decide which features one worth adding.

b. Performance Quality: - Most products are established initially at one of four performance levels, low, average, high and superior. Performance quality refers to the level at which the products primary characteristics operate. The important question here is: Does higher product performance produce higher profitability?

Quality's link to profitability does not mean that the firms should always design the highest performance level possible. There are diminishing returns to level increasing performance, in



that fewer buyers are willing to pay for it. The manufacturer must design a performance level appropriate to the target market and competitor's performance levels. A company must also decide how to manage performance quality through time. Three strategies are available here.

- The first, where the manufacture continuously improves the product, often produces the highest return and market share.
- The second strategy is to maintain product quality at a given level.
- The third strategy is to reduce product quality through time.

Some companies cut quality to offset rising costs, hoping the buyers will not notice any difference. Others reduce the quality deliberately by in order to increase this current profits, although this course of action often hurt this long run profitability.

c. Conformance Quality: - Buyers expect products to have a high conformance quality.

Conformance quality is the degree to which all the produced units are identical and meet the promised target specifications. Suppose a Porsche 944 is designed to accelerate to 60 miles an hour within 10 seconds. If every Porsche 944 coming off the assembly line does this, the model is said to have high conformance quality. However, If 944s vary greatly in their acceleration time, they have low conformance on this criterion. The problem with low conformance is that the product will felt to deliver on its promises to many buyers.

d. Durability: - **Durability** is a very important product attribute to most buyers. Durability is a measure of the product's expected operating life under natural and/or stressful conditions.

Buyers will generally pay more for products that have more durability. However, this rule is subject to some qualifications. The extra price must not be excessive. Furthermore, the product must not be subject to technological obsolescence, in which case the buyer may not pay more for longer-lived products.

e. Reliability: - Buyers normally will pay a premium for product with more reliability.

Reliability is a measure of the probability that a product will not manufacture or fail within a specified time period. Buyers want to avoid the high costs of product breakdowns and repair time.

f. Reparability: - Buyers prefer products that are easy to repair. Reparability is a measure of the ease of fixing a product that manufactures fails. Thus an automobile made with standard parts that are easily replaced has high reparability. Ideal reparability would exist if users could fix



the product themselves with little or no cost or time lost. The buyer might simply remove the defective part and insert a replacement part.

g. Style: - Buyers are normally willing to pay a premium for products that are attractively styled. Style describes the product's looks and feel to the buyer. Many car buyers pay a premium for jaguar automobiles because of this extraordinary look, even though Jaguar had in the past a poor record of reliability.

Style has the advantage of creating product distinctiveness that is difficult to copy. Under style differentiation, we must include packaging as a styling weapon, especially in food products, cosmetics, toiletries, and small-consumer appliances. The package provides the buyer's first encounter with the product and is capable of turning the buyer on or off.

h. Design: - As competitions intensify, designs will offer one of the most patent ways to differentiate and position a company's products and services. Design is the totality of features that affect how a products look and functions in terms of customer requirements.

Design is particularly important in making and marketing desirable equipment, apparel, retail services and packaged goods. All of the qualities we've discussed under the meaning "Product differentiation are design parameters. The design has to figure out how much to invest in feature development, performance, conformance, reliability, reparability, style and so forth.

Lecture synopsis

- Positioning is what you do to a product. Positioning is what you do to the mind of the prospect.
- Positioning is the act of designing the company's offering and image so that they occupy a meaning full and distinctive competitive position in the target customer's minds.
- Differentiation is the act of designing a set of meaningful differences to distinguish the company's offering from competitors offering.
- A company must try to identify the specific way it can differentiate its products to obtain a competitive advantage.
- A market offering can be differentiated along time dimensions: - product, services, personnel, channel or image.
- Differentiation of physical products takes place along a continuous.



- The main product differentiations are features, performance, conformance, durability, reliability, reparability, style and design.

Wrap-up Questions

- Discuss the market positioning strategies
- Discuss the product differentiation strategies.

Session 18

Reading Text

Service Differentiation

In addition to differentiating its physical products, a firm can also differentiate its services. The main service differentiations are ordering ease, delivery, installation, customer training, customers consulting, maintenance and repair, and a few others.

- **Ordering Ease:** - Ordering ease refers to how easy it is for the customer to place an order with the company. For example, some company's has eased the ordering process by supplying customers with computer terminals through which they sell orders directly to the seller. Many banks are now providing home banking software to help customers get information and transact with the bank more efficiently.
- **Delivery:** - Delivery refers to how well the product or service is delivered to the customers. It includes the speed, accuracy, and care attending the delivery process. Buyers will often choose the supplier with a better reputation for on-time delivery.
- **Installation:** - Installation refers to the work done to make a product operational in its planned location. Buyers of heavy equipment expect good installation service from the vendor. For examples, some companies deliver all the purchased equipment to the site at the same time rather than sending in different components at different times.
- **Customer Training:** - Customer training refers to training the customer's employees to use the vendor's equipment properly and efficiently. Some companies are not only selling and installs this expensive equipments but also takes on the responsibility for training the uses of this equipment.
- **Customer consulting:** - Customers consulting refer to data, information systems, and advising services that the seller offers free or for a price to buyers. Some sellers consult their



buyers in setting up accounting and inventory systems, computer ordering systems and so forth.

- **Maintenance and repair:** - Maintenance and repair describes the company's service program for helping customers keep this purchased product in good working order. Automobile buyers are especially concerned with the quality of repair service that they can expect from this dealer.
- **Miscellaneous services:** - Companies can find many other ways to add value by differentiating their customer services. They can offer a better product warranty or maintenance contract than their competitors. They can establish patronage awards, as the airlines have done with their frequent-flyer programs.

Personal Differentiations

Companies can gain a strong competitive advantage through hiring and training better people than their competitions do. Better-trained personnel exhibit six characteristics:

- **Competence** –The employees possess the required skill and knowledge.
- **Courtesy** –The employees are friendly, respectful and considerate.
- **Credibility** –The employees are trust worthy.
–The employees perform the service consistently and accurately.
- **Responsiveness** –The employees respond quickly to customer's requests and problems.
- **Communication** –The employees make an effort to understand the customer and communicate clearly.

Differentiating & Positioning the Market Offering

- **Attribute positioning:** - When company's positions itself on attributes. E.g. Size, color. Etc.
- **Benefit positioning:** - Here the product is positioned as the leader on a certain benefits.
- **Use/ Application positioning:** - Positioning the product as best for some use or application.
- **User Positioning:** - Positioning the product as best for some user group.
- **Competitor positioning:** - Product positions itself as better in some way than a named or implied competitor.
- **Product category positioning:** - Product positioned as the leader in a certain product category.



- **Quality/Price positioning:** - Product positioned as offering the best value.

Positioning For Competitive Advantage

Once a company has decided which segments of the market it will enter, it must decide what positions it wants to occupy in those segments. A product's position is the way the product is defined by consumers on important attributes-the place the product occupies in consumers' minds relative to competing products. Positioning involves implanting the brand's unique benefits and differentiation in customers' minds.

Consumers are overloaded with information about products and services. They cannot reevaluate products every time they make a buying decision. To simplify the buying process, consumers organize products into categories-they "position" products, services, and companies in their minds. A product's position is the complex set of perceptions, impressions, and feelings that consumers have for the product compared with competing products. Consumers position products with or without the help of marketers. But marketers do not want to leave their products' positions to chance. They must plan positions that will give their products the greatest advantage in selected target markets, and they must design marketing mixes to create these planned positions.

Choosing a Positioning Strategy

Some firms find it easy to choose their positioning strategy. For example, a firm well known for quality in certain segments will go for this position in a new segment if there are enough buyers seeking quality. But in many cases, two or more firms will go after the same position. Then, each will have to find other ways to set itself apart. Each firm must differentiate its offer by building a unique bundle of benefits that appeal to a substantial group within the segment.

The positioning task consists of three steps: identifying a set of possible competitive advantages upon which to build a position, choosing the right competitive advantages, and selecting an overall positioning strategy. The company must then effectively communicate and deliver the chosen position to the market.

Identifying Possible Competitive Advantages

The key to winning and keeping customers is to understand their needs and buying processes better than competitors do and to deliver more value. To the extent that a company can position



itself as providing superior value to selected target markets it gains competitive advantage. But solid positions cannot be built on empty promises. If a company positions its product as offering the best quality and service, it must then deliver the promised quality and service. Thus, positioning begins with actually differentiating the company's marketing offer so that it will give consumers more value than competitors' offers do.

To find points of differentiation, marketers must think through the customer's entire experience with the company's product or service. An alert, company can find ways to differentiate itself at every point where it comes in contact with customers. In what specific ways can a company differentiate its offer from those of competitors? A company or market offer can be differentiated along the lines of product, services, channels, people, or image.

Communicating and Delivering the Chosen Position

Once it has chosen a position, the company must take strong steps to deliver and communicate the desired position to target consumers. All the company's marketing mix efforts must support the positioning strategy. Positioning the company calls for concrete action, not just talk. If the company decides to build a position on better quality and service, it must first deliver that position. Designing the marketing mix-product, price, place, and promotion-essentially involves working out the tactical details of the positioning strategy. Thus, a firm that seizes on a "for more" position knows that it must produce high-quality products, charge a high price, distribute through high-quality dealers, and advertise in high-quality media. It must hire and train more service people, find retailers who have a good reputation for service, and develop sales and advertising messages that broadcast its superior service. This is the only way to build a consistent and believable "more for more" position.

Companies often find it easier to come up with a good positioning strategy than to implement it. Establishing a position or changing one usually takes a long time. In contrast, positions that have taken years to build can quickly be lost. Once a company has built the desired position, it must take care to maintain the position through consistent performance and communication. It must closely monitor and adapt the position over time to match changes in consumer needs and competitors' strategies. However, the company should avoid abrupt changes that might confuse consumers. Instead, a product's position should evolve gradually as it adapts to the ever-changing marketing environment.



Lecture synopsis

- A firm can differentiate its services like its physical products.
- The main service differentiation tools are ordering ease, delivery, installation, customer training, customers consulting, maintenance and repair, and a few others.
- Companies can gain a strong competitive advantage through hiring and training better people than their competitions do.
- Better-trained personnel exhibit six characteristics: Competence, Courtesy, Credibility, Responsiveness, and Communication.
- Marketers can use different factors to position their market offering such as: Attribute positioning, Benefit positioning, Use/ Application positioning, User Positioning, Competitor positioning, Product category positioning and Quality/Price positioning.
- Once a company has decided which segments of the market it will enter, it must decide what positions it wants to occupy in those segments.
- A product's position is the way the product is defined by consumers on important attributes- the place the product occupies in consumers' minds relative to competing products.
- Positioning involves implanting the brand's unique benefits and differentiation in customers' minds.
- Some firms find it easy to choose their positioning strategy.
- Each firm must differentiate its offer by building a unique bundle of benefits that appeals to a substantial group within the segment.
- The positioning task consists of three steps:
 - identifying a set of possible competitive advantages upon which to build a position,
 - choosing the right competitive advantages, and
 - selecting an overall positioning strategy.
- The key to winning and keeping customers is to understand their needs and buying processes better than competitors do and to deliver more value.
- Positioning begins with actually differentiating the company's marketing offer so that it will give consumers more value than competitors' offers do.
- All the company's marketing mix efforts must support the positioning strategy.
- Positioning the company calls for concrete action, not just talk.



Wrap-up Questions

- Discuss the service and personal differentiation strategies.
- Pick the positioning strategies

Chapter 5

Consumer Buying Behavior

Module 5

Introduction

The aim of marketing is to meet and satisfy target customers' needs and wants. The field of consumer behavior studies how individual, groups, and organization select, buy, use, and dispose of goods, services, ideas of experiences to satisfy their needs & desires.

Understanding consumer buying behavior and "**Knowing customers**" are never simple. Customers may state their needs and wants but act otherwise. They may not in touch with their deeper motivations. They may respond to influences that change their mind at the last minute. Nevertheless, marketers must study their target customers' wants, perception, preferences, and shopping & buying behavior.

Learning Objectives

After studying this, you will be able to:

- Explain the process consumers go through in making purchase decision.



- Understand how the influence of culture, subculture, social class membership and reference groups on buying behavior
- Comprehend the roles of motivation, perception, learning, personality, and attitudes in shaping consumer behavior
- Understand how commercial and social information sources influence buying decisions.
- Realize how the buyer makes purchase decision.
- Understand how the buyer's characteristic influence the buying behavior?

Discussion Questions

- What is customer buying behavior? Discuss
- What factors influence customer buying behavior?
- Are customers differentiated based on their buying behavior?

Session 19

Reading Text

Model of Consumer Behavior – 7 O's Framework

Understanding consumer buying behavior and "Knowing customers" are never simple. Customers may state their needs and wants but act otherwise. They may not in touch with their deeper motivations. They may respond to influences that change their mind at the last minute. Nevertheless, marketers must study their target customers' wants, perception, preferences, and shopping & buying behavior.

Managers have had to rely on the 7'O's framework for consumer research to answer the following questions about the market:

Who constitute the market?	Occupants
What does the market buy?	Objects
Why does the market buy?	Objectives
Who participates in the buying?	Organizations
How does the market buy?	Operations
When does the market buy?	Occasions



Where does the market buy? Outlets

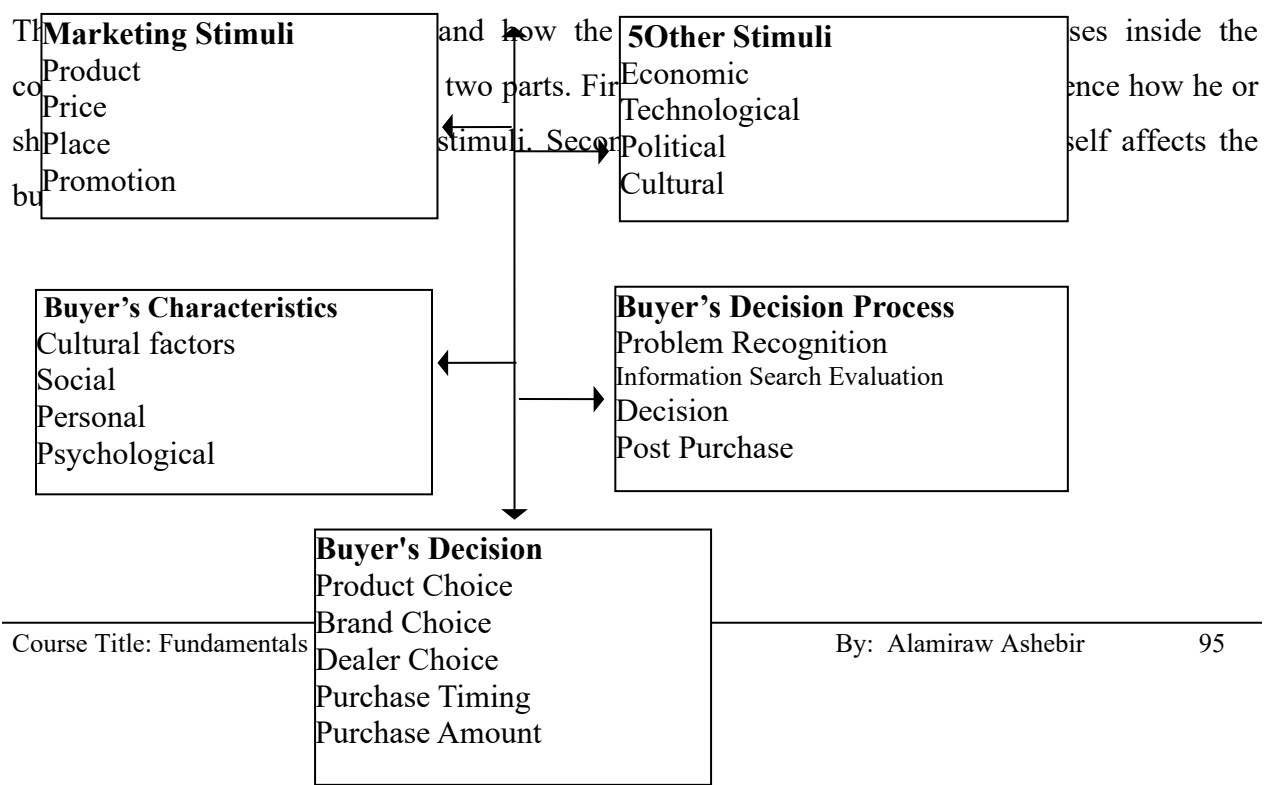
The starting point for understanding buying behavior is the stimulus- response. Marketing and environmental stimuli enter the buyer's consciousness. The buyer's characteristics and decision process lead to purchase decisions.

Consumers make many buying decisions every day. Most large company's research consumer's buying decisions in great detail to answer questions about: what consumers buy, where they buy, how and how much they buy, when they buy, and Why they buy.

Marketers can study actual consumer purchases to find out What they buy, Where, and how much. But learning about the *whys* of consumer buying behavior is not so easy-the answers are often locked deep within the consumer's head.

The central question for marketers is: How do consumers respond to various marketing efforts the company might use?

The company that really understands how consumers will respond to different product features, prices, and advertising appeals has a great advantage over its competitors. The starting point is the stimulus-response model of buyer behavior. The Marketing stimuli consist of the four Ps: product, price, place, and promotion. Other stimuli include major forces and events in the buyer's environment: economic, technological, political, and cultural. All these inputs enter the buyer's black box, where they are turned into a set of observable buyer responses: product choice, brand choice, dealer choice, purchase timing, and Purchase amount.





Factors Influencing Consumer Buying Behavior

Consumer purchases are influenced strongly by cultural, social, personal, and psychological characteristics. For the most part, marketers cannot control such factors, but they must take them into account.

a. Cultural Factors

Cultural factors exert the broadest and deepest influence on consumer behavior. The marketer needs to understand the role played by the buyer's *culture*, *subculture*, and *social class*.

- **Culture:** - Culture is the most basic cause of a person's wants and behavior. Human behavior is largely learned. Growing up in a society, a child learns basic values, perceptions, wants, and behaviors from the family and other important institutions.

Every group or society has a culture, and cultural influences on buying behavior may vary greatly from country to country. Failure to adjust to these differences can result in ineffective marketing or embarrassing mistakes.

- **Subculture:** - Each culture contains smaller subcultures, or groups of people with shared value systems based on common life experiences and situations. Subcultures include nationalities, religions, racial groups, and geographic regions. Many subcultures make up important market-segments, and marketers often design products and marketing programs tailored to their needs.
- **Social Class:** - Almost every society has some form of social class structure. **Social classes** are society's relatively permanent and ordered divisions whose members share similar values, interests, and behaviors.

Social class is not determined by a single factor, such as income, but is measured as a



combination of occupation, income, education, wealth, and other variables. In some social-systems, members of different classes - are reared for certain roles and cannot change their social positions. Marketers are interested in social class because people within a given social class tend to exhibit similar buying behavior.

- Social classes show distinct product and brand preferences in areas such as clothing, home furnishings, leisure activity, and automobiles.

b. Social Factors

A consumer's behavior also is influenced by social factor, such as the consumer's *small groups*, *family*, and *social roles* and *status*.

- **Groups:** - A person's behavior is influenced by many small **groups**.
 - **Membership group:** - are groups that have a direct influence and to which a person belongs.
 - **Reference groups** serve as direct (face-to-face) or indirect points of comparison or reference in forming a person's attitudes or behavior. People often are influenced by reference groups to which they do not belong. Marketers try to identify the reference groups of their target markets. Reference groups expose a person to: new behaviors and lifestyles, influence the person's attitudes and self-concept, and create pressures to conform that may affect the person's product and brand choices.

The importance of group influence varies across products and brands. It tends to be strongest when the product is visible to others whom the buyer respects. Manufacturers of products and brands subjected to strong group influence must figure out how to reach **opinion leaders** — - people within a reference group who, because of special skills, knowledge, personality, or other characteristics, exert influence on others.

Many marketers try to identify opinion leaders for their products and direct marketing efforts toward them. In other cases, advertisements can simulate opinion leadership, thereby reducing the need for consumers to seek advice from others.

- **Family:** - Family members can strongly influence buyer behavior. The family is the most important consumer buying organization in society, and it has been researched extensively. Marketers are interested in the roles and influence of the husband, wife, and children on the purchase of different products and services.



Husband-wife involvement varies widely by product category and by stage in the buying process. Buying roles change with evolving consumer lifestyles.

Such changes suggest that marketers who've typically sold their products to only women or only men are now courting the opposite sex.

- **Roles and Status:** - A person belongs to many groups-families, clubs, organizations. The person's position in each group can be defined in terms of both role and status. A *role* consists of the activities people are expected to perform according to the persons around them.

Each role carries a *status* reflecting the general esteem given to it by society. People often choose products that show their status in society. For example, the role of brand manager has more status in our society than the role of daughter.

c. Personal Factors

A buyer's decisions also are influenced by personal characteristics such as the buyer's *age* and *life-cycle stage*, *occupation*, *economic situation*, *lifestyle*, and *personality* and *self-concept*.

- **Age and Life-Cycle Stage:** - People change the goods and services they buy over their lifetimes. Tastes in food, clothes, furniture, and recreation are often age related. Buying is also shaped by the stage of the family life cycle the stages through which families might pass as they mature over time. Marketers often define their target markets in terms of life-cycle stage and develop appropriate products and marketing plans for each stage. Traditional family life-cycle stages include young singles and married couples with children. Today, however, marketers are increasingly catering to a growing number of alternative, nontraditional stages such as unmarried couples, couples marrying later in life, childless couples, same sex couples, single parents, extended parents (those with young adult children returning home), and others.
- **Occupation:** - A person's occupation affects the goods and services bought. Blue-collar workers tend to buy more rugged work clothes, whereas white-collar workers buy more business suits. Marketers try to identify the occupational groups that have an above - average interest in their products and services. A company can even specialize in making products needed by a given occupational group. Thus, computer software companies will design different products for brand managers, accountants, engineers, lawyers, and doctors.



- **Economic Situation:** - A person's economic situation will affect product choice. Marketers of income-sensitive goods watch trends in personal income, savings, and interest rates. If economic indicators point to a recession, marketers can take steps to redesign, reposition, and reprice their products closely.
- **Lifestyle:** - People coming from the same subculture, social class, and occupation may have quite different lifestyles. **Lifestyle** is a person's pattern of living as expressed in his or her psychographics. It involves measuring consumers' major AIO dimensions:
 - **Activities** (work, hobbies, shopping, sports, social events),
 - **Interests** (food, fashion, family, recreation), and
 - **Opinions** (about themselves, social issues, business, products).

Lifestyle captures something more than the person's social class or personality. It profiles a person's whole pattern of acting and interacting in the world.

- **Personality and Self-Concept:** - Each person's distinct personality influences his or her buying behavior.

Personality refers to the unique psychological characteristics that lead to relatively consistent and lasting responses to one's own environment. Personality is usually described in terms of traits such as self-confidence, dominance, sociability, autonomy, defensiveness, adaptability, and aggressiveness. Personality can be useful in analyzing consumer behavior for certain product or brand choices.

Many marketers use a concept related to personality—a person's **self-concept** (also called **self-image**). The basic self-concept premise is that people's possessions contribute to and reflect their identities; that is, "we are what we have." Thus, in order to understand consumer behavior, the marketer must first understand the relationship between consumer self-concept and possessions.

d. Psychological Factors

A person's buying choices are further influenced by four major psychological factors: *motivation, perception, learning, and beliefs and attitudes*.

- a. **Motivation:** - A person has many needs at any given time. Some are *biological*, arising from states of tension such as hunger, thirst, or discomfort. Others are *psychological*, arising from the need for recognition, esteem, or belonging. Most of these needs will not be strong enough to motivate the person to act at a given point in time. A need becomes a



motive when it is aroused to a sufficient level of intensity. A **motive** (or drive) is a need that is sufficiently pressing to direct the person to seek satisfaction. Psychologists have developed theories of human motivation. Two of the most popular-the theories of Sigmund Freud and Abraham Maslow-have quite different meanings for consumer analysis and marketing.

Freud's Theory of Motivation

Freud assumed that people are largely unconscious about the real psychological forces shaping their behavior. He saw the person as growing up and repressing many urges. These urges are never eliminated or under perfect control; they emerge in dreams, in slips of the tongue, in neurotic and obsessive behavior, or ultimately in psychoses.

Thus, Freud suggests that a person does not fully understand his or her motivation. Motivation researchers collect in-depth information from small samples of consumers to uncover the deeper motives for their product choices. They use nondirective depth interviews and various "projective techniques" to throw the ego off guard-techniques such as word association, sentence completion, picture interpretation, and role playing. Motivation researchers have reached some interesting and sometimes odd conclusions about what may be in the buyer's mind regarding certain purchases. Despite its sometimes unusual conclusions, motivation research remains a useful tool for marketers seeking a deeper understanding of consumer behavior.

Maslow's Theory of Motivation

Abraham Maslow sought to explain why people are driven by particular needs at particular times. Why does one person spend much time and energy on personal safety and another on gaining the esteem of others? Maslow's answer is that human needs are arranged in a hierarchy, from the most pressing to the least pressing-**Maslow's hierarchy of needs**.

In order of importance, they are *physiological needs*, safety needs, social needs, esteem needs, and *self-actualization* needs. A person tries to satisfy the most important need first. When that need is satisfied, it will stop being a motivator and the person will then try to satisfy the next most important need. For example, starving people (physiological need) will not take an interest in the latest happenings in the art world (self actualization needs), nor in how they are seen or esteemed by others (social or esteem needs), nor even in whether they are breathing clean air (safety needs). But as each important need is satisfied, the next most important need will come



into play.

b. Perception: - A motivated person is ready to act. How the person acts is influenced by his or her own perception of the situation. All of us learn by the flow of information through **our five senses: sight, hearing, smell, touch, and taste**. However, each of us receives, organizes, and interprets this sensory information in an individual way.

- **Perception** is the process by which people select, organize, and interpret information to form a meaningful picture of the world.

People can form different perceptions of the same stimulus because of three perceptual processes: selective attention, selective distortion, and selective retention.

People are exposed to a great amount of stimuli every day. For example the average person may be exposed to more than 1,500 ads in a single day. It is impossible for a person to pay attention to all these stimuli.

- **Selective attention:** - the tendency for people to screen out most of the information to which they are exposed-means that marketers have to work especially hard to attract the consumer's attention. Even noted stimuli do not always come across in the intended way. Each person fits incoming information into an existing mind-set.
- **Selective distortion** describes the tendency of people to interpret information in a way that will support what they already believe.
- **Selective retention.** People also will forget much that they learn. They tend to retain information that supports their attitudes and beliefs.

Because of selective exposure, distortion, and retention, marketers have to work hard to get their messages through. This fact explains why marketers use so much drama and repetition in sending messages to their market.

Interestingly, although most marketers worry about whether their offers will be perceived at all, some consumers worry that they will be affected by marketing messages without even knowing it-through **subliminal advertising**.

c. Learning: - When people act, they learn. **Learning** describes changes in an individual's behavior arising from experience. Learning theorists say that most human behavior is learned. Learning occurs through the interplay of **drives, stimuli, cues, responses, and reinforcement**.



d. Behavior: - A drive is a strong internal stimulus that calls for action. Cues are minor stimuli that determine when, where, and how the person responds.

e. Beliefs and Attitudes: - Through doing and learning, people acquire beliefs and attitudes.

These, in turn, influence their buying behavior.

- A **belief** is a descriptive thought that a person has about something.

Marketers are interested in the beliefs that people formulate about specific products and services, because these beliefs make up product and brand images that affect buying behavior. If some of the beliefs are wrong and prevent purchase, the marketer will want to launch a campaign to correct them. People have attitudes regarding religion, politics, clothes, music, food, and almost everything else.

f. Attitude describes a person's relatively consistent evaluations, feelings, and tendencies toward an object or idea. Attitudes put people into a frame of mind of liking or disliking things, of moving toward or away from them.

Attitudes are difficult to change. A person's attitudes fit into a pattern, and to change one attitude may require difficult adjustments in many others. Thus, a company should usually try to fit its products into existing attitudes rather than attempt to change attitudes. Of course, there are exceptions in which the great cost of trying to change attitudes may payoff handsomely.

Lecture Synopsis

- Understanding consumer buying behavior and "Knowing customers" are never simple.
- Customers may state their needs and wants but act otherwise. They may not in touch with their deeper motivations.
- They may respond to influences that change their mind at the last minute. Nevertheless, marketers must study their target customers' wants, perception, preferences, and shopping & buying behavior.
- The starting point for understanding buying behavior is the stimulus- response model of buyer behavior. The Marketing stimuli consist of the four Ps: product, price, place, and promotion.
- Other stimuli include major forces and events in the buyer's environment: economic, technological, political, and cultural.
- All these inputs turned into a set of observable buyer responses: product choice, brand



choice, dealer choice, purchase timing, and Purchase amount.

- The marketer wants to understand how the stimuli are changed into responses
- The buyer's characteristics influence how he or she perceives and reacts to the stimuli.
- The buyer's decision process itself affects the buyer's behavior.
- Consumer purchases are influenced strongly by different factors such as: cultural, social, personal, and psychological characteristics.
- For the most part, marketers cannot control such factors, but they must take them into account. Cultural factors exert the broadest and deepest influence on consumer behavior.
- The marketer needs to understand the role played by the buyer's culture, subculture, and social class.
- A consumer's behavior also is influenced by social factor, such as the consumer's small groups, family, and social roles and status.
- A buyer's decisions also are influenced by personal characteristics such as the buyer's age and life-cycle stage, occupation, economic situation, lifestyle, and personality and self-concept.
- A person's buying choices are further influenced by four major psychological factors: motivation, perception, learning, and beliefs and attitudes.

Wrap – up Questions

- Pick the factors that influence customers buying behavior.
- Discuss the relationship between the stimuli and customer buying response.

Session 20

Reading Text

Types of Buying Decision Behavior

Buying behavior differs greatly for a tube of toothpaste, a tennis racket, an expensive camera, and a new car. More complex decisions usually involve more buying participants and more buyer deliberation.

- **Complex Buying Behavior**

Consumers undertake complex buying behavior when they are highly involved in a purchase and perceive significant differences among brands. Consumers may be highly involved when the



product is expensive, risky, purchased infrequently, and highly self-expressive. Typically, the consumer has much to learn about the product category. For example, a personal computer buyer may not know what attributes to consider.

This buyer will pass through a learning process: first developing beliefs about the product, then attitudes, and then making a thoughtful purchase choice.

Marketers of high-involvement products must understand the information-gathering and evaluation behavior of high-involvement consumers. They need to help buyers learn about product-class attributes and their relative importance, and about what the company's brand offers on the important attributes. Marketers need to differentiate their brand's features, perhaps by describing the brand's benefits using print media with long copy. They must motivate store salespeople and the buyer's acquaintances to influence the final brand choice.

- **Dissonance-Reducing Buying Behavior**

Dissonance-reducing buying behavior occurs when consumers are highly involved with an expensive, infrequent or risky purchase, but see little difference among brands. For example, consumers buying carpeting may face a high-involvement decision because carpeting is expensive and self-expressive. Yet buyers may consider most carpet brands in a given price range to be the same. In this case, because perceived brand differences are not large, buyers may shop around to learn what is available, but buy relatively quickly. They may respond primarily to a good price or to purchase convenience.

After the purchase, consumers might experience post purchase dissonance (after-sale discomfort) when they notice certain disadvantages of the purchased carpet brand or hear favorable things about brands not purchased. To counter such dissonance, the marketer's after-sale communication should provide evidence and support to help consumers feel good about their brand choices.

- **Habitual Buying Behavior**

Habitual buying behavior occurs under conditions of low consumer involvement and little significant brand difference. For example, take salt. Consumers have little involvement in this product category-they simply go to the store and reach for a brand. If they keep reaching for the same brand, it is out of habit rather than strong brand loyalty. Consumers appear to have low involvement with most low-cost, frequently purchased products.



In such cases, consumer behavior does not pass through the usual belief-attitude-behavior sequence. Consumers do not search extensively for information about the brands, evaluate brand characteristics, and make weighty decisions about which brands to buy. Instead, they passively receive information as they watch television or read magazines. Ad repetition creates brand familiarity rather than brand conviction. Consumers do not form strong attitudes toward a brand; they select the brand because it is familiar. Because they are not highly involved with the product, consumers may not evaluate the choice even after purchase. Thus, the buying process involves brand beliefs formed by passive learning, followed by purchase behavior, which may or may not be followed by evaluation.

Because buyers are not highly committed to any brands, marketers of low involvement products with few brand differences often use price and sales promotions to stimulate product trial. In advertising for a low-involvement product, ad copy should stress only a few key points. Visual symbols and imagery are important because they can be remembered easily and associated with the brand. Ad campaigns should include high repetition of short-duration messages. Television is usually more effective than print media because it is a low-involvement medium suitable for passive learning. Advertising planning should be based on classical conditioning theory, in which buyers learn to identify a certain product by a symbol repeatedly attached to it.

Marketers can try to convert low-involvement products into higher-involvement ones by linking them to some involving issue.

- **Variety-Seeking Buying Behavior**

Consumers undertake variety-seeking buying behavior in situations characterized by low consumer involvement but significant perceived brand differences. In such cases, consumers often do a lot of brand switching. For example, when buying cookies, a consumer may hold some beliefs, choose a cookie brand without much evaluation, then evaluate that brand during consumption. But the next time, the consumer might pick another brand out of boredom or simply to try something different. Brand switching occurs for the sake of variety rather than because of dissatisfaction.

In such product categories, the marketing strategy may differ for the market leader and minor brands. The market leader will to encourage habitual buying behavior by dominating shelf space,



keeping shelves fully stocked, and running frequent reminder advertising. Challenger firms will encourage variety seeking, by offering lower prices, special deals, coupons, free samples, and advertising that presents reasons for trying something new.

Four Types of Buying Behavior

	Customers' Involvement	
	High Involvement	Low Involvement
Significant differences between brands	Complex buying behavior	Variety seeking buying behavior
Few difference between brands	Dissonance reducing buying behavior	Habitual buying behavior

The Stages of the Buyer Decision Process

Now that we have looked at the influences that affect buyers, we are ready to look at how consumers make buying decisions. The buyer decision process consists of five stages:

- need recognition ----- Attention
- information search ----- Interest
- evaluation of alternatives -- Desire
- purchase decision-----Action
- post purchase behavior----- Satisfaction

Clearly, the buying process starts long before actual purchase and continues long after. Marketers need to focus on the entire buying process rather than on just the purchase decision.

1. Need Recognition

The buying process starts with need recognition-the buyer recognizes a problem or need. The buyer senses a difference between his or her *actual* state and some *desired* state. The need can be triggered by internal stimuli when one of the person's normal needs-hunger, thirst, sex-rises to a level high enough to become a drive. A need can also be triggered by external stimuli. At this stage, the marketer should research consumers to find out what kinds of needs or problems arise, what brought them about, and how they led the consumer to this particular product.

By gathering such information, the marketer can identify the factors that most often trigger interest in the product and can develop marketing programs that involve these factors.

2. Information Search

An aroused consumer may or may not search for more information. If the consumer's drive is



strong and a satisfying product is near at hand, the consumer is likely to buy it then. If not, the consumer may store the need in memory or undertake an information search related to the need.

At one level, the consumer may simply enter heightened attention. The consumer can obtain information from any of several sources. These include

- **Personal sources** (family, friends, neighbors, and acquaintances). Most effective sources, however, tend to be personal. They legitimize or evaluate products for the buyer.
- **Commercial sources** (advertising, salespeople, dealers, packaging, displays, and Web sites). Source of Most information and controlled by the marketer. They inform the buyer.
- **Public sources** (mass media, consumer-rating organizations), and
- **Experiential sources** (handling, examining, using the product).

The relative influence of these information sources varies with the product and the buyer.

People often ask others-friends, relatives, acquaintances, professionals-for recommendations concerning a product or service. Thus, companies have a strong interest in building such word-of-mouth sources. These sources have two chief advantages.

- **First, they are convincing:** Word of mouth is the only promotion method that is of consumers, *by* consumers, and *for* consumers. Having loyal, satisfied customers that brag about doing business with you is the dream of every business owner. Not only are satisfied customers repeat buyers, but they are also walking, talking billboards for your business.
- **Second, the costs are low.** Keeping in touch with satisfied customers and turning them into word-of-mouth advocates costs the business relatively little.

As more information is obtained, the consumer's awareness and knowledge of the available brands and features increases. A company must design its marketing mix to make prospects aware of and knowledgeable about its brand. It should carefully identify consumers' sources of information and the importance of each source. Consumers should be asked how they first heard about the brand, what information they received, and what importance they placed on different information sources.

3. Evaluation of Alternatives

We have seen how the consumer uses information to arrive at a set of final brand choices. How does the consumer choose among the alternative brands? The marketer needs to know about



alternative evaluation—that is, how the consumer processes information to arrive at brand choices. Unfortunately, consumers do not use a simple and single evaluation process in all buying situations. Instead, several evaluation processes are at work.

The consumer arrives at attitudes toward different brands through some evaluation procedure. How consumers go about evaluating purchase alternatives depends on the individual consumer and the specific buying situation. In some cases, consumers use careful calculations and logical thinking. At other times, the same consumers do little or no evaluating; instead they buy on impulse and rely on intuition. Sometimes consumers make buying decisions on their own; sometimes they turn to friends, consumer guides, or salespeople for buying advice.

Marketers should study buyers to find out how they actually evaluate brand alternatives. If they know what evaluative processes go on, marketers can take steps to influence the buyer's decision.

4. Purchase Decision

In the evaluation stage, the consumer ranks brands and forms purchase intentions. Generally, the consumer's purchase decision will be to buy the most preferred brand, but two factors can come between the purchase intention and the purchase decision.

- The first factor is the attitudes of others.
- The second factor is unexpected situational factors.

The consumer may form a purchase intention based on factors such as expected income, expected price, and expected product benefits. However, unexpected events may change the purchase intention.

5 Post-purchase behaviors

The marketer's job does not end when the product is bought. After purchasing the product, the consumer will be satisfied or dissatisfied and will engage in post-purchase behavior of interest to the marketer. What determines whether the buyer is satisfied or dissatisfied with a purchase? The answer lies in the relationship between the consumer's expectations and the product's perceived performance. If the product falls short of expectations, the consumer is disappointed; if it meets expectations, the consumer is satisfied; if it exceeds expectations, the consumer is delighted.

The larger the gap between expectations and performance, the greater the consumer's dissatisfaction will be. This suggests that sellers should make product claims that faithfully



represent the product's performance so that buyers are satisfied. Some sellers might even understate performance levels to boost consumer satisfaction with the product.

Almost all major purchases result in cognitive dissonance, or discomfort caused by post-purchase conflict. After the purchase, consumers are satisfied with the benefits of the chosen brand and are glad to avoid the drawbacks of the brands not bought. However, every purchase involves compromise. Consumers feel uneasy about acquiring the drawbacks of the chosen brand and about losing the benefits of the brands not purchased. Thus, consumers feel at least some post-purchase dissonance for every purchase.

Why is it so important to satisfy the customer? Such satisfaction is important because a company's sales come from two basic groups-new customers and retained customers. It usually costs more to attract new customers than to retain current ones, and the best way to retain current customers is to keep them satisfied. Customer satisfaction is a key to making lasting connections with consumers-to keeping and growing consumers and reaping their customer lifetime value.

Satisfied customers buy a product again, talk favorably to others about the product, pay less attention to competing brands and advertising, and buy other products from the company. Many marketers go beyond merely meeting the expectations of customers-they aim to delight the customer. A delighted customer is even more likely to purchase again and to talk favorably about the product and company.

A dissatisfied consumer responds differently. Whereas, on average, a satisfied customer tells 3 people about a good product experience, a dissatisfied customer gripes to 11 people. In fact, one study showed that 13 percent of the people who had a problem with an organization complained about the company to more than 20 people. Clearly, bad word of mouth travels farther and faster than good word of mouth and can quickly damage consumer attitudes about a company and its products. Therefore, a company would be wise to measure customer satisfaction regularly.

It cannot simply rely on dissatisfied customers to volunteer their complaints when they are dissatisfied. Some 96 percent of unhappy customers never tell the company about their problem. Companies should set up systems that encourage customers to complain. In this way, the company can learn how well it is doing and how it can improve. But listening is not enough-the company also must respond constructively to the complaints it receives.



Lecture Synopsis

- Buying behavior differs greatly.
- More complex decisions usually involve more buying participants and more buyer deliberation.
- Customers demonstrate different buying behavior such as: Complex Buying Behavior, Dissonance-Reducing Buying Behavior, Habitual Buying Behavior and Variety-Seeking Buying Behavior.
- Consumers undertake complex buying behavior when they are highly involved in a purchase and perceive significant differences among brands.
- Dissonance-reducing buying behavior occurs when consumers are highly involved with an expensive, infrequent or risky purchase, but see little difference among brands.
- Habitual buying behavior occurs under conditions of low consumer involvement and little significant brand difference.
- Consumers undertake variety-seeking buying behavior in situations characterized by low consumer involvement but significant perceived brand differences.
- The buyer decision process consists of five stages: need recognition, information search, evaluation of alternatives, purchase decision, and post purchase behavior.
- The buying process starts long before actual purchase and continues long after.
- Marketers need to focus on the entire buying process rather than on just the purchase decision.

Wrap-up Questions

- Pick the customers buying behavior
- Discuss the stages of the customers buying decision process

Session 21

Reading Text

The Buyer Decision Process for New Products

We have looked at the stages buyers go through in trying to satisfy a need. Buyers may pass quickly or slowly through these stages, and some of the stages may even be reversed. Much depends on the nature of the buyer, the product, and the buying situation.



We now look at how buyers approach the purchase of new products. A new product is a good, service, or idea that is perceived by some potential customers as new. It may have been around for a while, but our interest is in how consumers learn about products for the first time and make decisions on whether to adopt them. We define the adoption process as "the mental process through which an individual passes from first learning about an innovation to final adoption" and *adoption* as the decision by an individual to become a regular user of the product.

Stages in the Adoption Process

Consumers go through five stages in the process of adopting a new product:

- **Awareness:** The consumer becomes aware of the new product, but lacks information about it.
- **Interest:** The consumer seeks information about the new product.
- **Evaluation:** The consumer considers whether trying the new product makes sense.
- **Trial:** The consumer tries the new product on a small scale to improve his or her estimate of its value.
- **Adoption:** The consumer decides to make full and regular use of the new product.

This model suggests that the new-product marketer should think about how to help consumers move through these stages. A manufacturer of large-screen televisions may discover that many consumers in the interest stage do not move to the trial stage because of uncertainty and the large investment. If these same consumers were willing to use a large-screen television on a trial basis for a small fee, the manufacturer should consider offering a trial-use plan with an option to buy.

Individual Differences in Innovativeness

People differ greatly in their readiness to try new products. In each product area, there are "consumption pioneers" and early adopters. Other individuals adopt new products much later. People can be classified into the adopter categories. After a slow start, an increasing number of people adopt the new product. The number of adopters reaches a peak and then drops off as fewer non-adopters remain. Innovators are defined as the first 2.5 percent of the buyers to adopt a new idea (those beyond two standard deviations from mean adoption time); the early adopters are the next 13.5 percent (between one and two standard deviations); and so forth.

The five adopter groups have differing values.

- **Innovators** are venturesome—they try new ideas at some risk.



- **Early adopters** are guided by respect-they are opinion leaders in their communities and adopt new ideas early but carefully.
- **The early majority** are deliberate-although they rarely are leaders, they adopt new ideas before the average person.
- **The late majorities** are skeptical-they adopt an innovation only after a majority of people have tried it.
- Finally, **laggards** are tradition bound-they are suspicious of changes and adopt the innovation only when it has become something of a tradition itself.

This adopter classification suggests that an innovating firm should research the characteristics of innovators and early adopters and should direct marketing efforts toward them. In general, innovators tend to be relatively younger, better educated, and higher in income than later adopters and non-adopters. They are more receptive to unfamiliar things, rely more on their own values and judgment, and are more willing to take risks. They are less brand loyal and more likely to take advantage of special promotions such as discounts, coupons, and samples.

Influence of Product Characteristics on Rate of Adoption

The characteristics of the new product affect its rate of adoption. Some products catch on almost overnight, whereas others take a long time to gain acceptance. Five characteristics are especially important in influencing an innovation's rate of adoption.

- **Relative advantage:** - The degree to which the innovation appears superior to existing products.
- **Compatibility:** - The degree to which the innovation fits the values and experiences of potential consumers.
- **Complexity:** - The degree to which the innovation is difficult to understand or use.
- **Divisibility:** - The degree to which the innovation may be tried on a limited basis.
- **Communicability:** - The degree to which the results of using the innovation can be observed or described to others.
- Other characteristics that influence the rate of adoption are factors such as initial and ongoing costs, risk and uncertainty, and Social approval.

The new-product marketer has to research all these factors when developing the new product and



its marketing program.

Consumer Behavior across International Borders

Understanding consumer behavior is difficult enough for companies marketing within the borders of a single country. For companies operating in many countries, however, understanding and serving the needs of consumers can be daunting. Although consumers in different countries may have some things in common, their values, attitudes, and behaviors often vary greatly. International marketers must understand such differences and adjust their products and marketing programs accordingly.

Sometimes the differences are obvious. Often, differences across international markets are more subtle. They may result from physical differences in consumers and their environments. Failing to understand such differences in customs and behaviors from one country to another can spell disaster for a marketer's international products and programs.

Marketers must decide on the degree to which they will adapt their products and marketing programs to meet the unique cultures and needs of consumers in various markets. On the one hand, they want to standardize their offerings in order to simplify operations and take advantage of cost economies. On the other hand, adapting marketing efforts within each country results in products and programs that better satisfy the needs of local consumers. The question of whether to adapt or standardize the marketing mix across international markets has created a lively debate in recent years.

Lecture Synopsis

- Buyers may pass quickly or slowly through these stages, and some of the stages may even be reversed. Much depends on the nature of the buyer, the product, and the buying situation.
- A new product is a good, service, or idea that is perceived by some potential customers as new.
- Consumers go through five stages in the process of adopting a new product: Awareness, Interest, Evaluation, Trial and Adoption.
- People differ greatly in their readiness to try new products.
- In each product area, there are "consumption pioneers" and early adopters. Other individuals adopt new products much later. People can be classified into the adopter categories.



- The five adopter groups with differing values are: Innovators, Early adopters, The early majority, The late majorities, and laggards
- The characteristics of the new product affect its rate of adoption. Some products catch on almost overnight, whereas others take a long time to gain acceptance.
- Five characteristics are especially important in influencing an innovation's rate of adoption. They are: Relative advantage, Compatibility, Complexity, Divisibility, and Communicability
- Other characteristics influence the rate of adoption, such as: initial and ongoing costs, risk and uncertainty, and Social approval.
- Although consumers in different countries may have some things in common, their values, attitudes, and behaviors often vary greatly.
- International marketers must understand such differences and adjust their products and marketing programs accordingly.

Wrap-up Question

- Are the international buying behaviors different from domestic customers buying behavior? Discuss.
- Discuss how customers differentiate in their adoption rate to new products?

Session 22

Reading text

A Model of Business Buyer Behavior

At the most basic level, marketers want to know how business buyers will respond to various marketing stimuli. A model of business buyer behavior marketing and other stimuli affect the buying organization and produce certain buyer responses. As with consumer buying, the marketing stimuli for business buying consist of the four Ps: product, price, place, and promotion. Other stimuli include major forces in the environment: economic, technological, political, cultural, and competitive. These stimuli enter the organization and are turned into buyer responses: product or service choice; supplier choice; order quantities; and delivery, service, and payment terms. In order to design good marketing mix strategies, the marketer must understand what happens within the organization to turn stimuli into purchase responses.

Within the organization, buying activity consists of two major parts: the buying center, made up



of all the people involved in the buying decision, and the buying decision process. The model shows that the buying center and the buying decision process are influenced by internal organizational, interpersonal, and individual factors as well as by external environmental factors.

The model suggests four questions about business buyer behavior:

- What buying decisions do business buyers make?
- Who participates in the buying process?
- What are the major influences on buyers?
- How do business buyers make their buying decisions?

1. Major Types of Buying Situations

There are three major types of buying situations. At one extreme is the straight rebuy, which is a fairly routine decision. At the other extreme is the new task, which may call for thorough research. In the middle is the modified rebuy, which requires some research.

In a straight rebuy, the buyer reorders something without any modifications. It is usually handled on a routine basis by the purchasing department. Based on past buying satisfaction, the buyer simply chooses from the various suppliers on its list. "In" suppliers try to maintain product and service quality. They often propose automatic reordering systems so that the purchasing agent will save reordering time. "Out" suppliers try to offer something new or exploit dissatisfaction so that the buyer will consider them. They try to get their foot in the door with a small order and then enlarge their purchase share over time.

In a modified rebuy, the buyer wants to modify product specifications, prices, terms, or suppliers. The modified rebuy usually involves more decision participants than the straight rebuy. The in suppliers may become nervous and feel pressured to put their best foot forward to protect an account. Out suppliers may see the modified rebuy situation as an opportunity to make a better offer and gain new business.

A company buying a product or service for the first time faces a **new-task** situation. In such cases, the greater the cost or risk, the larger the number of decision participants and the greater their efforts to collect information will be. The new task situation is the marketer's greatest opportunity and challenge. The marketer not only tries to reach as many key buying influences as possible but also provides help and information.



The buyer makes the fewest decisions in the straight rebuy and the most in the new-task decision. In the new-task situation, the buyer must decide on product specifications, suppliers, price limits, payment terms, order quantities, delivery times, and service terms. The order of these decisions varies with each situation, and different decision participants influence each choice.

Many business buyers prefer to buy a packaged solution to a problem from a single seller. Called systems buying, this practice began with government buying of major weapons and communication systems. Instead of buying and putting all the components together, the government asked for bids from suppliers who would supply the components and assemble the package or system.

Sellers increasingly have recognized that buyers like this method and have adopted systems selling as a marketing tool. Systems' selling is a two-step process. First, the supplier sells a group of interlocking products. For example, the supplier sells not only glue, but also applicators and dryers. Second, the supplier sells a system of production, inventory control, distribution, and other services to meet the buyer's need for a smooth-running operation.

A system selling is a key business marketing strategy for winning and holding accounts. The contract often goes to the firm that provides the most complete solution to customers' problems.

2. Participants in the Business Buying Process

Who does the buying of the trillions of dollars' worth of goods and services needed by business organizations? The decision-making unit of a buying organization is called its **buying center**: all the individuals and units that participate in the business decision-making process.

The buying center includes all members of the organization who play any of five roles in the purchase decision process.

- **Users** are members of the organization who will use the product or service. In many cases, users initiate the buying proposal and help define product specifications.
- **Influencers** often help define specifications and also provide information for evaluating alternatives. Technical personnel are particularly important influencers.
- **Buyers** have formal authority to select the supplier and arrange terms of purchase. Buyers



may help shape product specifications, but their major role is in selecting vendors and negotiating. In more complex purchases, buyers might include high-level officers participating in the negotiations.

- **Deciders** have formal or informal power to select or approve the final suppliers. In routine buying, the buyers are often the deciders, or at least the approvers.
- **Gatekeepers** control the flow of information to others. For example, purchasing agents often have authority to prevent salespersons from seeing users or deciders. Other gatekeepers include technical personnel and even personal secretaries.

The buying center is not a fixed and formally identified unit within the buying organization. It is a set of buying roles assumed by different people for different purchases. Within the organization, the size and makeup of the buying center will vary for different products and for different buying situations. For some routine purchases, one person--say a purchasing agent--may assume all the buying center roles and serve as the only person involved in the buying decision. For more complex purchases, the buying center may include 20 or 30 people from different levels and departments in the organization.

3. Major Influences on Business Buyers

Business buyers are subject to many influences when they make their buying decisions. Some marketers assume that the major influences are economic. They think buyers will favor the supplier who offers the lowest price or the best product or the most service. They concentrate on offering strong economic benefits to buyers. However, business buyers actually respond to both economic and personal factors. Far from being cold, calculating, and impersonal, business buyers are human and social as well. They react to both reason and emotion.

Today, most business-to-business marketers recognize that emotion plays an important role in business buying decisions. For example, you might expect that an advertisement promoting large trucks to corporate truck fleet buyers would stress objective technical, performance, and economic factors.

When suppliers' offers are very similar, business buyers have little basis for strictly rational choice. Because they can meet organizational goals with any supplier, buyers can allow personal factors to play a larger role in their decisions. However, when competing products differ greatly,



business buyers are more accountable for their choice and tend to pay more attention to economic factors. Various groups of influences on business buyers-environmental, organizational, interpersonal, and individual.

a. Environmental Factors

Business buyers are influenced heavily by factors in the current and expected economic environment, such as the level of primary demand, the economic outlook, and the cost of money. As economic uncertainty rises, business buyers cut back on new investments and attempt to reduce their inventories.

An increasingly important environmental factor is shortages in key materials. Many companies now are more willing to buy and hold larger inventories of scarce materials to ensure adequate supply. Business buyers also are affected by technological, political, and competitive developments in the environment. Culture and customs can strongly influence business buyer reactions to the marketer's behavior and strategies, especially in the international marketing environment. The business marketer must watch these factors, determine how they will affect the buyer, and try to turn these challenges into opportunities.

b. Organizational Factors

Each buying organization has its own objectives, policies, procedures, structure, and systems. The business marketer must know these organizational factors as thoroughly as possible. Questions such as these arise: How many people are involved in the buying decision? Who are they? What are their evaluative criteria? What are the company's policies and limits on its buyers?

c. Interpersonal Factors

The buying center usually includes many participants who influence each other. The business marketer often finds it difficult to determine what kinds of interpersonal factors and group dynamics enter into the buying process. As one writer notes, "Managers do not wear tags that say 'decision maker' or 'unimportant person'. The powerful are often invisible, at least to vendor representatives." Nor does the buying center participant with the highest rank always have the most influence.

Participants may have influence in the buying decision because they control rewards and



punishments, are well liked, have special expertise, or have a special relationship with other important participants. Interpersonal factors are often very subtle. Whenever possible, business marketers must try to understand these factors and design strategies that take them into account.

d. Individual Factors

Each participant in the business buying decision process brings in personal motives, perceptions, and preferences. These individual factors are affected by personal characteristics such as age, income, education, professional identification, personality, and attitudes toward risk. Also, buyers have different buying styles. Some may be technical types who make in-depth analyses of competitive proposals before choosing a supplier. Other buyers may be intuitive negotiators who are adept at pitting the sellers against one another for the best deal.

4. The Business Buying Process

There are eight stages of the business buying process. Buyers who face a new-task buying situation usually go through all stages of the buying process. Buyers making modified or straight rebuys may skip some of the stages. We will examine these steps for the typical new-task buying situation.

a. Problem Recognition

The buying process begins when someone in the company recognizes a problem or need that can be met by acquiring a specific product or service. **Problem recognition** can result from internal or external stimuli. Internally, the company may decide to launch a new product that requires new production equipment and materials. Or a machine may break down and need new parts. Perhaps a purchasing manager is unhappy with a current supplier's product quality, service, or prices. Externally, the buyer may get some new ideas at a trade show, see an ad, or receive a call from a salesperson who offers a better product or a lower price. In fact, in their advertising, business marketers often alert customers to potential problems and then show how their products provide solutions.

b. General Need Description

Having recognized a need, the buyer next prepares a **general need description** that describes the characteristics and quantity of the needed item. For standard items, this process presents few problems. For complex items, however, the buyer may have to work with others-engineers, users, consultants-to define the item. The team may want to rank the importance of reliability,



durability, price, and other attributes desired in the item. In this phase, the alert business marketer can help the buyers define their needs and provide information about the value of different product characteristics.

c. Product Specification

The buying organization next develops the item's technical **product specifications**, often with the help of a value analysis engineering team. **Value analysis** is an approach to cost reduction in which components are studied carefully to determine if they can be redesigned, standardized, or made by less costly methods of production. The team decides on the best product characteristics and specifies them accordingly. Sellers, too, can use value analysis as a tool to help secure a new account. By showing buyers a better way to make an object, outside sellers can turn straight rebuy situations into new-task situations that give them a chance to obtain new business.

d. Supplier Search

The buyer now conducts a **supplier search** to find the best vendors. The buyer can compile a small list of qualified suppliers by reviewing trade directories, doing a computer search, or phoning other companies for recommendations. Today, more and more companies are turning to the Internet to find suppliers. For marketers, this has leveled the playing field-smaller suppliers have the same advantages as larger ones and can be listed in the same online catalogs for a nominal fee.

The newer the buying task, and the more complex and costly the item, the greater the amount of time the buyer will spend searching for suppliers. The supplier's task is to get listed in major directories and build a good reputation in the marketplace. Salespeople should watch for companies in the process of searching for suppliers and make certain that their firm is considered. Many business buyers go to extremes in searching for and qualifying suppliers.

e. Proposal Solicitation

In the **proposal solicitation** stage of the business buying process, the buyer invites qualified suppliers to submit proposals. In response, some suppliers will send only a catalog or a salesperson. However, when the item is complex or expensive, the buyer will usually require detailed written proposals or formal presentations from each potential supplier.

Business marketers must be skilled in researching, writing, and presenting proposals in response to buyer proposal solicitations. Proposals should be marketing documents, not just technical



documents. Presentations should inspire confidence and should make the marketer's company stand out from the competition.

f. Supplier Selection

The members of the buying center now review the proposals and select a supplier or suppliers. During **supplier selection**, the buying center often will draw up a list of the desired supplier attributes and their relative importance. In one survey, purchasing executives listed the following attributes as most important in influencing the relationship between supplier and customer: quality products and services, on-time delivery, ethical corporate behavior, honest communication, and competitive prices. Other important factors include: repair and servicing capabilities, technical aid and advice, geographic location, performance history, and reputation. The members of the buying center will rate suppliers against these attributes and identify the best suppliers.

As part of the buyer selection process, buying centers must decide how many suppliers to use. In the past, many companies preferred a large supplier base to ensure adequate supplies and to obtain price concessions. These companies would insist on annual negotiations for contract renewal and would often shift the amount of business they gave to each supplier from year to year. Increasingly, however, companies are reducing the number of suppliers. There is even a trend toward single sourcing, using one supplier.

Many companies, however, are still reluctant to use single sourcing. They fear that they may become too dependent on the single supplier or that the single-source supplier may become too comfortable in the relationship and lose its competitive edge.

g. Order-Routine Specification

The buyer now prepares an **order-routine** specification. It includes the final order with the chosen supplier or suppliers and lists items such as technical specifications, quantity needed, expected time of delivery, return policies, and warranties. In the case of maintenance, repair, and operating items, buyers may use *blanket contracts* rather than periodic purchase orders. A blanket contract creates a long-term relationship in which the supplier promises to resupply the buyer as needed at agreed prices for a set time period. The seller holds the stock, and the buyer's computer automatically prints out an order to the seller when stock is needed. A blanket order eliminates the expensive process of renegotiating a purchase each time that stock is required. It



also allows buyers to write more, but smaller, purchase orders, resulting in lower inventory levels and carrying costs.

Blanket contracting leads to more single-source buying and to buying more items from that source. This practice locks the supplier in tighter with the buyer and makes it difficult for other suppliers to break in unless the buyer becomes dissatisfied with prices or service.

h. Performance Review

In this stage, the buyer reviews supplier performance. The buyer may contact users and ask them to rate their satisfaction. The **performance review** may lead the buyer to continue, modify, or drop the arrangement. The seller's job is to monitor the same factors used by the buyer to make sure that the seller is giving the expected satisfaction.

We have described the stages that typically would occur in a new-task buying situation. The eight-stage model provides a simple view of the business buying decision process. The actual process is usually much more complex. In the modified rebuy or straight rebuy situation, some of these stages would be compressed or bypassed. Each organization buys in its own way, and each buying situation has unique requirements. Different buying center participants may be involved at different stages of the process. Although certain buying process steps usually do occur, buyers do not always follow them in the same order, and they may add other steps. Often, buyers will repeat certain stages of the process.

Lecture synopsis

- As with consumer buying, the marketing stimuli for business buying consist of the four Ps: product, price, place, and promotion.
- Other stimuli include major forces in the environment: economic, technological, political, cultural, and competitive.
- These stimuli enter the organization and are turned into buyer responses: product or service choice; supplier choice; order quantities; and delivery, service, and payment terms.
- In order to design good marketing mix strategies, the marketer must understand what happens within the organization to turn stimuli into purchase responses.
- Within the organization, buying activity consists of two major parts: the buying center, made up of all the people involved in the buying decision, and the buying decision process.
- There are three major types of buying situations: straight rebuy, new task and modified rebuy



- In a straight rebuy, the buyer reorders something without any modifications.
- In a modified rebuy, the buyer wants to modify product specifications, prices, terms, or suppliers.
- A company buying a product or service for the first time faces a new-task situation.
- The buying center (The decision-making unit of a buying organization) includes all members of the organization who play any of five roles in the purchase decision process. They are: Users, Influencers, Buyers, Deciders, and Gatekeepers.
- Business buyers are subject to many influences when they make their buying decisions. They react to both reason and emotion.
- Various groups of influences on business buyers include: - environmental, organizational, interpersonal, and individual.

Wrap-up Question

- Discuss the buying behavior of businesses
- Discuss the factors that influence the buying behavior of business.
- Pick the participants in the business buying process.

Unit 6

Marketing Information System

Module 6

Introduction

In order to produce superior value and satisfaction for customers, companies need information at almost every turn. Companies also need an abundance of information on competitors, resellers, and other actors and forces in the marketplace.

Increasingly, marketers are viewing information not just as an input for making better decisions but also as an important strategic asset and marketing tool. In today's marketing, a company's information may prove to be its chief competitive advantage. Competitors can copy each other's equipment, products, and procedures, but they cannot duplicate the company's information and intellectual capital. Several companies have recently recognized this by appointing vice presidents of knowledge, learning, or intellectual capital.



Every firm must organize the flow of marketing information to its marketing managers. Companies are studying their manager's information needs and designing marketing information systems (MIS) to meet these needs.

Learning Objectives

After studying this unit, you will be able to:

- Explain what is marketing information system
- Understand the components of MIS
- Comprehend what marketing research is and the role it plays in improving marketing decision making.

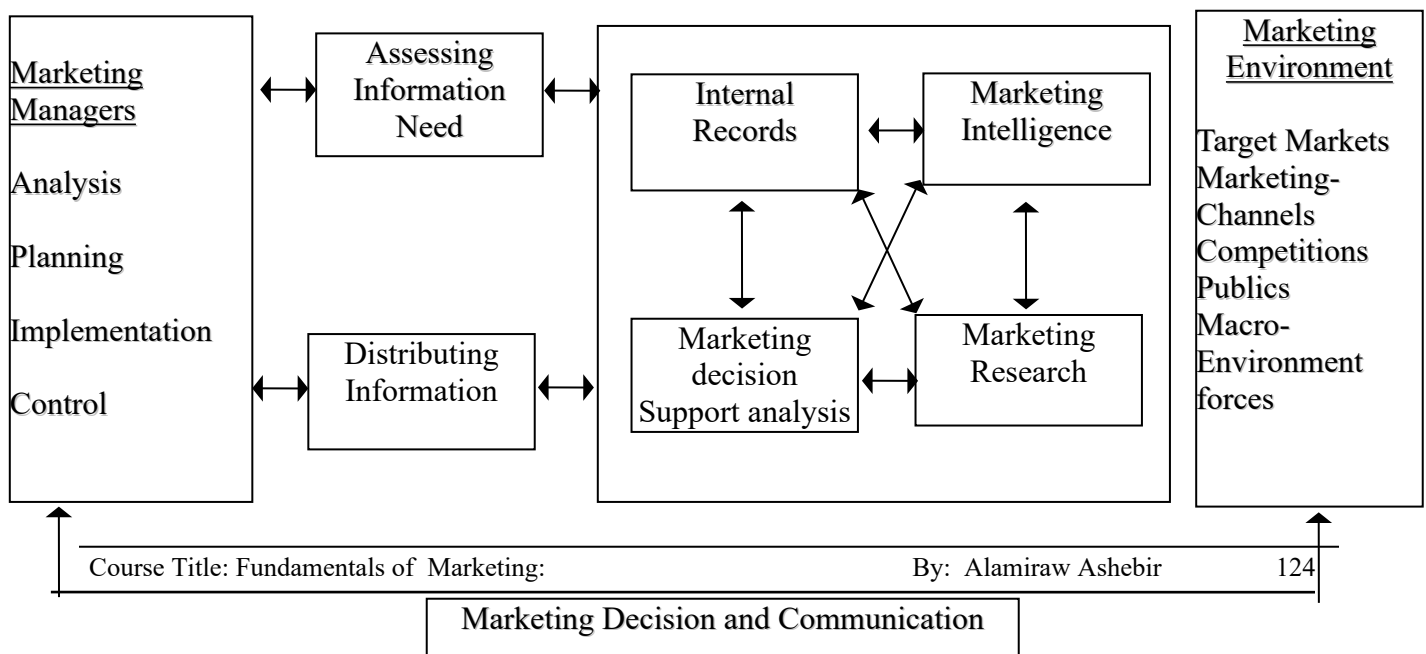
Session 23

Reading Text

Meaning of Marketing Information System (MIS)

A **marketing information system (MIS)** consists of people, equipment, and procedures to gather, sort, analyze, evaluate, and distribute needed, timely, and accurate information to marketing decision makers. Figure 6.1 shows that the MIS begins and ends with marketing managers. First, it interacts with these managers to assess information needs. Next, it develops needed information from internal company data, marketing intelligence activities, marketing research, and information analysis. Finally, the MIS distributes information to managers in the right form at the right time to help them make better marketing decisions.

Figure 6.1. Marketing Information system





The marketing managers to carry out their analysis, planning, implementation, and control responsibilities, they need information about development in the marketing environment. The role of the MIS is to assess the manager's information needs, develop the needed information, and distribute the information in a timely fashion to the marketing managers. The needed information is developed through internal company records, marketing intelligence activities, marketing research, and marketing decision support analysis.

Assessing Information Needs

A good marketing information system balances the information managers would like to have against what they really need and what is feasible to offer. The company begins by interviewing managers to find out what information they would like. Some managers will ask for whatever information they can get without thinking carefully about what they really need. Too much information can be as harmful as too little. Other managers may omit things they ought to know or may not know to ask for some types of information they should have. For example, managers might need to know that a competitor plans to introduce a new product during the coming year. Because they do not know about the new product, they do not think to ask about it.

Sometimes the company cannot provide the needed information, either because it is not available or because of MIS limitations. For example, a brand manager might want to know how competitors will change their advertising budgets next year and how these changes will affect industry market shares. The information on planned budgets probably is not available. Even if it is, the company's MIS may not be advanced enough to forecast resulting changes in market shares.

Finally, the costs of obtaining, processing, storing, and delivering information can mount quickly. The company must decide whether the benefits of having additional information are worth the costs of providing it, and both value and cost are often hard to assess. By itself, information has no worth; its value comes from its use. In many cases, additional information will do little to change or improve a manager's decision, or the costs of the information may exceed the returns from the improved decision. Marketers should not assume that additional



information will always be worth obtaining. Rather, they should weigh carefully the costs of additional information against the benefits resulting from it.

Components of MIS

The components of MIS are described as follows: -

- a. Internal Record System:** - The most basic information system used by marketing managers is the internal records system. Included in the system are reports on orders, sales, prices, inventory levels, receivables, payables, & so on. By analyzing this information, marketing managers can spot important opportunities and problems.
- b. Marketing Intelligence System:** The internal records system supplies results data, the marketing intelligence system supplies happening data. A marketing intelligence system (MIS) is a set of procedures and sources used by managers to obtain their everyday information about pertinent development in the marketing environment.

Marketing intelligence is the systematic collection and analysis of publicly available information about competitors and developments in the marketing environment. Its goal is to improve strategic decision making;-assess and track competitors' actions, and provide early warning of opportunities and threats.

Marketing managers often carry on marketing intelligence by reading books, newspapers, and trade publications; talking to customers, suppliers distributors, and other outsiders; and talking with other managers and personal within the company.

- c. Marketing Decision Support System (MDSS):** - A growing number of organizations are using a marketing decision support system to help their marketing managers make better decisions. MDSS can be defined as follows.

A marketing Decision support system (MDSS) is a coordinated collection of data, systems, tools and techniques with supporting software and hardware by which an organization gathers and interprets relevant information from business and environment and turns it into a basis for marketing action.

Here is how a MDSS works. The manager puts questions to the appropriate model located in the MDSS. The model draws up data, which are then analyzed statistically. The manager can then use a program to determine the optional course of action.



Some of the statistical tools used is the MDSS are regression Analysis, queuing model, Game theory Etc.

d. Marketing Research System: - Marketing managers often commission marketing research formal studies of specific problems & opportunities. They may request a market survey, a product preference test, a sales forecast by region, or research on advertising effectiveness.

Marketing research can be defined as;

Marketing research is the systematic design collection, analysis, and reporting of data & findings relevant to a specific marketing situation facing the company.

We define **marketing research** as the systematic design, collection, analysis, and reporting of data relevant to a specific marketing situation facing an organization. Every marketer needs research. Marketing researchers engage in a wide variety of activities, ranging from market potential and market share studies, to assessments of customer satisfaction and purchase behavior, to studies of pricing, product, distribution, and promotion activities.

A company can conduct marketing research in its own research department or have some or all of it done outside, depending on its own research skills and resources. Although most large companies have their own marketing research departments, they often use outside firms to do special research tasks or special studies. A company with no research department has to buy the services of research firms.

Lecture Synopsis

- The most basic information system used by marketing managers is the internal records system. Included in the system are reports on orders, sales, prices, inventory levels, receivables, payables, & so on.
- The internal records system supplies results data, the marketing intelligence system supplies happening data.
- A growing number of organizations are using a marketing decision support system to help their marketing managers make better decisions.
- Some of the statistical tools used is the MDSS are regression analysis, queuing model, game theory, etc.
- Marketing managers often commission marketing research formal studies of specific problems & opportunities.



- They may request a market survey, a product preference test, a sales forecast by region, or research on advertising effectiveness.
- Marketing research is the systematic design collection, analysis, and reporting of data & findings relevant to a specific marketing situation facing the company.

Wrap-up Questions

- Pick the components of Marketing Information System.
- Define MIS

Session 24

Reading Text

Process of Marketing Research

The marketing research involves the following steps.

- Define the problem and Research objectives
- Develop the research plan
- Collect the information
- Analyze the information
- Present the findings

a. Define the Problem & Research Objectives

The first step calls for the marketing manager to define the problem carefully and agree of the research objectives. There is a saying: “A problem well defined is half solved.” The marketing manager and the researcher must work closely together to define the problem carefully, and they must agree on the research objectives. The manager best understands the decision for which information is needed; the researcher best understands marketing research and how to obtain the information. Management must work at defining the problem neither too broadly nor narrowly. Not All research projects can be specific in their objectives.

Defining the problem and research objectives is often the hardest step in the research process. The manager may know that something is wrong, without knowing the specific causes. For example, managers of a large discount retail store chain hastily decided that falling sales were caused by poor advertising, and they ordered research to test the company's advertising. When this research showed that current advertising was reaching the right people with the right



message, the managers were puzzled. It turned out that the real problem was that the chain was not delivering the prices, products, and service promised in the advertising. Careful problem definition would have avoided the cost and delay of doing advertising research.

After the problem has been defined carefully, the manager and researcher must set the research objectives. A marketing research project might have one of three types of objectives. The objective of **exploratory research** is to gather preliminary information that will help define the problem and suggest hypotheses. The objective of **descriptive research** is to describe things such as the market potential for a product or the demographics and attitudes of consumers who buy the product. The objective of **causal research** is to test hypotheses about cause-and-effect relationships. For example, would a 10 percent decrease in tuition at a private college result in an enrollment increase sufficient to offset the reduced tuition? Managers often start with exploratory research and later follow with descriptive or causal research.

The statement of the problem and research objectives guides the entire research process. The manager and researcher should put the statement in writing to be certain that they agree on the purpose and expected results of the research.

b. Develop the Research Plan

The second stage of marketing research calls for developing the most efficient plan for gathering the needed information. The marketing manager needs to know the cost of the research plan before approving it. Designing a research plan calls for decision on the data sources, research approaches, research instruments, sampling plan, and contact methods. The research plan can call for gathering secondary data, primary data or both. **Commercial Data Sources.** Companies can buy secondary data reports from outside suppliers.

- **Secondary Data:** - Secondary data are data that were collected for another purpose and already exist somewhere.
- **Primary Data:** - Primary data are data gathered for a specific purpose or for a specific research project. Primary data can be collected in four ways: observation, focus groups, surveys, & experiments.
 - a. **Observation Research:** Fresh data can be gathered by observing the relevant factors & settings. i.e - observing customers talk about the product: quality, price, distribution etc.



Observing competitor performance in trade fair exhibitors, in giving their product quality, price, distribution etc.

- b. Focus Group Research:** - A focus group is a gathering of six to ten people who are invited to spend a few hours with a skilled moderator to discuss a product, service, organization, or other marketing entity. The moderator needs to be objective, knowledgeable, on the issue, and versed in a group dynamics and consumer behavior. The participants are normally paid a small sum for attending the focus group.
- c. Survey Research:** - While observation and focus groups are best suited for exploratory research, surveys are best suited for descriptive research, companies undertake surveys to learn about people's knowledge, beliefs, preferences, satisfaction, and so on, and to measure these magnitudes in the general population.
- d. Experimental Research:** - The most scientifically valid research is experimental research. Calls for selecting matched groups of subjects, subjecting them to different treatment, controlling extraneous variables, and checking whether observed response differences are statistically significant.

The purpose of experimental research is to capture **cause- and- effect** relationships by eliminating competing explanation of the observed findings.

Research Instruments

- 1. Questionnaires:** - A questionnaire consists of set of questions presented to responds for their answers. Because of its flexibility, the questionnaire is by far the most common instrument used to collect primary data.

Questionnaire need to be carefully developed, tested, and diverged before they are administer on a large scale in addition, the form of the question asked can influence the response. Marketing researches distinguish between open- end and close-end questions.

Closed- end questions pre specify all the possible answers, and respondents make a choice among them. Open-end questions allow respondents to answer in their own words.

- 2. Sampling Plan:** After deciding on instruments, the marketing researches must design a sampling plan. This plan calls for three decisions:

- a. Sampling Unit (who is to be surveyed?):** - The marketing researcher must define the target population that will be sampled. Once the sampling unit, is determined, a sampling



frame must be developed so that everyone in the target population has an equal chance of being sampled.

- b. Sample Size: - (How many people should be surveyed?):** - Large samples give more reliable results than small samples. Samples of less than 1% population can be provide good reliability, given a credible sample procedure.
- c. Sampling Procedure: - (How should the respondents be chosen?):** - To obtain a representative sample, a probability sample of the population should be drawn. Probability sampling allows the calculation of confidence limits for sampling error.

3. Contact Methods: - Once the sampling plan has been determined, the marketing researcher must decide how the subject should be contacted.

The choices are mail, telephone, or personal interviews.

- The mail questionnaire is the best way to reach people who would not give personal interviews. Mail questionnaire require simple and clearly worded questions.
- Telephone interviewing is the best method for gathering information quickly. The main drawback is that the interviews have to be short and too personal.
- Personal Interview is the most versatile of the three methods. The interviewer can ask more questions and record additional observations about the respondent.
- Personal interviewing takes two forms; arranged interviews and intercept interviews.

In arranged interview, respondents are randomly selected and are either telephoned or approached at their homes or office and asked for an interview.

Intercept interviews involve stopping people at a shopping mall or busy street corner & requesting an interview. Intercept interviews have the drawback of being non-probability samples, and the interviews must not require too much time from the interviewee.

c. Collect the Information

The data collection phase of marketing research is generally the most expensive and the most prone to error. The information needed by marketing managers can be obtained from internal data, marketing intelligence, and marketing research. The information analysis system then processes this information to make it more useful for managers.

Many companies build extensive internal databases, computerized collections of information obtained from data sources within the company. Marketing managers can readily access .and



work with information in the database to identify marketing opportunities and problems, plan programs, and evaluate performance.

Information in the database can come from many sources. The accounting department prepares financial statements and keeps detailed records of sales, costs, and cash flows. Manufacturing reports on production schedules, shipments, and inventories. The sales force reports on reseller reactions and competitor activities. The marketing department furnishes information on customer demographics, psychographics, and buying behavior, and the customer service department keeps records of customer satisfaction or service problems. Research studies done for one department may provide useful information for several others. Marketing intelligence system determines what intelligence is needed, collects it by searching the environment, and delivers it to marketing managers.

Competitive intelligence gathering has grown dramatically as more and more companies are now busily snooping on their competitors. Techniques range from quizzing the company's own employees and benchmarking competitors' products to researching the Internet, lurking around industry trade shows, and rooting through rivals' trash bins.

Some companies set up an office to collect and circulate marketing intelligence. The staff scans major publications, searches the Internet, summarizes important news, and sends bulletins to marketing managers. It develops a file of intelligence information and helps managers evaluate new information. These services greatly improve the quality of information available to marketing managers.

The growing use of marketing intelligence raises a number of ethical issues. Although most of the preceding techniques are legal, and some are considered to be shrewdly competitive, many involve questionable ethics. Clearly, companies should take advantage of publicly available information. However, they should not stoop to snoop. With all the legitimate intelligence sources now available, a company does not have to break the law or accepted codes of ethics to get good intelligence.

d. Analyze the Information

The next to-last step in the marketing research process is to extract pertinent finding from the collected data. Information gathered by the company's marketing intelligence and marketing



research systems often requires more analysis, and sometimes managers may need more help to apply the information to their marketing problems and decisions. This help may include advanced statistical analysis to learn more about both the relationships within a set of data and their statistical reliability. Such analysis allows managers to go beyond means and standard deviations in the data and to answer questions about markets, marketing activities, and outcomes. Information analysis might also involve a collection of analytical models that will help marketers make better decisions. Each model represents some real system, process, or outcome. These models can help answer the questions of *what if* and *which is best*. During the past 20 years, marketing scientists have developed numerous models to help marketing managers make better marketing mix decisions, design sales territories and sales call plans, select sites for retail outlets, develop optimal advertising mixes, and forecast new-product sales.

e. Interpreting and Reporting the Findings

The researcher must now interpret the findings, draw conclusions, and report them to management. The researcher should not try to overwhelm managers with numbers and fancy statistical techniques. Rather, the researcher should present important findings that are useful in the major decisions faced by management.

However, interpretation should not be left only to the researchers. They are often experts in research design and statistics, but the marketing manager knows more about the problem and the decisions that must be made. In many cases, findings can be interpreted in different ways, and discussions between researchers and managers will help point to the best interpretations. The manager will also want to check that the research project was carried out properly and that all the necessary analysis was completed. Or, after seeing the findings, the manager may have additional questions that can be answered through further sifting of the data. Finally, the manager is the one who ultimately must decide what action the research suggests. The researchers may even make the data directly available to marketing managers so that they can perform new analyses and test new relationships on their own.

Interpretation is an important phase of the marketing process. The best research is meaningless if the manager blindly accepts faulty interpretations from the researcher. Similarly, managers may be biased—they might tend to accept research results that show what they expected and to reject those that they did not expect or hope for. Thus, managers and researchers must work together



closely when interpreting research results, and both must share responsibility for the research process and resulting decisions.

f. Present the Findings

At the last step in marketing research, the researcher present his or her findings to the relevant parties. The researchers present major findings that are pertinent to the major marketing decisions facing management.

Marketing information has no value until managers use it to make better marketing decisions. The information gathered through marketing intelligence and marketing research must be distributed to the right marketing managers at the right time. Most companies have centralized marketing information systems that provide managers with regular performance reports, intelligence updates, and reports on the results of studies. Managers need these routine reports for making regular planning, implementation, and control decisions. But marketing managers may also need nonroutine information for special situations and on-the-spot decisions. For example, a sales manager having trouble with a large customer may want a summary of the account's sales and profitability over the past year. Or a retail store manager who has run out of a best-selling product may want to know the current inventory levels in the chain's other stores.

Developments in information technology have caused a revolution in information distribution. With recent advances in computers, software, and telecommunication, most companies have decentralized their marketing information systems. In most companies today, marketing managers have direct access to the information network, at any time and from virtually any location.

While working at a home office, in a hotel room, on an airplane-any place where they can turn on a laptop computer and phone in-today's managers can obtain information from company databases or outside information services, analyze the information using statistical packages and models, prepare reports using word processing and presentation software, and communicate with others in the network through electronic communications. Such systems offer exciting prospects. They allow managers to get the information they need directly and quickly and to tailor it to their own needs.

g. Implementing the Research Plan



The researcher next puts the marketing research plan into action. This involves collecting, processing, and analyzing the information. Data collection can be carried out by the company's marketing research staff or by outside firms. The company keeps more control over the collection process and data quality by using its own staff. However, outside firms that specialize in data collection often can do the job more quickly and at a lower cost.

The data collection phase of the marketing research process is generally the most expensive and the most subject to error. The researcher should watch fieldwork closely to make sure that the plan is implemented correctly and to guard against problems with contacting respondents, with respondents who refuse to cooperate or who give biased or dishonest answers, and with interviewers who make mistakes or take shortcuts.

Researchers must process and analyze the collected data to isolate important information and findings. They need to check data from questionnaires for accuracy and completeness and code it for computer analysis. The researchers then tabulate the results and compute averages and other statistical measures.

Lecture Synopsis

- The first step calls for the marketing manager to define the problem carefully and agree of the research objectives. There is a saying: “A problem well defined is half solved.”
- Management must work at defining the problem neither too broadly nor narrowly. Not all research projects can be specific in their objectives
- Some research is exploratory – its goal is to gather preliminary data to shed light on the real nature of the problem and to suggest possible solutions or new ideas.
- Some research is descriptive – It seeks to ascertain certain magnitudes.
- Some research is casual –Its purpose is to test a cause and effect relationship.
- The second stage of marketing research calls for developing the most efficient plan for gathering the needed information.
- Designing a research plan calls for decision on the data sources, research approaches, research instruments, sampling plan, and contact methods.
- The research plan can call for gathering secondary data, primary data, data or both.

Discussion Questions

- Discuss the marketing research process



- List the techniques of collecting data/information

Chapter 7

Marketing Mix

Module 7

Introduction

Marketing mix is one of the key concepts in modern marketing theory. Marketing mix is the set of marketing tools that the firm uses to pursue its marketing objectives in the target market. The four-factor classification of marketing mix namely the '4 P's are:- Product, price, Place & Promotion. The Particular marketing variables under each P are as follows.

Learning Objectives

After studying this unit, you will be able to explain,

- Meaning of marketing mix
- Elements of marketing mix



- Seller's 4P's versus Buyer's 4C's

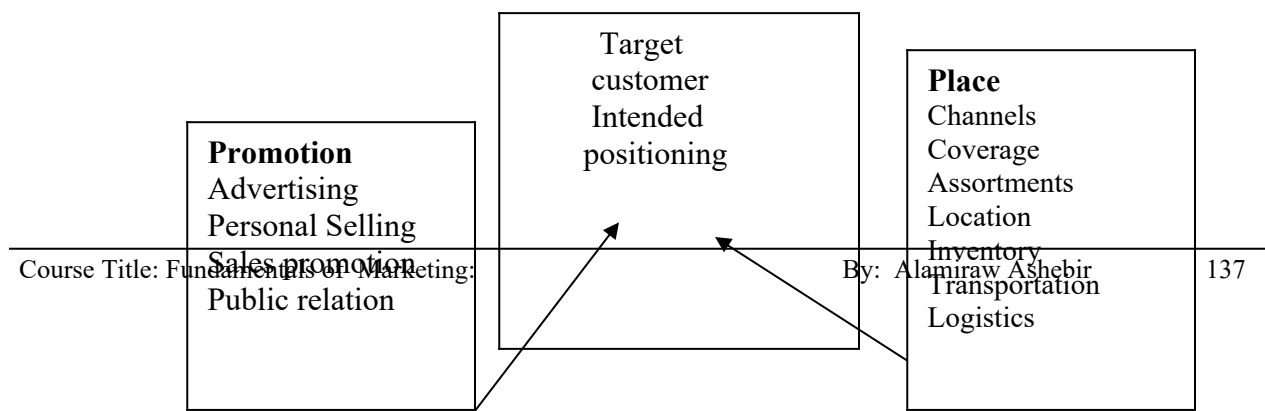
Session 25

Reading Text

Developing the Marketing Mix

Once the company has decided on its overall competitive marketing strategy, it is ready to begin planning the details of the marketing mix, one of the major concepts in modern marketing. We define marketing mix as the set of controllable, tactical marketing tools that the firm blends to produce the response it wants in the target market. The marketing mix consists of everything the firm can do to influence the demand for its product. The many possibilities can be collected into four groups of variables known as the "four Ps"; product, price, place, and promotion.

- Product means the goods-and-services combination the company offers to the target market. Thus, a Ford Taurus product consists of nuts and bolts, spark plugs, pistons, headlights, and thousands of other parts. Ford offers several Taurus styles dozens of optional features. The car comes fully serviced and with a comprehensive warranty that is as much a part of the product as the tailpipe.
- Price is the amount of money customers have to pay to obtain the product. Ford calculates suggested retail prices that its dealers might charge for each Taurus. But Ford dealers rarely charge the full sticker price. Instead, they negotiate the price with each customer, offering discounts, trade-in allowances, and credit terms to adjust for the current competitive situation and to bring the price into line with the buyer's perception of the car's value.
- Place includes company activities that make the product available to target consumers. Ford maintains a large body of independently owned dealerships that sell the company's many different models. Ford selects its dealers carefully and supports them strongly. The dealers keep an inventory of Ford automobiles, demonstrate them to potential buyers, negotiate prices, close sale~, and service the cars after the sale.





- Promotion means activities that communicate the merits of the product and persuade target customers to buy it. Ford spends more than \$1.2 billion each year on advertising to tell consumers about the company and its products. Dealership salespeople assist potential buyers and persuade them that Ford is the best car for them. Ford and its dealers offer special promotions-sales, cash rebates, low financing rates-as added purchase incentives.

An effective marketing program blends all of the marketing mix elements into a coordinated program designed to achieve the company's marketing objectives by delivering value to consumers. The marketing mix constitutes the company's tactical tool kit for establishing strong positioning in target markets.

Some critics feel that the four Ps may omit or underemphasize certain important activities. For example, they ask, "Where are services?" Just because they don't start with a P doesn't justify omitting them. The answer is that services, such as banking, airline, and retailing services, are products too. We might call them service products. "Where is packaging?" the critics might ask. Marketers would answer that they include packaging as just one of many product decisions. Many marketing activities that might appear to be left out of the marketing mix are subsumed under one of the four Ps. The issue is not whether there should be four, six, or ten Ps so much as what framework is most helpful in designing marketing programs.

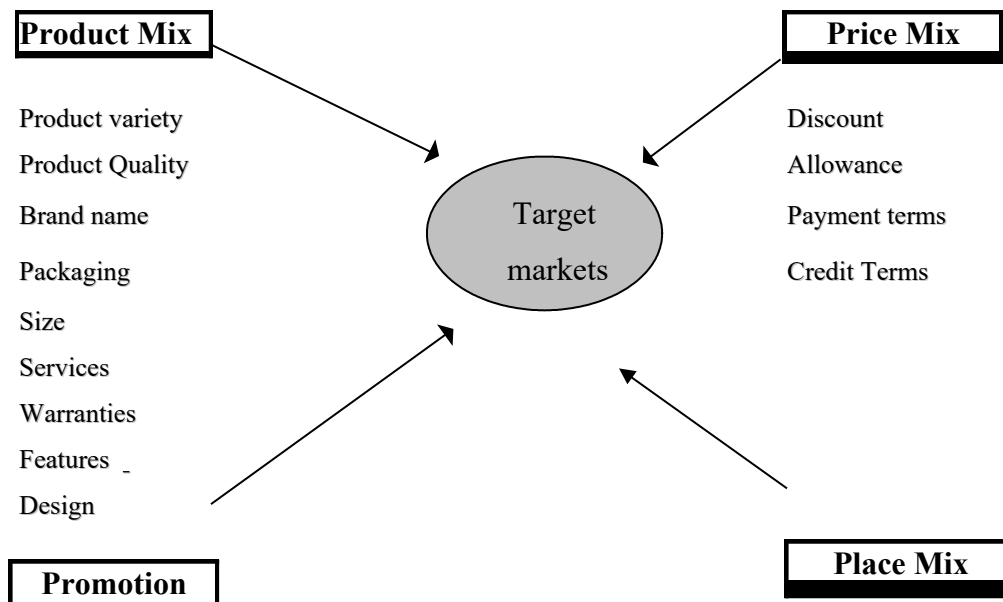
There is another concern, however, that is valid. It holds that the four Ps concept takes the seller's view of the market, not the buyer's view. From the buyer's viewpoint, in this age of connectedness, the four Ps might be better described as the four Cs:

4Ps	4Cs
Product	Customer solution



Price	Customer cost
Place	Convenience
Promotion	Communication

Thus while marketers see themselves as selling a product, customers see themselves as buying value or a solution to their problem. Customers are interested in more than the price; they are interested in the total costs of obtaining, using, and disposing of a product. Customers want the product and service to be as conveniently available as possible. Finally, they want two-way communication. Marketers would do well to first think through the four Cs and then build the four Ps on that platform.





Sales Promotion
Advertising
Personal selling
Public Relation
Publicity

Physical Distribution &
Channels of Distribution

Lecture Synopsis

- Planning the details of the marketing mix is one of the major concepts in modern marketing.
- Marketing mix is the set of controllable, tactical marketing tools that the firm blends to produce the response it wants in the target market.
- The many possibilities can be collected into four groups of variables known as the "four Ps"; product, price, place, and promotion for products and 7ps for services. Services mix includes 7 p's which includes 3 additional p's (people, place and physical evidence)
 - Product means the goods-and-services combination the company offers to the target market.
 - Price is the amount of money customers have to pay to obtain the product..
 - Place includes company activities that make the product available to target consumers.
 - Promotion means activities that communicate the merits of the product and persuade target customers to buy it.
- An effective marketing program blends all of the marketing mix elements into a coordinated program designed to achieve the company's marketing objectives by delivering value to consumers.
- From the buyer's viewpoint, in this age of connectedness, the four Ps might be better described as the four Cs: Customer solution, Customer cost, Convenience, and communication.
- Thus while marketers see themselves as selling a product, customers see themselves as buying value or a solution to their problem.

Wrap-up Questions

- Define marketing mix and list the elements of the marketing mix.



Chapter 8

Product Mix

Module 8

Introduction

Product is the first and most important element of the marketing mix. Product strategy calls for making coordinated decisions on product mixes, product lines, brands, packaging and labeling. Most companies sell more than one product. Their product mix can be classified according to width, length, depth and consistency. These four dimensions are the tools for developing the company's marketing strategy and deciding which product lines to grow, maintain, harvest and divest.



Strong products should be grown or maintained weak and/or unprofitable lines should be harvested or divested. To analyze a product line and decide how many resources should be invested in that line, product line managers need to look at the line's sales and profit and market profile.

A company can change the product component of its marketing mix by lengthening its product via line stretching or line filling. By modernizing its products; by featuring certain products and by proving its products to eliminate the least profitable ones.

Learning Objectives

After you study this unit, you will be able to:

- Understand the meaning of product in its fullest sense
- Explain the classification of consumer and business products
- Comprehend the steps in product development process
- Know how a company can build and manage its product mix and product lines
- Understand the nature and importance of brands
- Explain how a company can make better brand decisions
- Understand how packaging and labeling can be used as marketing tools
- Explain the characteristics of a good brand name

Discussion Questions

- Differentiate a product from a service
- Discuss the features of a product
- Pick the product identification and differentiation strategies
- Discuss the difference between a brand, packaging, and labeling.

Session 26

Reading Text

The Meaning of a Product

We define a product as anything that can be offered to a market for attention, acquisition, use, or



consumption and that might satisfy a want or need. Products include more than just tangible goods. Broadly defined, products include physical objects, services, events, persons, places, organizations, ideas, or mixes of these entities. Thus, throughout this text, we use the term product broadly to include any or all of these entities.

Because of their importance in the world economy, we give special attention to services. Services are a form of product that consist of activities, benefits, or satisfactions offered for sale that are essentially intangible and do not result in the ownership of anything. Examples are banking, hotel, tax preparation, and home repair services.

Product Classifications

1. Product Classification based on use:

Products and services fall into two broad classes based on the types of consumers that use them—consumer products and industrial products. Broadly defined, products also include other marketable entities such as: experiences, organizations, persons, places, and ideas.

i. Consumer Products

Consumer products are those bought by final consumers for personal consumption. Marketers usually classify these goods further based on how consumers go about buying them. Consumer products include convenience products, shopping products, specialty products, and unsought products. These products differ in the ways consumers buy them and therefore in how they are marketed.

- a. Convenience products** are consumer products and services that the customer usually buys frequently, immediately, and with a minimum of comparison and buying effort. Examples include soap, candy, newspapers, and fast food. Convenience products are usually low priced, and marketers place them in many locations to make them readily available when customers need them.
- b. Shopping products** are less frequently purchased consumer products and services that customers compare carefully on suitability, quality, price, and style. When buying shopping products and services, consumers spend much time and effort in gathering information and making comparisons. Examples include furniture, clothing, used cars, major appliances, and hotel and motel services. Shopping products marketers usually distribute their products through fewer outlets but provide deeper sales support to help customers in their comparison



efforts.

- c. **Specialty products** are consumer products and services with unique characteristics or brand identification for which a significant group of buyers is willing to make a special purchase effort. Examples include specific brands and types of cars, high-priced photographic equipment, designer clothes, and the services of medical or legal specialists.
- d. **Unsought products** are consumer products that the consumer either does not know about or knows about but does not normally think of buying. Most major new innovations are unsought until the consumer becomes aware of them through advertising. Classic examples of known but unsought products and services are life insurance and blood donations to the Red Cross. By their very nature, unsought products require a lot of advertising, personal selling, and other marketing efforts.

ii. Industrial Products

Industrial products are those purchased for further processing or for use in conducting a business. Thus, the distinction between a consumer product and an industrial product is based on the purpose for which the product is bought.

The three groups of industrial products and services include

- a. **Materials and parts:** - include raw materials and manufactured materials and parts.
 - o **Raw materials** consist of farm products (wheat, cotton, livestock, fruits, vegetables) and natural products (fish, lumber, crude petroleum, iron ore).
 - o **Manufactured materials** consist of component materials (iron, yarn, cement, wires) and component parts (small motors, tires, castings). Most manufactured materials and parts are sold directly to industrial users. Price and service are the major marketing factors; branding and advertising tend to be less important.
- b. **Capital items:** - Are long-lasting goods that facilitate developing and/or managing the finished product? They are industrial products that aid in the buyer's production or operations. They include installation, equipment and accessory equipment.
 - Installations consist of building (i.e. factories & offices) and fixed equipment (i.e. generators, drill presses, computers, elevators). Installations are major purchases. They are usually brought directly from the producer, with the typical sale preceded by a long negotiation period.



- Accessory Equipment comprises portable factory equipment and tools (hand tools, life trucks) and office equipment (e.g. personal computers, desks). These types of equipment do not become part of the finished product.
- Business services include maintenance and repair services (e.g. window cleaning, typewriter repair etc.) and Business advisory service (e.g. legal, management, consulting, advertising) maintenance services are often provided by small producers, and repair services are often available from the manufacturers of the original equipment.

c. Supplies and services.

- Supplies and Business Services are short-lasting goods and services that facilitate developing and/or managing the finished product.
- Supplies are of two kinds: operating supplies (e.g. lubricants, coal, writing paper, pencils) and maintenance and repair items (paint, nails, brooms): supplies are the equivalent of convenience goods in the industrial field because they are usually purchased with a minimum of effort or comparison on a straight re-buy basis.
- Business advisory services are usually purchased in new task-buying situations, and the industrial buyer will choose the supplier on the basis of the supplier's reputation and people.
 - **Business services** include **Maintenance and repair services** (window cleaning, computer repair) and **Business advisory services** (legal, management consulting, advertising). Such services are usually supplied under contract.

2. Product Classification based on Durability & Tangibility

Products can be classified into three groups, according to their durability and tangibility.

Products based up on Durability could be classifies as Durable and Non-Durable goods

Durability

- **Non-durable Goods:** - are tangible goods that normally are consumed in one or few uses. i.e. soap, beet etc. since these goods are consumed quickly and purchased frequently, the appropriate strategy is to make them available in many locations, charge only a small mark up, and advertise heavily to induce trail and build preference.



- **Durable Goods:** - are tangible goods that normally service many uses. i.e. refrigerators, machine tools, clothing etc. Durable products normally require more personal selling and service, command a higher margin, and require more seller guarantees.

Tangibility

Products further more could be classified based upon tangibility. On this basis we could find:
Tangible and Intangible Products

- **Intangible Product (Service):** - Intangible products (Service) are those products that cannot be touched, seen, felt etc. Services are intangible, inseparable, variable, and perishable. So as a result they normally require more quality control, supplier credibility, and adaptability. e.g. repairs, professional services.
- **Tangible Products:** - Tangible products are those products that can be seen, touched, felt etc. E.g. Refrigerator, Car, Stereo

Organizations, Persons, Places, and Ideas

In addition to tangible products and services, in recent years marketers have broadened the concept of a product to include other "marketable entities"-namely, organizations, persons, places, and ideas.

Lecture synopsis

- A product is anything that can be offered to a market for attention, acquisition, use, or consumption and that might satisfy a want or need.
- Products include more than just tangible goods.
- Broadly defined, products include physical objects, services, events, persons, places, organizations, ideas, or mixes of these entities.
- Products also include other marketable entities such as: experiences, organizations, persons, places, and ideas.
- Services are a form of product that consist of activities, benefits, or satisfactions offered for sale that are essentially intangible and do not result in the ownership of anything.
- Products and services fall into two broad classes based on the types of consumers that use them --- consumer products and industrial products.
- Consumer products are those bought by final consumers for personal consumption.
- These products differ in the ways consumers buy them and therefore in how they are



marketed. They are: Convenience products, Shopping products, Specialty products, and Unsought products.

- Industrial products are those purchased for further processing or for use in conducting a business.
- The three groups of industrial products and services include Materials and parts, Capital items, Supplies and services.
- Products can be classified into three groups, according to their durability and tangibility.
- Products based up on Durability could be classifies as Durable and Non-Durable goods
- Products further more could be classified based upon tangibility. On this basis we could find: Tangible and Intangible Products
- In addition, in recent years marketers have broadened the concept of a product to include other "marketable entities"-namely, organizations, persons, places, and ideas.

Wrap-up Questions

- Differentiate consumer products from industrial products

Session 27

Reading Text

Product Planning and Development

Guided by a company's new-product strategy, a new product is best developed through a series of six stages. The formal development of new products provides benefits such as higher success rates, increased customer satisfaction, and greater achievement of time, quality, and cost objectives for new products.

Major steps in product development process

Identify the strategic role of new products	1	2	3	4	5	6
	Idea generation	Screening of ideas	Business Analysis	Prototype development	Market Test	Commercialization or Socialization

Stages of the new product development process

1. Generating new product ideas: - New-product development starts with idea generation-the systematic search for new-product ideas. A company typically has to generate many ideas in order to find a few good ones.



Major sources of new-product ideas include internal sources, customers, competitors, distributors and suppliers, and others. Using internal sources, the company can find new ideas through formal research and development. It can pick the brains of its executives, scientists, engineers, manufacturing, and salespeople. Some companies have developed successful "entrepreneurial" programs that encourage employees to think up and develop new-product ideas. As the system matures, ideas will flow more freely. No longer will good ideas wither for the lack of a sounding board or a senior product advocate.

2. Screening ideas: - The purpose of idea generation is to create a large number of ideas. The purpose of the succeeding stages is to reduce that number. The first idea-reducing stage is idea screening, which helps spot good ideas and drop poor ones as soon as possible. Product development costs rise greatly in later stages, so the company wants to go ahead only with the product ideas that will turn into profitable products. As one marketing executive suggests, "Three executives sitting in a room can get 40 good ideas ricocheting off the wall in minutes; The challenge is getting a steady stream of good ideas out of the labs and creativity campfires, through marketing and manufacturing, and all the way to consumers.

Many companies require their executives to write up new-product ideas on a standard form that can be reviewed by a new-product committee. The write-up describes the product, the target market, and the competition. It makes some rough estimates of market size, product price, development time and costs, manufacturing costs, and rate of return. The committee then evaluates the idea against a set of general criteria.

3. Concept Development and Testing: - An attractive idea must be developed into a product concept. It is important to distinguish between a product idea, a product concept, and a product image. A product idea is an idea for a possible product that the company can see itself offering to the market. A product concept is a detailed version of the idea stated in meaningful consumer terms. A product image is the way consumers perceive an actual or potential product.

Concept Testing

Concept testing calls for testing new-product concepts with groups of target consumers. The concepts may be presented to consumers symbolically or physically. For some concept tests, a word or picture description might be sufficient.



However, a more concrete and physical presentation of the concept will increase the reliability of the concept test. Today, some marketers are finding innovative ways to make product concepts more real to consumer subjects. For example, some are using virtual reality to test product concepts. Virtual reality programs use computers and sensory devices (such as gloves or goggles) to simulate reality.

After being exposed to the concept, consumers then may be asked to react to it by answering questions. The answers will help the company decide which concept has the strongest appeal. Many firms routinely test new-product concepts with consumers before attempting to turn them into actual new products.

4. Business Analysis: - Once management has decided on its product concept and marketing strategy, it can evaluate the business attractiveness of the proposal. Business analysis involves a review of the sales, costs, and profit projections for a new product to find out whether they satisfy the company's objectives. If they do, the product can move to the product development stage.

To estimate sales, the company might look at the sales history of similar products and conduct surveys of market opinion. It can then estimate minimum and maximum sales to assess the range of risk. After preparing the sales forecast, management can estimate the expected costs and profits for the product, including marketing, R&D, operations, accounting, and finance costs. The company then uses the sales and costs figures to analyze the new product's financial attractiveness.

This means management

- (a) Identifies product features
- (b) Estimates a market demand, competition, and the products profitability
- (c) Establishes a program to develop the product, and
- (d) Assigns responsibility for further study of the products feasibility.

5. Prototype development: - So far, for many new-product concepts, the product may have existed only as a word description, a drawing, or perhaps a crude mock-up. If the product concept passes the business test, it moves into product development. Here, R&D or engineering develops the product concept into a physical product. The product development step, however,



now calls for a large jump in investment. It will show whether the product idea can be turned into a workable product.

The R&D department will develop and test one or more physical versions of the product concept. R&D hopes to design a prototype that will satisfy and excite consumers and that can be produced quickly and at budgeted costs. Developing a successful prototype can take days, weeks, months, or even years. Often, products undergo rigorous functional tests to make sure that they perform safely and effectively. Here are some examples of such functional tests.

6. Market tests: - This stage in new product development often entails test marketing, in which the product is placed on sale in a limited geographic area. Results, including sales and repeat purchases, are monitored by the company that developed the product and perhaps by competitors as well.

If the product passes functional and consumer tests, the next step is test marketing, the stage at which the product and marketing program are introduced into more realistic market settings. Test marketing gives the marketer experience with marketing the product before going to the great expense of full introduction. It lets the company test the product and its entire marketing program-positioning strategy, advertising, distribution, pricing, branding and packaging, and budget levels.

The amount of test marketing needed varies with each new product. Test marketing costs can be enormous, and it takes time that may allow competitors to gain advantages. When the costs of developing and introducing the product are low, or when management is already confident about the new product, the company may do little or no test marketing. Companies often do not test-market simple line extensions or copies of successful competitor products.

When using test marketing, consumer products companies usually choose one of three approaches-**standard test markets, controlled test markets, or simulated test markets.**

a. Standard Test Markets

Using standard test markets, the company finds a small number of representative test cities, conducts a full marketing campaign in these cities, and uses store audits, consumer and distributor surveys, and other measures to gauge product performance. The results are used to forecast national sales and profits, discover potential product problems, and fine-tune the



marketing program.

Standard test markets have some drawbacks. They can be very costly and they may take a long time-some last as long as three years. Moreover, competitors can monitor test market results or even interfere with them by cutting their prices in test cities, increasing their promotion, or even buying up the product being tested. Finally; test markets give competitors a look at the company's new product well before it is introduced nationally. Thus, competitors may have time to develop defensive strategies, and may even beat the company's product to the market

Despite these disadvantages, standard test markets are still the most widely used approach for major market testing. However, many companies today are shifting toward quicker and cheaper controlled and simulated test marketing methods.

b. Controlled Test Markets

Several research firms keep controlled panels of stores that have agreed to carry new products for a fee. Controlled test markets usually cost less than standard test markets and take less time (6 months to a year). A typical Behavior Scan test takes 16 to 24 months to complete. However, some companies are concerned that the limited number of small cities and panel consumers used by the research services may not be representative of their products' markets or target consumers. As in standard test markets, controlled test markets allow competitors to get a look at the company's new product.

c. Simulated Test Markets

Companies can also test new products in a simulated shopping environment. The company or research firm shows ads and promotions for a variety of products, including the new product being tested, to a sample of consumers. It gives consumers a small amount of money and invites them to a real or laboratory store where they may keep the money or use it to buy items. The researchers note how many consumers buy the new product and competing brands. This simulation provides a measure of trial and the commercial's effectiveness against competing commercials. The researchers then ask consumers the reasons for their purchase or nonpurchase. Some weeks later, they interview the consumers by phone to determine product attitudes, usage, satisfaction, and repurchase intentions. Using sophisticated computer models, the researchers then project national sales from results of the simulated test market. Recently, some marketers have begun to use interesting new high-tech approaches to simulated test market research, such as virtual reality and the Internet.



Simulated test markets overcome some of the disadvantages of standard and controlled test markets. They usually cost much less, can be run in eight weeks, and keep the new product out of competitors' view. Yet, because of their small samples and simulated shopping environments, many marketers do not think that simulated test markets are as accurate or reliable as larger, real-world tests. Still, simulated test markets are used widely, often as "pretest" markets. Because they are fast and inexpensive, they can be run to quickly assess a new product or its marketing program. If the pretest results are strongly positive, the product might be introduced without further testing. If the results are very poor, the product might be dropped or substantially redesigned and retested. If the results are promising but indefinite, the product and marketing program can be tested further in controlled or standard test markets.

7. Commercialization: - In this stage, full-scale production and marketing programs are planned and finally, implemented, up to this point in development, management has virtually complete control over the product.

Test marketing gives management the information needed to make a final decision about whether to launch the new product. If the company goes ahead with commercialization-introducing the new product into the market-it will face high costs. The company launching a new product must first decide on introduction timing. Next, the company must decide where to launch the new product: In a single location, a region, the national market, or the international market. Few companies have the confidence, capital, and capacity to launch new products into full national or international distribution. They will develop a planned market rollout over time. In particular, small companies may enter attractive cities or regions one at a time. Larger companies, however, may quickly introduce new models into several regions or into the full national market. Companies with international distribution systems may introduce new products through global rollouts. Colgate-Palmolive uses a "lead-country" strategy.

Lecture Synopsis

- Guided by a company's new-product strategy, a new product is best developed through a series of six stages.
- Major steps in product development process includes: Generating new product ideas, Screening ideas, Concept Development and Testing, Concept Testing, Business Analysis,



Prototype development, Market tests (standard test markets, controlled test markets, or simulated test markets), and Commercialization

Wrap-up Questions

- Discuss the product development process

Session 28

Reading Text

Session 28

Reading Text

Individual Product Decisions

Product Attributes

Developing a product or service involves defining the benefits that it will offer. These benefits are communicated and delivered by product attributes such as quality, features, and style and design.

a. Brand

In developing a marketing strategy for individual products, the seller has to confront the branding decision, branding is a major issue in product strategy. On the one hand, developing a branded product requires a great deal of long-term investment spending, especially from advertising, promotion, and packaging.

Perhaps the most distinctive skill of professional marketers is their ability to create, maintain, protect, and enhance brands, marketers say that "Branding is the art and cornerstone of marketing." The American marketing association defines a brand as follows: -

The Meaning of a Brand

"A Brand is a name, term, sign, symbol, or design, or a combination of them, intended to identify the goods or services of one seller or group of sellers and to differentiate them from those of competitors". A brand name is the part of brand consisting of words, letters, and/or numbers that can be vocalized. A trademark is defined as a brand that is given legal protection. Therefore,



trademark is a legal term meaning the words, names, or symbols that the law designates as trademarks.

A brand is essentially a seller's promise to consistently deliver a specific set of features, benefits, and services to the buyers. Consumers view a brand as an important part of a product, and branding can add value to a product. Branding helps buyers in many ways. Brand names help consumers to identify products that might benefit them. Brands also tell the buyer something about product quality. The same brand products have the same features, benefits, and quality each time buyers buy.

Branding also gives the seller several advantages. The brand name trade mark Becomes the basis on which a whole story can be built about a product's special qualities. Provide legal protection for unique product features that otherwise might be copied by competitors and Helps the seller to segment markets.

Brand Name Selection

A good name can add greatly to a products' success. However, finding the best brand name is a difficult task. It begins with a careful review of the product and its benefits, the target market and proposed marketing strategies.

Desirable qualities for a brand name includes:-

- It should suggest something about the product's benefits & qualities
- It should be easy to pronounce, recognize, and remember. The brand name should be distinctive
- It should be capable of registration and legal protection

Once, chosen, the brand name must be protected. Many times try to build a brand name that will eventually become identified with the product category.

Brand Strategy

A company has four choices when it comes to brand strategies, which are discussed as follows:-

- i. Line extension:** -Line extension occur when a company introduces additional items in the same product category under the same brand name, usually with features, such as new flavors, forms, colors, added ingredients, package sizes, and so on.



- ii. **Brand Extension:** - A company may decide to use an existing brand name to launch a product in a new category. Brand extension strategy offers a number of advantages. A well-regarded brand name gives the new product instant recognition and earlier acceptance. It enables the company to enter new product categories more easily.
 - iii. **Multi brands:** - A company will often introduce additional brands in the same product category. There are various motives for doing this. Sometimes the company is trying to establish different features and/or appeal to different buying motives.
- A multi branding strategy also enables the company to lock up more distributors' shelf space and to protect its major brand by setting up flanker brands. For example, Seiko establishes different brand names for its higher priced (Seiko LaSalle) and lower-priced watch (pulsar) to protect its flanks.
- iv. **New brand:** - When a company launches products in a new category, it may find that none of its current brand names are appropriate.
 - v. **Co-brands:** - A rising phenomenon is the appearance of co-branding (also called dual branding), in which two or more well-known brands are combined in an offer. Each brand sponsor expects that the other brand name will strengthen brand preference or purchase intention. In the case of co-packaged products, each brand hopes it might be reaching a new audience by associating with the other brand.

Advantages of Branding

1. The brand name makes it easier for the seller to process orders and track down problems. Furthermore, the seller finds it easier to trace the order if it is misshaped, or to determine why the beer was rancid if consumers complain.
2. The seller's brand name and trademark provide legal protection of unique product features, which competitors would otherwise be likely to copy.
3. Branding gives the seller the opportunity to attract a loyal and profitable set of customers. Brand loyalty gives sellers some protection from competition and greater control in planning their marketing program.
4. Branding helps the seller segment markets.
5. Strong brands help build the corporate image, making it easier to launch new brands and gain acceptance by distributors and consumers.



There is evidence that distributors want manufacturers; brand names because brand makes the product easier to handle, hold production to certain quality standards, strengthen buyer's preferences, and make it easier to identify suppliers. Consumers want brand names to help them identify quality differences and shop more efficiently.

Lecture Synopsis

- Developing a product or service involves defining the benefits that it will offer.
- These benefits are communicated and delivered by product attributes such as quality, features, and style and design.
- A brand is a name, term, sign, symbol, or design, or a combination of these, that identifies the maker or seller of a product or service.
- Branding helps buyers in many ways. Brand names help consumers identify products that might benefit them.
- Brands also tell the buyer something about product quality.
- The same brand products have the same features, benefits, and quality each time buyers buy.
- Branding gives the seller several advantages.
- The brand name/ trade mark becomes the basis on which a whole story can be built about a product's special qualities.
- Provide legal protection for unique product features that otherwise might be copied by competitors.
- A company has four choices when it comes to brand strategy, which are as follows:- Line extension, Brand Extension, Multi brands, New brand and Co-brands

Wrap-up Questions

- Define brand and branding
- Discuss the branding strategies
- List the advantages of branding

Session 29

Reading Text



Packaging and Labeling

Packaging

Packaging involves designing and producing the **container or wrapper for a product**. The package may include: The product's primary container (the tube holding Colgate toothpaste); A secondary package that is thrown away when the product is about to be used (the cardboard box containing the tube of Colgate); and The shipping package necessary to store, identify, and ship the product (a corrugated box carrying six dozen tubes of Colgate toothpaste). Labeling, printed information appearing on or with the package, is also part of packaging.

Traditionally, the primary function of the package was to contain and protect the product. In recent times, packages must perform many sales tasks – from attracting attention, to describing the product, to making the sale, product safety. Companies are realizing the power of good packaging to create instant consumer recognition of the company or brand. In making packaging decisions, the company also must heed growing environmental concerns.

Developing a good package for a new product requires making many decisions.

- First, the company must establish the packaging concept, which states what the package should be or do for the product. Should it mainly: offer product protection, introduce a new dispensing method, suggest certain qualities about the product, or something else?
- Decisions then must be made on **specific elements of the package, such as size, shape, materials, color, text, and brand mark**. These elements must work together to support the product's position and marketing strategy. The package must be consistent with the product's advertising, pricing, and distribution.

Advantages of Packaging

In general, packaging provides the following advantages:

- It physically protect the products from damage, theft, pilferage
- It helps in identifying the products
- It encourages impulse buying
- It is used as an advertising media
- It serves as an information tool



- It serves as a sales tool

Criticism of Packaging

Packaging in the public eye today, largely because of environmental issues, becomes specific concerns. This is because:

- i. **Packaging depletes natural resources:** - This concern has been addressed through the use of recycled materials in packaging. A point in favor of effective packaging is that it minimizes spoilage, thereby reducing a form of resource waste.
- ii. **Packaging is too expensive:** - Even it seemingly simple packaging, such as for soft drinks, as much as one-half of the production cost is for the container. Still, effective packaging reduces transportation costs and spoilage losses.
- iii. **Packaging is deceptive:** - Government regulations plus greater integrity on the part of business firms regarding packaging have alleviated these concerns to some extent.
- iv. **Used and discarded packaging contributes significantly to the solid waste problem etc.** Marketing executives are challenged to address these criticisms. At the same time, they must retain or even enhance the positive features of packaging, such as product protection, consumer convenience, and marketing support.

Labeling

Meaning of Labeling

A label is a part of a product that carries information about the product and the seller. A label may be part of the package, or it may be a tag attached to the product. Obviously there is a close relationship among labeling, packaging, and branding.

They perform several functions: At the very least, the label identifies the product or brand, The label might also describe several things about the product who made it, where it was made, when it was made, its contents, how it is to be used, and how to use it safely. Finally, the label might promote the product through attractive graphics.

Types of Labels

Labels fall into three primary kinds:

- i. **A brand label:**-It is simply the brand name applied to the product or package.



- ii. **A descriptive label:** - It gives objectives information about the products' use construction, care, performance, and/or other pertinent features ingredients and nutritional contents.
- iii. **A grade label:** - It identifies the products judged quality with a letter, number, or word.

Canned peaches are grade labeled A,B,C, corn and wheat are grade labeled 1 & 2.

Brand labeling is an acceptable form of labeling, but it does not supply sufficient information to a buyer. Descriptive labels provide more product information but not necessarily all that is needed or desired by a consumer in making a purchase decision.

Functions of Labeling

Labeling performs several functions. Some of which are illustrated below:-

- i. The label identifies the product or brand
- ii. The label might also describe several things about the product, which made it, where it was made, when it was made, its contents, how it is to be used, and how to use it safely.
- iii. The label might promote the product through attractive graphics In general the label may contain:

Other want-satisfaction product features may contain product quality, color, design, and warranty.

Lecture Synopsis

- Packaging involves designing and producing the container or wrapper for a product. The package may include:
- Traditionally, the primary function of the package was to contain and protect the product.
- In recent times, packages must perform many sales tasks such as: from attracting attention, to describing the product, to making the sale, and product safety
- Companies are realizing the power of good packaging to create instant consumer recognition of the company or brand.
- In making packaging decisions, the company also must heed growing environmental concerns.
- A label is a part of a product that carries information about the product and the seller.
- A label may be part of the package, or it may be a tag attached to the product. Obviously there is a close relationship among labeling, packaging, and branding.

Wrap-up Questions



- Define and Differentiate packaging and labeling
- Discuss the advantages of packaging
- Discuss the types of labeling
- Discuss the functions of labeling

Session 30

Reading Text

Product Mix Decisions

Product mix refers to the number of different product lines the company carries. An organization with several product lines has a product mix. A product mix (or product assortment) consists of all the product lines and items that a particular seller offers for sale. Avon's product mix consists of four major product lines: cosmetics, jewelry, fashions, and household items. Each product line consists of several sub lines.

“A product line is a broad group of products, intended for essentially similar uses and having similar physical characteristics.”

A company's product mix has four important dimensions: width, length, depth, and consistency.

- **Product line width** refers to the number of different product lines the company carries.
- **Product line Length** refers to total number of items the company carries within the line.
- **Product line depth** refers to the number of versions offered of each product in the line.

The consistency of the product mix refers to how closely relate the various product lines are in end use, production requirements, distribution channels, or some other way. products that go through the same distribution channels. The lines are less consistent insofar as they perform different functions for buyers.

Product Life-cycle Strategies

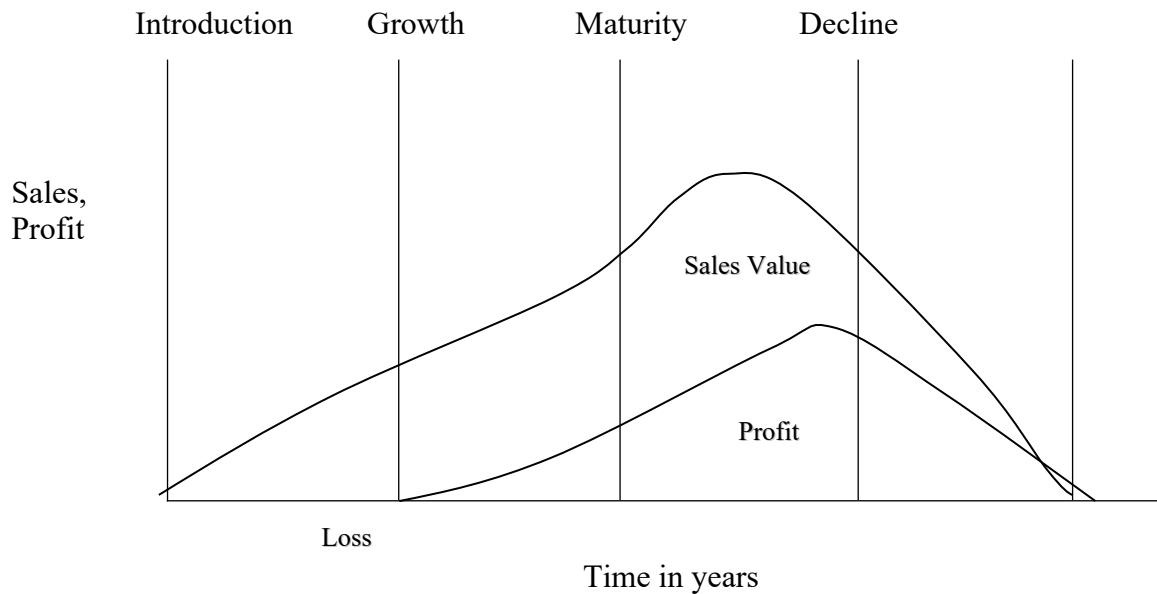
After launching the new product, management wants the product to enjoy a long and happy life. Although it does not expect the product to sell forever, the company wants to earn a decent profit to cover all the effort and risk that went into launching it: Management is aware that each product will have a life cycle, although the exact shape and length is not known in advance.

The Life cycle of a product consists of four stages:



The concept of product life cycle is very important in modern marketing. Steps in planning and development of products, why new product fail? And strategies used on every stage of the life cycle is illustrated as follows:

A product life cycle consists of the aggregate demand over an extended period of time for all brands comprising a generic product category.



Characteristics of Each Stage

Management must be able to recognize what part of the life cycle its product is in at any given time. The competitive environment and marketing strategies that should be used ordinarily depend on the particular stage.

1. **Introduction Stage:** - During the introduction stage, a product is launched into the market in a full-scale marketing program. It has gone through product development, including idea screening prototype and market tests.

This introductory (Sometimes called pioneering) stage is the most risky and expensive one, because substantial amount of money spent in seeking consumer's acceptance of the product. This is a period of slow sales growth as the product is introduced in the market. Profits are nonexistent in this stage because of the heavy expenses of product introduction.

In this stage, as compared to other stages, profits are negative or low because of the low sales.



and high distribution and promotion expenses. Much money is needed to attract distributors and build their inventories. Promotion spending is relatively high to inform consumers of the new product and get them to try it. Because the market is not generally ready for product refinements at this stage, the company and its few competitors produce basic versions of the product. These firms focus their selling on those buyers who are the readiest to buy.

2. Growth stage: - If the new product satisfies the market, it will enter a growth stage, in which sales will start climbing quickly. The early adopters will continue to buy, and later buyers will start following their lead, especially if they hear favorable word of mouth. Attracted by the opportunities for profit, new competitors will enter the market. They will introduce new product features, and the market will expand. The increase in competitors leads to an increase in the number of distribution outlets, and sales jump just to build reseller inventories. Prices remain where they are or fall only slightly. Companies keep their promotion spending at the same or a slightly higher level. Educating the market remains a goal, but now the company must also meet the competition.

Profits increase during the growth stage, as promotion costs are spread over a large volume and as unit manufacturing costs fall. The firm uses several strategies to sustain rapid market growth as long as possible. It improves product quality and adds new product features and models. It enters new market segments and new distribution channels. It shifts some advertising from building product awareness to building product conviction and purchase, and it lowers prices at the right time to attract more buyers.

In the growth stage, the firm faces a trade-off between high market share and high current profit. By spending a lot of money on product improvement, promotion, and distribution, the company can capture a dominant position. In doing so, however, it gives up maximum current profit, which it hopes to make up in the next stage.

3. Maturity: - At some point, a product's sales growth will slow down, and the product will enter a maturity stage. This maturity stage normally lasts longer than the previous stages, and it poses strong challenges to marketing management. Most products are in the maturity stage of the life cycle, and therefore most of marketing management deals with the mature product.

The slowdown in sales growth results in many producers with many products to sell. In turn, this



overcapacity leads to greater competition. Competitors begin marking down prices, increasing their advertising and sales promotions, and upping their R&D budgets to find better versions of the product. These steps lead to a drop in profit. Some of the weaker competitors start dropping out, and the industry eventually contains only well-established competitors.

Although many products in the mature stage appear to remain unchanged for long periods, most successful ones are actually evolving to meet changing consumer needs. Product managers should do more than simply ride along with or defend their mature products—a good offense is the best defense. They should consider modifying the market, product, and marketing mix.

In *modifying the market*, the company tries to increase the consumption of the current product. It looks for new users and market segments.

The company might also try modifying the product—changing characteristics such as quality, features, or style to attract new users and to inspire more usage. It might improve the product's quality and performance—its durability, reliability, speed, or taste. Or it might add new features that expand the product's usefulness, safety, or convenience. Finally, the company can improve the product's styling and attractiveness. The makers of consumer food and household products introduce new flavors, colors, ingredients, or packages to revitalize consumer buying.

Finally, the company can try modifying the marketing mix—improving sales by changing one or more marketing mix elements. It can cut prices to attract new users and competitors' customers. It can launch a better advertising campaign or use aggressive sales promotions—trade deals, cents-off, premiums, and contests. The company can also move into larger market channels, using mass merchandisers, if these channels are growing. Finally, the company can offer new or improved services to buyers.

4. Decline: - The sales of most product forms and brands eventually dip. The decline may be slow; as in the case of oatmeal cereal, or rapid, as in the case of phonograph records. Sales may plunge to zero, or they may drop to a low level where they continue for many years. This is the decline stage.

Sales decline for many reasons, including technological advances, shifts in consumer tastes, and increased competition. As sales and profits decline, some firms withdraw from the market. Those



remaining may prune their product offerings. They may drop smaller market segments and marginal trade channels, or they may cut the promotion budget and reduce their prices further.

Carrying a weak product can be very costly to a firm, and not just in profit terms. There are many hidden costs. A weak product may take up too much of management's time. It often requires frequent price and inventory adjustments. It requires advertising and sales force attention that might be better used to make "healthy" products more profitable. A product's failing reputation can cause customer concerns about the company and its other products. The biggest cost may well lie in the future. Keeping weak products delays the search for replacements, creates a lopsided product mix, hurts current profits, and weakens the company's foothold on the future.

For these reasons, companies need to pay more attention to their aging products. The firm's first task is to identify those products in the decline stage by regularly reviewing sales, market shares, costs, and profit trends. Then, management must decide whether to maintain, harvest, or drop each of these declining products.

Management may decide to maintain its brand without change in the hope that competitors will leave the industry. Management may decide to reposition or reformulate the brand in hopes of moving it back into the growth stage of the product life cycle.

Management may decide to harvest the product, which means reducing various costs (plant and equipment, maintenance, R&D, advertising, sales force) and hoping that sales hold up. If successful, harvesting will increase the company's profits in the short run. Or management may decide to drop the product from the line. It can sell it to another firm or simply liquidate it at salvage value. If the company plans to find a buyer, it will not want to run down the product through harvesting.

For most products, a decline stage as gauged by sales volume for the total category is inevitable for one of the following reasons: The need for the product disappears, better or less expensive product is developed to fill the same need, people simply tired of a product (a clothing style for instance), So it disappears from the market.

Lecture Synopsis



- Product mix refers to the number of different product lines the company carries. An organization with several product lines has a product mix.
- A product mix (or product assortment) consists of all the product lines and items that a particular seller offers for sale.
- A company's product mix has four important dimensions: width, length, depth, and consistency.
- The consistency of the product mix refers to how closely related the various product lines are in end use, production requirements, distribution channels, or some other way. products that go through the same distribution channels.
- The lines are less consistent insofar as they perform different functions for buyers.
- A product life cycle consists of the aggregate demand over an extended period of time for all brands comprising a generic product category.
- A product life cycle includes four stages: Introduction, Growth, Maturity and Decline stage.

Wrap-up Questions

- Identify the stages of the product life cycle.
- Discuss the features of each stages of the product life cycle

Chapter 9

Price Mix

Module 9

Introduction

All profit organizations and many non-profit organizations set prices on their products. Buyers and sellers, negotiating with each other, set price. Sellers would ask for a higher price than they



expected to receive, and buyers would offer less than they expected to pay. Through bargaining, they would arrive at mutually acceptable price.

Price is the only element in the marketing mix that produces revenue. The other elements produce costs. Price is the most flexible element of the marketing mix, that it can be changed quickly, unlike product features and channel commitments. At the same time, pricing and price competition are the number-one problem facing many marketing executives.

Companies handle pricing in a variety of ways. In small companies, prices are often set by top management rather than by marketing or sales people. In a large companies, division and product line managers typically handle pricing.

Learning Objectives

After completing this chapter you will be able to:

- Understand the meaning of a price
- Explain the key factors influencing price
- Comprehend pricing objectives
- Understand approaches to determining prices

Discussion Question

- Discuss the meaning of price and pricing
- Identify the pricing strategies
- Pick the factors affecting pricing
- Is price for different products different?

Session 31

Reading Text

The Meaning of Price

Price is the amount of money charged for a product or service, or the sum of the values that consumers exchange for the benefits of having or using the product or service. All profit organizations and many nonprofit organizations must set prices on their products or services. Price goes by many names.



In the narrowest sense, price is the amount of money charged for a product or service. More broadly, price is the sum of all the values that consumers exchange for the benefits of having or using the product or service. Historically, price has been the major factor affecting buyer choice. This is still true in poorer nations, among poorer groups, and with commodity products. However, non-price factors have become more important in buyer-choice behavior in recent decades.

Throughout most of history, prices were set by negotiation between buyers and sellers. Fixed price policies--setting one price for all buyers--is a relatively modern idea that arose with the development of large-scale retailing at the end of the nineteenth century.

Price is the only element in the marketing mix that produces revenue; all other elements represent costs. Price is also one of the most flexible elements of the marketing mix. Unlike product features and channel commitments, price can be changed quickly. At the same time, pricing and price competition is the number-one problem facing many marketing executives.

Factors Affecting Pricing Decision

Internal factors affecting pricing include the company's marketing objectives, marketing mix strategy, costs, and organizational considerations.

1. Marketing Objectives

Every marketing activity-include pricing should be directed toward a goal. Thus management should decide on its pricing objectives before determining the price itself. To be useful, the pricing objectives management selects must be compatible with the overall goals set by the company and the goals for its marketing program. Some of the pricing objectives set by the firm may include:

- Profit oriented
 - To achieve a target return
 - To maximize profit
- Sales oriented
 - To increase sales volume
 - To maintain or increase market share
- Status quo-oriented
 - To stabilize prices
 - To meet competition



Knowing the objective of its pricing, a company then can move to the heart of price management: determining the base price of a product.

a. Profit – Oriented Goals: - Profit goals may be set for the short or long run. The company may select one or two profit oriented goals for its pricing policy.

- **Achieve a target return:** - A firm may price its product to achieve a target return – a specified percentage return on its sales or on its investment. Many retailers and wholesalers use a target return on sales as a pricing objective for short period such as a year or a fashion season.

They add an amount to the rest of the product, called a mark up, to cover anticipated operating expenses and provide a desired profit for the period.

- **Maximize Profit:** - The pricing objective of making as much money as possible is probably followed more than any other goal. The trouble with this goal is that to some people, profit maximization has an ugly connotation, suggesting profiteering, high price and monopoly.

b. Sales- Oriented Goals: - In some companies management's pricing is focused on sales volume. The pricing goal may be to increase sales volume or to maintain or increase the firm's market share.

- **Increase Sales Volume:** - The pricing goal of increasing sales volume is typically adopted to achieve rapid growth or to discourage potential competitors from entering a market. The goal is usually stated as a percentage increase in sales volume over same period, say 3 years or 3 year. Management may seek higher sales volume by discounting or by same other aggressive pricing strategy.
- **Maintain or Increase:** - In some companies, both large and small the pricing objective is to maintain or increase market share. Most industries today are not grouping much, if at all, and have excess production capacity. Many firms need added sales to more utilize their production capacity, and in turn, gain economies of scale and better profit.

c. Status - Quo - Oriented Goals: - Two related goals – stabilizing prices and meeting competition – are the least aggressive of all pricing goals. They are intended simply to



maintain the firm's current situation – that is, the status quo. With either of these goals, a firm seeks to avoid price competition.

Price stabilization often is the goal in industries where the product is highly standardized (such as steel or bulk chemicals) and one large firm.

Other factors, beside objectives, that influence price determination are discussed below:

a. Estimated Demand: - In pricing, a company may estimate the total demand for the product.

This is easier to do for an established product than for a new one. The steps in estimating demand are: Determine whether there is a price the market expects and Estimate what the sales volume might be at different prices.

A product must also consider a middleman's reaction to price. Middlemen are more likely to promote a product if they approve its price. Retailer and wholesale buyers can frequently make an accurate estimate of the selling price that the market will accept for a particular item.

Moreover, the seller is gauging price elasticity of demand, which refers to the responsiveness of quantity demanded to price changes.

b. Competitive Reactions: - Competition greatly influences base price. A new product is distinctive only until the inevitable arrival of competition. The threat of potential competition is greatest when the field is easy to enter and profit prospects are encouraging.

c. Other Marketing Mix Elements:- A Product's base price is influenced considerably by the other ingredient in the marketing mix.

- **Product:** - We have already observed that a product's price is affected by whether it is a new item or an established one. Over the course of a life cycle, price changes are necessary to keep the product competitive.
- **Distribution Channels:** - The channels and types of middlemen selected will influence a producers pricing. A firm selling both through wholesaler and directly to a retailers often sets a different factory price for these two classes of customers. The price to wholesaler is lower because they perform services that the producer would have to perform - such as providing storage, granting credit to retailers, and selling to retailers.
- **Promotion:** - The extent to which the product is promoted by the producer or middlemen and the methods used are added considerations in pricing. If major promotional



responsibility is placed on retailers, they ordinarily will be charged a lower price for a product than if the producers advertises it heavily.

d. Cost of a Product: - Pricing of a product also should consider its cost. A product's total unit cost is made up of several types of costs, each reacting different to changes in the quantity produced. Cost means the amount of expenditure incurred to produce a job or a product or to render a particular service. The total cost of a product is divided as material cost, labor cost, and other expenses incurred. These costs are further divided in costing as: Direct material cost & indirect material cost, Direct labor cost & indirect labor cost and Direct expenses & indirect expenses.

Direct material cost plus direct labor cost plus direct expenses is known as prime cost. Indirect material cost plus indirect labor cost plus indirect expenses are known as overheads and prime cost plus overheads is the total cost.

These costs are further classified as per their common characteristics as follows:

- According to their nature: - such as material cost, labor cost and overheads.
- According to their functions: - such as prime cost, factory costs, office & administration costs, selling costs, and distribution cost.
- According to their variability: - such as fixed costs, variable costs, and semi-variable costs etc.

e. Discount & Allowances: - Discount & allowances result in a deduction from a base (or list) price. The deduction may be in the form of a reduced price or some other concession, such as free merchandise or advertising allowances. Discount & allowances are commonplace in business dealings. Discount takes several forms such as: quantity discounts, **Trade/Functional discount, and Cash discount.**

Lecture Synopsis

- Price is the amount of money charged for a product or service, or the sum of the values that consumers exchange for the benefits of having or using the product or service.
- All profit organizations and many nonprofit organizations must set prices on their products or services. Price goes by many names.
- In the narrowest sense, price is the amount of money charged for a product or service.
- More broadly, price is the sum of all the values that consumers exchange for the benefits of having or using the product or service.



- In small companies, prices are often set by top management rather than by marketing or sales people. In a large company, division and product line managers typically handle pricing.
- Internal factors affecting pricing include the company's marketing objectives, marketing mix strategy, costs, and organizational considerations.
- In pricing, a company may estimate the total demand for the product. This is easier to do for an established product than for a new one.
- A Product's base price is influenced considerably by the other ingredient in the marketing mix. Pricing of a product also should consider its cost.
- Discount & allowances result in a deduction from a base (or list) price. (Quantity Discounts, Trade/Functional discount, Cash discount.

Wrap-up Questions

- Define pricing
- Pick the factors that determine pricing

Session 32

Reading text

Pricing method

To determine their selling price, most companies establish their prices using one of the following methods: Price are based on total cost plus a desired profit (Break even analysis is a variation of this method), Prices are based on marginal analysis (A consideration of both market demand and supply) and Price are based on competitive market conditions (Market price)

a. Cost Plus/ Mark Up Pricing

Cost plus pricing means setting the price of one unit of a product equal to the total cost of the unit plus the desired profit on the unit.

Cost plus pricing when it is based on cost, the formula used is as follows

$$\text{Mark up \%} = \frac{\text{markup}}{\text{Cost}}$$

When mark up is based on selling price

$$\text{Mark up \%} = \frac{\text{markup}}{\text{selling price}}$$



Selling price

Adding standard markup to the cost of the product.

A retailer pays a supplier \$10 for a product and marks it up to sell at \$15. There is a 50% markup on the product and the retailer's gross margin is \$5. If the operating costs of the store are \$4 per unit adds, the retailer's profit margin is \$1 or 10%.

One way to consider both market demand and cost in price determination is break-even analysis to calculate break- even points. A break- even point is that quantity of output at which total revenue equals total cost.

b. Break-even Analysis & Target Profit Pricing (Marginal Analysis)

Another pricing method, marginal analysis, also takes into account of both demand and costs to determine the best price for profit maximization. Firms with other pricing goals might use price based on marginal analysis to compare price determined by different means.

This approach is particularly useful where there is high proportion of overhead costs to be included in the selling price. However, demand and the perceived value of the product should not be ignored.

Break-even analysis uses the concept of a break-even chart to develop a system of target profit pricing in which the organization tries to determine the price that will produce the profit it is seeking. **The chart shows the total cost and total revenue at different sales volume levels.**

c. Market Pricing: - The seller price may be set right at the above or below the market price.

- **Uniform Delivered Pricing:** - Under uniform delivered pricing, the same delivered price is quoted to all buyers regardless of their locations. This strategy is sometimes referred to as **postage stamp pricing**, because of its similarity to the pricing of the first class mail service.

Uniform delivered pricing is typically used when freight costs are a small part of the seller's total costs. This strategy is also used by many retailers who believe is free delivery is an additional service that strengthens their market position.



- **Zone Delivered Pricing:** - Zone – delivered pricing divides a seller's market into a limited number of broad geographic zones and then sets a uniform delivered price for each zone.

Zone delivered pricing is similar to the system used in pricing package – delivery service.

When using this pricing strategy, a seller must walk a tightrope to avoid charges of illegal price discrimination. The zone must be drawn so that all buyers who compete for a particular market are in the same zone. This condition is almost impossible to meet in dense population areas.

- d. Odd Pricing:** - Odd pricing, another psychological strategy is commonly used in retailing.

Odd pricing sets prices at uneven (odd) amounts such as 49 cents, or \$ 19.95, rather than at even amounts. The rationale for odd pricing is that it suggests lower prices and as a result yields greater sales than even pricing. Recent research indicates that odd pricing can be an effective strategy for a firm that emphasizes low prices.

- e. Value Pricing:** - In recent years several companies have adopted value based pricing in which they charge a fairly low price for a fairly high quality offering. Value pricing says that the price should represent a high value offer to consumers. Lexus is a good example because Toyota could have priced Lexus, given its extra ordinary quality, much closer to Mercedes price.

- f. Perceived Value Pricing:** - An increasing number of companies are basing their price on the product's perceived value. They see the buyer's perception of value, not the seller's cost, as the key to pricing. They use the non-price variables on the marketing mix to build up perceived value in the buyer's mind. Price is set to capture the perceived value.

- g. Going Rate Pricing:** - In going rate pricing, the firm pays less attention to its own costs or demand and bases its price largely on competitors' prices. The firm might change the same, more or less than its major competitors.

- h. Sealed Bid Pricing:** - Competitive – oriented pricing is common where firms submit sealed bids for jobs. The firm bases its price on expectations of how competitors will price rather than on a rigid relation to the firm's costs or demand.

The firms want to win the contract, and winning normally requires submitting a lower price than competitors. At the same time, the firm cannot set its price below cost without worsening its position.

Lecture Synopsis



To determine their selling price, most companies establish their prices using one of the following methods:

- Price are based on total cost plus a desired profit (Break even analysis is a variation of this method)
- Prices are based on marginal analysis (A consideration of both market demand and supply)
- Price are based on competitive market conditions (Market price)
- The different methods of pricing are:
 - Market Pricing
 - Uniform delivered pricing /postage stamp pricing/
 - Zone – delivered pricing
 - Odd pricing
 - Value Pricing
 - Perceived Value Pricing
 - Going Rate Pricing
 - Sealed Bid Pricing

Wrap-up Questions

- Discuss the pricing methods

Session 33

Reading Text

New –Product Pricing Strategy

Pricing strategies usually change as the product passes through its life cycle. The introductory stage is especially challenging. Companies bringing out a new product face the challenge of setting prices for the first time. They can choose between two broad strategies: **market-skimming pricing and market-penetration pricing.**

a. Market-Skimming Pricing

Many companies that invent new products initially set high prices to "skim" revenues layer by layer from the market. Intel is a prime user of this strategy Called **market skimming pricing.** One analyst describes Intel's pricing strategy this way: "The chip giant introduces a new higher-



margin microprocessor every 12 months and sends older models down the food chain to feed demand at lower price points. When Intel first introduces a new computer chip, it charges as much as \$1,000 for each chip, a price that makes it just worthwhile for some segments of the market to adopt computers containing the chip.

Market skimming makes sense only under certain conditions. First, the product's quality and image must support its higher price, and enough buyers must want the product at that price. Second. The costs of producing a smaller volume cannot be so high that they cancel the advantage of charging more. Finally, competitors should not be able to enter the market easily and undercut the high price.

b. Market-Penetration Pricing

Rather than setting a high initial price to skim off small but profitable market segments, some companies use **market-penetration pricing**. They set a low initial price in order to penetrate the market quickly and deeply-to attract a large number of buyers quickly and win a large market share. The high sales volume results in falling costs, allowing the company to cut its price even further. For example. Dell used penetration pricing to enter the personal computer market, selling high-quality computer products through lower-cost direct channels. Its sales soared when IBM. Compaq. Apple and other competitors selling through retail stores could not match its prices. Wal-Mart and other discount retailers also use penetration pricing.

Several conditions must be met for this low-price strategy to work. First. The market must be highly price sensitive so that a low price produces more market growth. Second, production and distribution costs must fall as sales volume increases, finally, the low price must help keep out the competition, and the penetration pricer must maintain its low-price position-otherwise, the price advantage may be only temporary. For example, Dell faced difficult: times when IBM and Compaq established their own direct distribution channels. However, through its dedication to low production and distribution costs, Dell has retained its price advantage and established itself as the industry's fastest-growing computer maker and number two in personal computers behind Compaq.

Lecture Synopsis

- Pricing strategies usually change as the product passes through its life cycle. The introductory stage (new product pricing) is especially challenging.



- The introduction stage pricing can choose between two broad strategies: market-skimming pricing and market-penetration pricing.
- Many companies that invent new products initially set high prices to "skim" revenues layer by layer from the market.
- Under Market-Penetration Pricing companies set a low initial price in order to penetrate the market quickly and deeply-to attract a large number of buyers quickly and win a large market share.
- The strategy for setting a product's price often has to 'be changed when the product is part of a product mix.

Wrap – up Questions

- Discuss the new product pricing strategies.

Session 34

Reading Text

Price Adjustment Strategies

Companies usually adjust their basic prices to account for various customer differences and changing situations. Six price-adjustment strategies: are summarized discount and allowance pricing, segmented pricing, psychological pricing, promotional pricing, geographical pricing, and international pricing.

a. Discount and Allowance Pricing

Most companies adjust their basic price to reward customers for certain responses, such as early payment of bills, volume purchases, and off-season buying. These price adjustments-called discounts and allowances-can take many forms.

A **cash discount** is a price reduction to buyers who pay their bills promptly. A typical example is "2/10, net 30," which means that although payment is due within 30 days, the buyer can deduct 2 percent if the bill is paid within 10 days. The discount must be granted to all buyers meeting these terms. Such discounts are customary in many industries and help to improve the sellers' cash situation and reduce bad debts and credit-collection costs.

A **quantity discount** is a price reduction to buyers who buy large volumes. A typical example



might be "\$10 per unit for less than 100 units, \$9 per unit for 100 or more units." By law, quantity discounts must be offered equally to all customers and must not exceed the seller's cost savings associated with selling large quantities. These savings include lower selling, inventory, and transportation expenses. Discounts provide an incentive to the customer to buy more from one given seller, rather than from many different sources.

A **functional discount** (also called a trade discount) is offered by the seller to trade channel members who perform certain functions, such as selling, storing, and record keeping. Manufacturers may offer different functional discounts to different trade channels because of the varying services they perform, but manufacturers must offer the same functional discounts within each trade channel.

A **seasonal discount** is a price reduction to buyers who buy merchandise or services out of season. For example, lawn and garden equipment manufacturers offer seasonal discounts to retailers during the fall and winter months to encourage early ordering in anticipation of the heavy spring and summer selling seasons. Hotels, motels, and airlines will offer seasonal discounts in their slower selling periods. Seasonal discounts allow the seller to keep production steady during an entire year.

Allowances are another type of reduction from the list price. For example, *trade-in allowances* are price reductions given for turning in an old item when buying a new one. Trade-in allowances are most common in the automobile industry but are also given for other durable goods. *Promotional allowances* are payments or price reductions to reward dealers for participating in advertising and sales support programs.

b. Segmented Pricing

Companies will often adjust their basic prices to allow for differences in customers, products, and locations. In **segmented pricing**, the company sells a product or service at two or more prices, even though the difference in prices is not based on differences in costs.

Segmented pricing takes several forms. Under customer-segment pricing, different customers pay different prices for the same product or service. Museums, for example, will charge a lower admission for students and senior citizens. Under product form pricing, different versions of the product are priced differently but not according to differences in their costs. For segmented pricing to be an effective strategy, certain conditions must exist.



The market must be segment able, and the segments must show different degrees of demand. Members of the segment paying the lower price should not be able to turn around and resell the product to the segment paying the higher price. Competitors should not be able to undersell the firm in the segment being charged the higher price. Nor should the costs of segmenting and watching the market exceed the extra revenue obtained from the price difference. Of course, the segmented pricing must also be legal. Most importantly, segmented prices should reflect real differences in customers' perceived value. Otherwise, in the long run, the practice will lead to customer resentment and ill will.

c. Psychological pricing

Price says something about the product. For example, many consumers use price to judge quality. A \$100 bottle of perfume may contain only \$3 worth of scent, but some people are willing to pay the \$100 because this price indicates something special.

In using **psychological pricing**, sellers consider the psychology of prices and not simply the economics. For example, one study of the relationship between price and quality perceptions of cars found that consumers perceive higher-priced cars as having higher quality.⁸ By the same token, higher-quality cars are perceived to be even higher priced than they actually are. When consumers can judge the quality of a product by examining it or by calling on past experience with it, they use price less to judge quality. When consumers cannot judge quality because they lack the information or skill, price becomes an important quality signal.

Another aspect of psychological pricing is **reference prices**-prices that buyers carry in their minds and refer to when looking at a given product. The reference price might be formed by noting current prices, remembering past prices, or assessing the buying situation. Sellers can influence or use these consumers' reference prices when setting price.

d. Promotional Pricing

With **promotional pricing**, companies will temporarily price their products below list price and sometimes even below cost. Promotional pricing takes several forms. Supermarkets and department stores will price a few products as *loss leaders* to attract customers to the store in the hope that they will buy other items at normal markups. Sellers will also use *special-event pricing*



in certain seasons to draw more customers. Thus, linens are promotionally priced every January to attract weary Christmas shoppers back into stores.

Manufacturers will sometimes offer *cash rebates* to consumers who buy the product from dealers within a specified time; the manufacturer sends the rebate directly to the customer. Rebates have been popular with automakers and producers of durable goods and small appliances, but they are also used with consumer' packaged goods. Some manufacturers offer *low-interest financing*, *longer warranties*, or *free maintenance* to reduce the consumer's "price." This practice has recently become a favorite of the auto industry. Or, the seller may simply offer discounts from normal prices to increase sales and reduce inventories.

Promotional pricing, however, can have adverse effects. Used too frequently and copied by competitors, price promotions can create "deal-prone" customers who wait until brands go on sale before buying them. Or, constantly reduced prices can erode a brand's value in the eyes of customers. Marketers sometimes use price promotions as a quick fix instead of sweating through the difficult process of developing effective longer-term strategies for building their brands. In fact, one observer notes that price promotions can be downright addicting to both the company and the customer: "Price promotions are the brand equivalent of heroin: easy to get into but hard to get out of. Once the brand and its customers are addicted to the short-term high of a price cut it is hard to wean them away to real brand building.... But continue and the brand dies by 1,000 cuts.

e. Geographical Pricing

A company also must decide how to price its products for customers located in different parts of the country or world. Should the company risk losing the business of more distant customers by charging them higher prices to cover the higher shipping costs? Or should the company charge all customers the same prices regardless of location? We will look at five geographical pricing strategies for the following hypothetical situation: Fob origin pricing, Uniform-delivered pricing, Zone pricing, Basing point pricing, Freight absorption pricing.

f. International Pricing

Companies that market their products internationally must decide what prices to charge in the different countries in which they operate. In some cases, a company can set a uniform worldwide price. For example, Boeing sells its jetliners at about the same price everywhere, whether in the



United States, Europe, or a third-world country. However, most companies adjust their prices to reflect local market conditions and cost considerations.

The price that a company should charge in a specific country depends on many factors, including economic conditions, competitive situations, laws and regulations, and development of the wholesaling and retailing system. Consumer perceptions and preferences also may vary from country to country, calling for different prices. Or the company may have different marketing objectives in various world markets, which require changes in pricing strategy. For example, Sony might introduce a new product into mature markets in highly developed countries with the goal of quickly gaining mass-market share--this would call for a penetration-pricing strategy. In contrast, it might enter a less developed market by targeting smaller, less price-sensitive segments; in this case, market-skimming pricing makes sense.

Lecture Synopsis

- Companies usually adjust their basic prices to account for various customer differences and changing situations.
- Six price-adjustment strategies are: discount and allowance pricing, segmented pricing, psychological pricing, promotional pricing, geographical pricing, and international pricing.

Wrap - up Question

- Pick the price adjustment strategies

Unit 10

Place Mix

Module 10

Introduction

Ownership of a product has to be transferred somehow from the individual or organization that



makes it to the customer who needs and buys it. Goods also must be physically transported from where they are produced to where they are needed. Services ordinarily cannot be shipped but rather are produced and consumed in the same place.

Even before a product is ready for market, management should determine what methods and routes would be used to get it there. This means establishing strategies for the products Distribution channel. This chapter will address the issues related with distribution of goods and services from where they are produced to where they are going to be consumed.

Learning Objectives

At the end of this unit you will be able to:

- Understand the role of physical distribution in marketing
- Explain the channels of distribution
- Pick elements of a channel of distribution
- Comprehend the importance and limitations of different channels
- Differentiate distribution channels for consumer and industrial goods.

Discussion Questions

- Define physical distribution and channels of distribution
- Pick the factors that influence choice decisions of channels of distribution
- Identify the members of the channels of distribution.
- Identify the channel design options

Session 35

Reading Text

Physical distribution

Marketing channel decisions are among the most important decisions that management faces. A company's channel decisions are linked with every other marketing decision. The company's "pricing depends on whether it uses mass merchandisers or high-quality specialty stores. The



firm's sales force and advertising decisions depend on how much persuasion, training, motivation, and support the dealers need. Whether a company develops or acquires certain new products may depend on how well those products fit the capabilities of its channel members.

Companies often pay too little attention to their distribution channels, however, sometimes with damaging results. In contrast, many companies have used imaginative distribution systems to *gain* a competitive advantage. Federal Express's creative and imposing distribution system made it the leader in the small-package delivery industry. General Electric gained a strong advantage in selling its major appliances by supporting its dealers with a sophisticated computerized order processing and delivery system.

Distribution channel decisions often involve long-term commitments to other firms. For example, companies such as Ford, IBM, or McDonald's can easily change their advertising, pricing, or promotion programs. They can scrap old products and introduce new ones as market tastes demand. But when they set up distribution channels through contracts with franchisees, independent dealers, or large retailers, they cannot readily replace these channels with company-owned stores if conditions change. Therefore, management must design its channels carefully, with an eye on tomorrow's likely selling environment as well as today's.

Between producers and the final users stands a marketing channel, a host of marketing intermediaries performing a variety of functions with a variety of names. Some intermediaries such as wholesalers, retailers - buy; take title to and resale the merchandise. Others -such as brokers, manufacturer's representative, and sales agents - search for customers and may negotiate on the producer's behalf but do not take title to the goods.

The process of getting goods to customers has traditionally been called physical distribution. Physical distribution starts at the factory. Managers try to choose a set of warehouses (stocking points) and transportation carriers that will deliver produced goods to final destinations in the desired time and/or at the lowest total cost.

Meaning of Distribution Channel

A distribution channel consists of the set of people and firms involved in the transfer of title of a product as the product moves from producer to ultimate consumer or business user. A channel of distribution always includes both the producer and the final customer for the product in its



present form as well as any middlemen such as retailers and wholesalers.

The channel for a product extends only to the last person or organization that buys it without making any significant change in its form. When its form is altered and another product emerges, a new channel is started. i.e. when lumber is milled and then made into furniture, two separate channels are involved. The channel for the lumber might be lumber mill-broker-furniture manufacturer. The channel for the furnished furniture might be furniture manufacturer-retail furniture-store-consumer.

Beside producer, middlemen, and final customer, other institutions aid the distribution process. Among these intermediaries are banks, insurance companies, storage firms, and transportation companies. However, because they do not take title to the products and are not actively involved in purchase or sales activities, these intermediaries are not formally included in the distribution channel.

The Nature of Distribution Channels

Most producers use intermediaries to bring their products to market. They try to forge a distribution channel -a set of interdependent organizations involved in the process of making a product or service available for use or consumption by the consumer or business user.

Why Are Marketing Intermediaries Used?

Why do producers give some of the selling job to intermediaries? After all, doing so means giving up some control over how and to whom the products are sold. The use of intermediaries results from their greater efficiency in making goods available to target markets. Through their contacts, experience, specialization, and scale of operation, intermediaries usually offer the firm more than it can achieve on its own.

From the economic system's point of view, the role of marketing intermediaries is to transform the assortments of products made by producers into the assortments wanted by consumers. Producers make narrow assortments of products in large quantities, but consumers want broad assortments of products in small quantities. In the distribution channels, intermediaries buy large quantities from many producers and break them down into the smaller quantities and broader assortments wanted by consumers. Thus, intermediaries play an important role in matching supply and demand.



The concept of distribution channels is not limited to the distribution of tangible products. Producers of services and ideas also face the problem of making their output available to target populations. In the private sector, retail stores, hotels, banks, and other service providers take great care to make their services conveniently available to target customers. In the public sector, service organizations and agencies develop "educational distribution systems" and "health care delivery systems" for reaching sometimes widely dispersed populations. Hospitals must be located to serve various patient populations, and schools must be located close to the children who need to be taught. Communities must locate their fire stations to provide rapid response to fires and polling stations must be placed where people can vote conveniently:

Factors affecting Choice of Channel

If a firm is customer oriented, consumer-buying patterns determines its channels. The nature of the market should be the key factor in management's choice of channels. Other considerations are the product, the middlemen, and the company itself. The various factors affecting choice of channels in a summarized form are as follows:-

- a. Type of market:** - Because ultimate consumers behave differently than business users, they are reached through different distribution channels. Retailers, by definition, serve ultimate consumers, so they are not in channels for business goods.
- b. Geographic concentration of the market:** - When most of firm's prospective customers are concentrated in a few geographic areas, direct sale is practical. When customers are geographically dispersed, direct sale is likely to be impractical due to high travel costs.
- c. Unit value:** - The price attached to each unit of a product affects the amount of funds available for distribution. For example, a company can afford to use its own employee to sell a nuclear-reactor part that costs more than \$10,000. But it would not make sense for a company sales person to call on a household or a business firm to sell a \$2 ballpoint pen.
- d. Perishability:** - Some goods, including many agricultural products, physically deteriorate fairly quickly. Other goods, such as clothing, perish in a fashion sense. Perishable products require direct or very short channels.
- e. Services provided by middlemen:-** Each producer should select middlemen offering those marketing services that the producer either is unable to provide or cannot economically perform.



For instance, firms from other countries seeking to penetrate business markets abroad commonly utilize industrial distributors because they furnish needed capabilities such as market coverage, sales contacts, and storage of inventories.

f. Desired for channel control: - Some producers establish direct channels because they want to control their products' distribution, even though a direct channel may be more costly than an indirect channel. By controlling the channel, producers can achieve more aggressive promotion and can better control both the freshness of merchandise stocks and their product's retail prices.

g. Financial Resources: - A business with adequate finances can establish its own sales force, grant credit to its customers, and/or warehouse its own products. A financially weak firm uses middleman to provide these service etc.

Major Channels of Distribution

Diverse distribution channels exist today. The most common channels for consumer goods, business goods, and services are described as follows:

Consumer Goods

Five channels are widely used in marketing tangible products to ultimate consumers:

- a) Producer ----->Consumer
- b) Producer -----> retailer -----> consumer
- c) Producer -----> wholesaler -----> retailer-----> consumer
- d) Producer -----> agent -----> retailer -----> consumer
- e) Producer---->agent---->wholesaler---->retailer---->consumer

Business Goods

A variety of channels are available to reach organizations that incorporate the products into their manufacturing process or use them in their operations. In the distribution of business goods, the term industrial distributor and merchant wholesaler are synonymous. The four common channels for business goods are: -

- a) Producer-----> user
- b) Producer-----> industrial distributor-----> user
- c) Producer-----> agent-----> user
- d) Producer ----->agent-----> industrial distributor----->user



Services

The intangible nature of services creates special distribution requirements. There are only two common channels for services:

- a) Producer-----> consumer
- b) Producer-----> agent-----> consumer

Number of Channel levels

Distribution channels can be described by the number of channel levels involved. Each layer of marketing intermediaries that performs some work in bringing the product and its ownership closer to the final buyer is a channel level. Because the producer and the final consumer both perform some work, they are part of every channel. We use the number of intermediary levels to indicate the length of a channel.

Channel 1: - called a direct marketing channel, has no intermediary levels. It consists of a company selling directly to consumers. The remaining channels are indirect marketing channels.

Channel 2: - contains one intermediary level. In consumer markets, this level is typically a retailer. For example, the makers of televisions, cameras, tires, furniture, major appliances, and many other products sell their goods directly to large retailers, which then sell the goods to final consumers.

Channel 3: - contains two intermediary levels, a wholesaler and a retailer. This channel is often used by small manufacturers of food, drugs, hardware, and other products.

Channel 4: - contains three intermediary levels. In the meatpacking industry, Distribution channels with even more levels are sometimes found, but less often. From the producer's point of view, a greater number of levels mean less control and greater channel complexity.

The business marketer can use its own sales force to sell directly to business customers, sell to industrial distributors, who in turn sell to business customers, sell through manufacturer's representatives or its own sales branches to business customers, or use its representatives and branches to sell through industrial distributors. Thus, business markets commonly include multilevel distribution channels.



All of the institutions in the channel are connected by several types of flows: these include the physical flow of products, the flow of ownership, the flow of payment, the information flow and the promotion flow. These flows can make even channels with only one or a few levels very complex.

Lecture Synopsis

- Ownership of a product has to be transferred somehow from the individual or organization that makes it to the customer who needs and buys it.
- Goods also must be physically transported from where they are produced to where they are needed.
- Services ordinarily cannot be shipped but rather are produced and consumed in the same place.
- The process of getting goods to customers has traditionally been called physical distribution.
- Physical distribution starts at the factory.
- A distribution channel consists of the set of people and firms involved in the transfer of title to a product as the product moves from producer to ultimate consumer or business user.
- The various factors affecting choice of channels are: Type of market, Geographic concentration of the market, Unit value, Perishability, Services provided by middlemen, Desired for channel control, and Financial Resources.

Wrap-up Questions

- Define physical distribution and channels of distribution.
- Pick the factors affecting channel choice

Session 36

Reading Text

Distribution Channel Functions

The distribution channel moves goods and services from producers to consumers. It overcomes the major time, place, and possession gaps that separate goods and services from those who would use them. Members of the marketing channel perform many key functions. Some help to



complete transactions:

- **Information:** gathering and distributing marketing research and intelligence information about actors and forces in the marketing environment needed for planning and aiding exchange.
- **Promotion:** developing and spreading persuasive communications about an offer.
- **Contact:** finding and communicating with prospective buyers.
- **Matching:** shaping and fitting the offer to the buyer's needs, including activities such as manufacturing, grading, assembling, and packaging.
- **Negotiation:** reaching an agreement, on price and other terms of the offer so that ownership or possession can be transferred.

Others help to fulfill the completed transactions:

- **Physical distribution:** transporting and storing goods.
- **Financing:** acquiring and using funds to cover the costs of the channel work.
- **Risk taking:** assuming the risks of carrying out the channel work.

The question is not whether these functions need to be performed-they must be-but rather who will perform them. To the extent that the manufacturer performs these functions, its costs go up and its prices have to be higher. At the same time, when some of these functions are shifted to intermediaries, the producer's costs and prices may be lower, but the intermediaries must charge more to cover the costs of their work. In dividing the work of the channel, the various functions should be assigned to the channel members who can perform them most efficiently and effectively to provide satisfactory assortments of goods to target consumers.

Major Logistics/Physical Distribution Functions

Physical distribution refers to the actual physical flow of products. In contrast, physical distribution management is the development and operation of processes resulting in the effective and efficient physical flow of products. An effective physical distribution system is built around five interdependent subsystems: inventory location and warehousing, materials handling, inventory control, order processing, and transportation. Each must be carefully coordinated with the others.

Given a set of logistics objectives, the company is ready to design a logistics system that will minimize the cost of attaining these objectives. The major logistics functions include order



processing, warehousing, inventory management, and transportation.

- a. Inventory Location and Warehousing:** - The name of the game in physical distribution is inventory management. One important consideration is warehousing, which embraces a range of functions, such as assembling, dividing (bulk-breaking), and storing products and preparing them for reshipping. Management must also consider the size, location, and transportation of inventories. These four areas are interrelated. The number and locations of inventory sites, for example, influence inventory size, and transportation methods.
- b. Order Processing:** - Orders can be submitted in many ways-by mail or telephone, through salespeople, or via computer and EDI. In some cases, the suppliers might actually generate orders for their customers. Once received, orders must be processed quickly and accurately. Both the company and its customers benefit when order processing is carried out efficiently. Most companies now use computerized order processing systems that speed up the order-shipping-billing cycle.
- c. Warehousing:** - Every company must store its goods while they wait to be sold. A storage function is needed because production and consumption cycles rarely match. A company must decide on how many and what types of warehouses it needs and where they will be located. The company might use either storage warehouses or distribution centers. Storage warehouses store goods for moderate to long periods. Distribution centers are designed to move goods rather than just store them. They are large and highly automated warehouses designed to receive goods from various plants and suppliers, take orders, fill them efficiently, and deliver goods to customers as quickly as possible.
- d. Inventory:** - Inventory levels also affect customer satisfaction. The major problem is to maintain the delicate balance between carrying too much inventory and carrying too little. Carrying too much inventory results in higher-than-necessary inventory-carrying costs and stock obsolescence. Carrying too little may result in stock outs, costly emergency shipments or production, and customer dissatisfaction. In making inventory decisions, management must balance the costs of carrying larger inventories against resulting sales and profits.

During the past decade, many companies have greatly reduced their inventories and related costs through just-in-time logistics systems. Through such systems, producers and retailers carry only small inventories of parts or merchandise, often only enough for a few days of operations. New stock arrives exactly when needed, rather than being stored in inventory until being used. Just-in-



time systems require accurate forecasting along with fast, frequent, and flexible delivery so that new supplies will be available when needed. However, these systems result in substantial savings in inventory-carrying and handling costs.

e. Materials handling: - Selecting the proper equipment to physically handle products, including the warehouse building itself, is the materials handling subsystems of physical distribution management. Equipment that is well matched to the task can minimize losses from breakage, spoilage, and theft. Efficient equipment can reduce handling costs as well as time required for handling. Containerization is a cargo-handling system that has become standard practice in physical distribution. Containerization minimizes physical handling thereby reducing damage, lessening the risk of theft, and allowing for more efficient transportation.

f. Transportation: - Marketers need to take an interest in their company's transportation decisions. The choice of transportation carriers affects the pricing of products, delivery performance, and condition of the goods when they arrive-all of which will affect customer satisfaction. In shipping goods to its warehouses, dealers, and customers, the company can choose among five transportation modes: rail, truck, water, pipeline, and air.

Railroads are one of the most cost-effective modes for shipping large amounts of bulk products-coal, sand, minerals, farm and forest products over long distances. In recent years, railroads have increased their customer services by designing new equipment to handle special categories of goods, providing flat- cars for carrying truck trailers by rail (piggyback), and providing in transit services such as the diversion of shipped goods to other destinations en route and the processing of goods en route. Thus, after decades of losing out to truckers, railroads appear ready for a comeback.

- Trucks account for the largest portion of transportation within cities as opposed to between cities.
- Water carriers transport large amounts of goods by ships and barges on U.S. coastal and inland waterways. Although the cost of water transportation is very low for shipping bulky, low-value, nonperishable products such as sand, coal, grain, oil, and metallic ores, water transportation is the slowest mode and may be affected by the weather.
- Pipelines are a specialized means of shipping petroleum, natural gas, and chemicals from



sources to markets. Most pipelines are used by their owners to ship their own products.

Although air carriers transport less than 1 percent of the nation's goods, they are becoming more important as a transportation mode. Air freight rates are much higher than rail or truck rates, but air freight is ideal when speed is needed or distant markets have to be reached. Among the most frequently air-freighted products are perishables (fresh fish, cut flowers) and high-value, low-bulk items (technical instruments, jewelry). Companies find that air freight also reduces inventory levels, packaging costs, and the number of warehouses needed.

Shippers increasingly are using intermodal transportation-combining two or more modes of transportation. Piggyback describes the use of rail and trucks; fishy-back, water and trucks; train ship, water and rail; and airbrick, air and trucks. Combining modes provides advantages that no single mode can deliver. Each combination offers advantages to the shipper. For example, not only is piggyback cheaper than trucking alone but it also provides flexibility and convenience.

In choosing a transportation mode for a product, shippers must balance many considerations: speed, dependability, availability, cost, and others. Thus, if a shipper needs speed, air and truck are the prime choices. If the goal is low cost, then water or pipeline might be best.

Factors Determining Mode of Transportation

The appropriate transportation mode depends on: market location, speed, cost and product nature. A firm must consider market location. Contiguous markets can be served by rail or truck. To move goods between continents, ocean or air transportation is needed. Speed is another consideration. When speed is essential, air transport is without question the preferred mode of distribution. Air transport is also necessary when the need is urgent or when delivery must be quickly completed as promised. For perishable items, a direct flight is preferable, because a shorter period in transport reduces both spoilage and theft.

Finally cost must be considered as well. Cost is directly related to speed, a quick delivery costs more. But there is a trade-off between the two in terms of other kinds of savings. Packing costs for the air freight are less than for ocean freight because for air freight the merchandise does not have to be in transit for a long period of time and the hazards are relatively low.

Channel Design Decisions

We now look at several channel decisions manufacturers face. In designing marketing channels,



manufacturers struggle between what is ideal and what is practical. A new firm with limited capital usually starts by selling in a limited market area. Deciding on the best channels might not be a problem: The problem might simply to convince one or a few good intermediaries to handle the line.

If successful, the new firm might branch out to new markets through the existing intermediaries. In smaller markets, the firm might sell directly to retailers; in larger markets, it might sell through distributors. In one part of the country, it might grant exclusive franchises; in another, it might sell through all available outlets. In this way, channel systems often evolve to meet market opportunities and conditions. However, for maximum effectiveness, channel analysis and decision making should be more purposeful. Designing a channel system calls for analyzing consumer service needs, setting channel objectives and constraints, identifying major channel alternatives, and evaluating them.

a. Analyzing Consumer Service Needs

As noted previously, marketing channels can be thought of as customer value delivery systems in which each channel member adds value for the customer. Thus, designing the distribution channel starts with finding out what targeted consumers want from the channel. Do consumers want to buy from nearby locations or are they willing to travel to more distant centralized locations? Would they rather buy in person, over the phone, through the mail, or via the Internet? Do they value breadth of assortment or do they prefer specialization? Do consumers want many add-on services (delivery, credit, repairs, installation) or will they obtain these elsewhere? The faster the delivery, the greater the assortment provided, and the more add-on services supplied, the greater the channel's service level.

But providing the fastest delivery, greatest assortment, and most services may not be possible or practical. The company and its channel members may not have the resources or skills needed to provide all the desired services. Also, providing higher levels of service results in higher costs for the channel and higher prices for consumers. The company must balance consumer service needs not only against the feasibility and costs of meeting these needs but also against customer price preferences. The success of off-price and discount retailing shows that consumers are often willing to accept lower service levels if this means lower prices.

Setting Channel Objectives and Constraints



Channel objectives should be stated in terms of the desired service level of target consumers. Usually, a company can identify several segments wanting different levels of channel service. The company should decide which segments to serve and the best channels to use in each case. In each segment, the company wants to minimize the total channel cost of meeting customer service requirements.

The company's channel objectives are also influenced by the nature of the company, its products, marketing intermediaries, competitors, and the environment. For example, the company's size and financial, situation determines which marketing functions it can handle itself and which it must give to intermediaries. Companies selling perishable products may require more direct marketing to avoid delays and too much handling. In some cases, a company may want to compete in or near the same outlets that carry competitors' products. In other cases, producers may avoid the channels used by competitors. Finally, environmental factors such as economic conditions and legal constraints may affect channel objectives and design.

b. Identifying Major Alternatives

When the company has defined its channel objectives, it should next identify its major channel alternatives in terms of types of intermediaries, the number of intermediaries, and the responsibilities of each channel member.

i. Types of Intermediaries

A firm should identify the types of channel members available to carry out its channel work. For example, suppose a manufacturer of test equipment has developed an audio device that detects poor mechanical connections in machines with moving parts. Company executives think this product would have a market in all industries in which electric, combustion, or steam engines are made or used. The company's current sales force is small, and the problem is how best to reach these different industries. The following channel alternatives might emerge from management discussion:

- **Company sales force:** Expand the company's direct sales force. Assign outside salespeople to territories and have them contact all prospects in the area or develop separate company sales forces for different industries. Or, add an inside telesales operation in which telephone salespeople handle small or midsize companies.
- **Manufacturer's agency:** Hire manufacturer's agents-independent firms whose sales



forces handle related products from many companies-in different regions or industries to sell the new test equipment.

- **Industrial distributors:** Find distributors in the different regions or industries who will buy and carry the new line. Give them exclusive distribution, good margins, product training, and promotional support.

ii. Number of Marketing Intermediaries

Companies must also determine the number of channel members to use at each level. Three strategies are available: intensive distribution, exclusive distribution, and, selective distribution.

Producers of convenience products and common raw materials typically seek intensive distribution- a strategy in which they stock their products in as many outlets as possible. These goods must be available where and when consumers want them. For example, toothpaste, candy, and other similar items are sold in millions of outlets to provide maximum brand exposure and consumer convenience.

By contrast, some producers purposely limit the number of intermediaries handling their products. The extreme form of this practice is exclusive distribution, in which the producer gives only a limited number of dealers the exclusive right to distribute its products in their territories. Exclusive distribution is often found in the distribution of new automobiles and prestige women's clothing.

Between intensive and exclusive distribution lies selective distribution - the use of more than one, but fewer than all, of the intermediaries who are willing to carry a company's products. Most television, furniture, and small-appliance brands are distributed in this manner.

By using selective distribution, companies do not have to spread their efforts over many outlets, including many marginal ones. They can develop good working relationships with selected channel members and expect a better-than-average selling effort. Selective distribution gives producers good market coverage with more control and less cost than does intensive distribution.

iii. The responsibilities of each channel member

The producer and intermediaries need to agree on the terms and responsibilities of each channel member. They should agree on price policies, conditions of sale, territorial rights, and specific services to be performed by each party. The producer should establish a list price and a fair set of



discounts for intermediaries. It must define each channel member's territory; and it should be careful about where it places new resellers. Mutual services and duties need to be spelled out carefully, especially in franchise and exclusive distribution channels.

c. Evaluating the Major Alternatives

Suppose a company has identified several channel alternatives and wants to select the one that will best satisfy its long-run objectives. Each alternative should be evaluated against economic, control, and adaptive criteria.

- **Economic criteria**, a company compares the likely profitability of different channel alternatives. It estimates the sales that each channel would produce and the costs of selling different volumes through each channel.
- **Control issues**. Using intermediaries usually means giving them some control over the marketing of the product, and some intermediaries take more control than others. Other things being equal, the company prefers to keep as much control as possible.
- **Adaptive criteria**. Channels often involve long-term commitments to other firms, making it hard to adapt the channel to the changing marketing environment. The company wants to keep the channel as flexible as possible. Thus, to be considered, a channel involving long-term commitment should be greatly superior on economic and control grounds.

Designing International Distribution Channels

International marketers face many additional complexities in designing their channels. Each country has its own unique distribution system that has evolved over time and changes very slowly. These channel systems can vary widely from country to country. Thus, global marketers must usually adapt their channel strategies to the existing structures within each country. In some markets, the distribution system is complex and hard to penetrate, consisting of many layers and large numbers of intermediaries.

Many Western firms have had great difficulty breaking into the closely knit, tradition-bound Japanese distribution network. At the other extreme, distribution systems in developing countries may be scattered and inefficient, or altogether lacking. For example, China and India would appear to be huge markets, each with populations in the hundreds of millions. In reality, however, these markets are much smaller than the population numbers suggest. Because of



inadequate distribution systems in both countries, most companies can profitably access only a small portion of the population located in each country's most affluent cities.

Thus, international marketers face a wide range of channel alternatives. Designing efficient and effective channel systems between and within various country markets poses a difficult challenge.

Lecture Synopsis

Lecture Synopsis

- Diverse distribution channels exist today.
- Distribution channels can be described by the number of channel levels involved.
- Each layer of marketing intermediaries that performs some work in bringing the product and its ownership closer to the final buyer is a channel level.
- Members of the marketing channel perform many key functions: Information , Promotion, Contact , Matching, and Negotiation
- Physical distribution refers to the actual physical flow of products.
- The major logistics functions include Inventory Location, Warehousing, order processing, warehousing, inventory management, and transportation. Materials Handling
- A new firm with limited capital usually starts by selling in a limited market area.
- Deciding on the best channels might not be a problem: The problem might simply to convince one or a few good intermediaries to handle the line.
- Designing a channel system calls for: analyzing consumer service needs, setting channel objectives and constraints, identifying major channel alternatives, and Evaluating major alternatives.
- International marketers face many additional complexities in designing their channels.

Wrap-up Questions

- List the channels of distribution functions
- Factors influencing the channel of distribution
- Discuss the methods of designing international distribution



Chapter Eleven

Promotion Mix

Module 11

Introduction

Modern marketing calls for more than just developing a good product, pricing it attractively, and making it available to target customers. Companies must also *communicate* with current and prospective customers, and what they communicate should not be left to chance. For most



companies, the question is not *whether* to communicate, but *how much to spend* and *in what ways*. All of their communications efforts must be blended into a consistent and coordinated communications program. This module will discuss about promotional mix elements: Advertising, sales promotion, personal selling, direct marketing, and publicity

Learning Objectives

After you study this unit, you will be able to:

- Explain the components of promotion and how they differ
- Understand the roles of promotion in organization and in the economy.
- Explain how the process of communicating relates to effective promotion.
- Appreciate the concept and design of the promotion mix.

Discussion Questions

- What is promotion as a marketing mix element?
- List and differentiate the different promotional mix elements
- Discuss how you understand the relative importance of the promotional mix elements.
- Discuss if any difference between sales promotion and advertisement.

Session 37

Reading Text

The Promotional Mix

A company's total marketing communication mix-also called its promotion mix - consists of the specific blend of advertising, personal selling, sales promotion, public relations, and direct-marketing tools that the company uses to pursue its advertising and marketing objectives.

Definitions of the five major promotion tools follow:

- **Advertising:** Any paid form of non-personal presentation and promotion of ideas, goods or services by an identified sponsor. Advertising includes print, broadcast, outdoor, and other forms.
- **Sales Promotion:** - Sales promotion consists of a diverse collection of incentives tools mostly short term designed to stimulate quicker and/or greater purchase of particular



products by consumer or the trade. Sales promotion includes point-of-purchase displays, premiums, discounts, coupons, specialty advertising, and demonstrations.

- **Personal selling:** personal presentation by the firm's sales force for the purpose of making sales and building customer relationship. Personal selling includes sales presentations, trade shows, and incentive programs.
- **Public relations:** Building good relations with the company's various public by obtaining favorable publicity, building up a good corporate image, and handling or heading off unfavorable rumors, stories, and events.
- **Direct marketing:** Direct connections with carefully targeted individual consumers to both obtain an immediate response and cultivate lasting customer relationships - the use of catalogs, kiosks, telemarketing, telephone, mail, fax, e-mail, the Internet, and other tools to communicate directly with specific consumers.

Thanks to technological breakthroughs, people can now communicate through traditional media (news papers, radio, telephone, television), as well as through newer media forms (fax machines, cellular phones, pagers, and computers). The new technologies have encouraged more companies to move from mass communication to more targeted communication and one-to-one dialogue.

At the same time communication goes beyond these specific promotion tools. The product design, its price, the shape and color of its package, and the stores that sell it- all communicate something to buyers. Thus although the promotion mix is the company's primary communication activity, the entire marketing mix- promotion and product, price, and place- must be coordinated for the greatest communication impact.

The Promotional Mix Strategy

Producers aim their promotional mix at both middlemen and end users. A promotional program aimed primarily at middlemen is called a push strategy, and a promotion program directed primarily at end users is called a pull strategy.

- **Push Strategy:** - Using a push strategy means a channel member directs its promotion primarily at the middlemen that are the next link forward in the distribution channel. The product is "pushed" through the channel.



- **Pull Strategy:** - With a pull strategy, promotion is directed at end users usually ultimate consumers. The intention is to motivate them to ask retailers for the product. The retailers, in return will request the product from the wholesalers, and the wholesalers will order it from the producer. In effect, promotion to consumers is designed to "pull" the product through the channel. This strategy relies on heavy advertising and various forms of sales promotion such as premiums, samples, or in-store demonstration.

The Promotional Budget

Establishing promotional budget is extremely challenging because management lacks reliable standards for determining how much to spend all together on advertising or personal selling, and how much of the total budget to allocate to each promotional-mix elements. Rather than one generally accepted approach to setting promotional budgets, there are four common promotional budgeting methods: Percentage of sales, all available funds, following the competition and budgeting by task or objective

a. Percentage of Sales

The promotional budget may be related in some way to company income, as a percentage of either past or anticipated sales. A common approach for determining the sales base is to complete an average between the previous year's actual sales and expected sales for the coming year. Some businesses prefer to budget a fixed amount of money per unit of past or expected future sales. The percentage - of - sales method is simple to calculate, it is probably the most widely used budgeting method. Moreover, it sets the cost of promotion in relation to sales income, making it a variable rather than a fixed expense.

b. All Available Funds

A new company or a firm introducing a new product frequently plows all available funds into its promotional program. The objective is to build sales and market share as rapidly as possible during those early, critical years. After a time, management generally finds it necessary to invest into other things, such as new equipment or expanded production capacity, so the method of setting the promotional budget is changed.

c. Following Competition



A weak method of determining the promotional budget, but one that is used occasionally is to match the promotional expenditures of competitors or to spend in proportion to market share. Sometimes only one competitor is followed. In other cases, if management has access to industry average expenditures on promotion through a trade association, these become company benchmarks.

d. Budgeting by Task or Objectives

The best approach for establishing the promotional budget is to determine the task or objectives the promotional program must accomplish and then decide what they will cost. The task method forces management to realistically define the goal of its promotional program. In this method, the promotional budget is build up by adding up the costs of the individual promotional tasks needed to reach the goal of entering a new territory.

Lecture Synopsis

- A company's total marketing communications mix - also called its promotion mix (promotion mix) - consists of the specific blend of advertising, personal selling, sales promotion, public relations, and direct-marketing
- Producers aim their promotional mix at both middlemen and end users.
- A promotional program aimed primarily at middlemen is called a push strategy, and a promotion program directed primarily at end users is called a pull strategy.
- There are four common promotional budgeting methods: Percentage of sales, All available funds, Following the competition and Budgeting by task or objective

Wrap-up Questions

- Define promotion and list the promotional mix elements
- Discuss the promotional mix strategies

Session 38

Reading Text

The Promotional Mix Elements

a. Advertising

Advertising, sales promotion, and public relations are the mass communication tools available to customers. As its name suggests, mass communication uses the same message for everyone in an



audience. The mass communicator trades off the advantage of personal selling, the opportunity to tailor a message to each prospective customer, for the advantage of reaching many people at a lower cost per person.

Advertising is one of the most common tools companies use to direct persuasive communication to target buyers and publics. Advertising can be defined as follows:-

"Advertising is any paid form of non personal presentation and promotion of ideas, goods, or services by an identified sponsor."

Advertisers include business firms but also museums, charitable organizations, and government agencies that advertise to various target publics. Ads are a cost effective way to disseminate messages, whether to build brand preference or to educate a nation's people to avoid hard drugs.

Major Decisions in Developing an Advertising Program

In developing an advertising program, marketing managers must always start by identifying the target market and buyer motives. Then they can proceed to make the five major decisions in developing an advertising program, known as the five Ms:

- Mission: What are the advertising objectives?
- Money: How much can be spent?
- Message: What message should be sent?
- Media: What media should be used?
- Measurement: How should the results be evaluated?

a. Advertising Objectives

The purpose of advertising is to sell something a good, service, idea, person, or place either now or later. This goal is reached by setting specific objectives that can be expressed in individual advertisement that are incorporated into an advertising campaign. Thus, the immediate objective of an advertisement may be to move target customers to the next stage in the hierarchy say, from awareness to interest.

These objectives must flow from prior decisions on the target market, market positioning, and marketing mix. The marketing positioning and marketing mix strategies define the job that advertising must do in the total marketing program. Thus in general the main objective of



advertising is to inform, persuade or remind the potential as well as the ultimate consumer about the product.

b. Advertising Budget

After determining advertising objectives, the company can proceed to establish its advertising budget for each product. The role of advertising is to increase demand for the product. The company wants to spend the amount required to achieve the sales goal. But how does a company know if it is spending the right amount? If the company spends too little, the effect will be insignificant. If the company spends too much on advertising, then some of the money could have been put to better use.

c. Advertising Message

The products "benefit" message should be decided as part of developing the product concept. Creative people use several methods to generate possible advertising appeals. Some creative people use a deductive framework for generating advertising messages. A good advertising normally focuses on one core selling proposition. That message should be rated on desirability, exclusiveness, and believability.

Advertising Media Selection

The appeal and the target audience determine the message and the choice of media. Advertisers need to make decisions at each of three successive levels to determine which specific advertising media to use:-

1. Which type of media will be used?
2. Which category of the selected medium will be used?
3. Which specific media vehicles will be used?

Factors Determining Media Selection

Media selection involves finding the most cost effective media to deliver the desired number of exposure to the target audience. Here are some general factors that will influence media choice:-

- 1. Objective of the advertisement:** - The purpose of a particular advertisement and the goals of the entire campaign influence which media to use. For example, if an advertiser wants to induce quick action, newspaper or radio may be the medium to use.
- 2. Audience Coverage:** - The audience reached by the medium should match the geographic area in which the product is distributed. Furthermore, the selected medium should reach the



desired types of prospects with a minimum of wasted coverage. Wasted coverage occurs when an advertisement reaches people who are not prospects for a product.

- 3. Requirements of the message:** - The medium should fit the message. For example, food products, floor coverings, and apparel are best presented visually. If the advertiser can use a very brief message, as is common with reminder advertising, billboards may be a suitable medium.
- 4. Media Cost:** - The cost of each medium should be considered in relation to the amount of funds available to pay for it and its reach or circulation.

Types of Advertising Media

Media is a vehicle through which an advertiser communicates their message to likely customers or prospects with a view to influencing them in terms of the advertising objectives. The advertising media can be classified on the following basis.

1. Broadcast media (Indoor Advertising)

Indoor advertising includes, television, radio, In slides and cinema as a media to disseminate advertising messages. Television combines motion, sound, and special visual effects. Products can be demonstrated as well as described on TV. It offers wide geographic coverage and flexibility in when the message can be presented. However, television is a relatively expensive medium.

Radio is the most effective media that has enjoyed a rebirth as an advertising and cultural medium. When interests on television increased, radio audiences (especially for national network radio) declined so dramatically that some people predicted radio's demise. Radio makes only an audio impression, relying entirely on the listener's ability to retain information heard and not seen. Also audience attention is often at a low level, because radio is frequently used as background for working, studying, or some other activity. TV slides and cinemas reach a relatively small audience but can be effective particularly in advertising to local shops.

2. Press Advertising (Indoor)

Press advertising includes advertising in newspaper, magazines, trade journals, & business directory. The newspaper is the most popular form of advertising. It constitutes a valuable medium for disseminating news and molding public opinions and therefore plays an important role in social and political life.



As an advertising medium, newspaper is flexible and timely. Advertising can be inserted or cancelled on very short notice, and can vary in size from small classifieds to multiple pages. Pages can be added or dropped, so newspapers are not limited. Newspapers can be used to reach an entire city, or, where regional editions are offered, selected areas.

Cost per person reached is relatively low. On the other hand, the life of newspapers is very short they are discarded soon after being read. They are viewed as providing fairly complete coverage of a local market. Also, because newspapers don't offer much format variety, it is difficult to design advertisement that stands out.

Magazines are the medium to use when high quality printing and color are desired in advertising. Magazines can reach a national market at a relatively low cost per reader. Through special interest magazines or regional editions of general interest magazines, an advertiser can reach a selected audience with a minimum of wasted circulation.

Trade journals are the medium used by an advertiser to reach among a particular class of persons such as doctors and engineers. Thus, where the objective of advertising is to reach such a specific class of persons, trade journals become very suitable as a form of advertising.

Business directory Yellow pages as we know it today a printed directory of local business names and phone numbers organized by type of product has been around since the late 1800's. Yellow pages advertising revenue exceeded both radio and magazines.

3. Direct Mail

Direct mail, also known as direct marketing, is the most personal and selective of all media. Printing and postage fees make the cost of direct mail per person reached quite high compared with other media. However, because direct mail goes only to the people the advertisers wishes to contact, there is almost no wasted coverage. Reaching the prospect does not, however, ensure that the message is received. Direct mail is pure advertising. Therefore, a direct advertisement must attract its own readers.

4. Outdoor Advertising

It will be realized that press advertising is generally read when the subscriber or reader are indoors. As against this, there are other media, which are noticed by persons when he is



outdoors. This media includes bill boards, posters, vehicular advertisement sky advertising, electrical signs. But because it is seen by people "on the go" outdoor advertising is appropriate only for brief messages.

Historically, the cigarette and tobacco industries have been the heaviest outdoor advertisers, in part because they are banned from the broadcast media. However, the effectiveness of billboards for reminder advertising has also made them attractive to other industries. Recent advances in computerized billboard paintings have greatly speeded up the production of boards and standardized their quality. Billboards provide flexibility in geographic coverage and can provide intense coverage within an area. However, unless the advertised product is a widely used good or service, considerable wasted circulation will occur, since many of the passer by will not be prospects.

In summary, there are many forms of advertising media from which the marketing manager has to make an appropriate decision. The main yardstick for selection of a media should lie on reach of the maximum number of potential buyers at a minimum cost. Therefore the advertiser should determine the prospective customer or the market segments at which the advertising is to be directed. The messages or copies should also be appropriate for the type of media and the nature of the product involved.

Lecture Synopsis

- Advertising, sales promotion, and public relations are the mass communication tools available to customers.
- Advertisers include business firms but also museums, charitable organizations, and government agencies that advertise to various target publics.
- The five major decisions in developing an advertising program known as the five Ms include: Mission, Money, Message, Media and Measurement.
- The purpose of advertising is to sell something either now or later.
- The role of advertising is to increase demand for the product.
- Advertising requires proper budgeting: an amount of money that is not too little or too much.
- The advertising message should focus on desirability, exclusiveness, and believability.
- The appeal and the target audience determine the message and the choice of media.



- Media selection involves finding the most cost effective media to deliver the desired number of exposure to the target audience.
- Some of the general factors that will influence media choice are:- Objective of the advertisement, Audience Coverage, Requirements of the message and Media Cost
- Media is a vehicle through which an advertiser communicates their message to likely customers or prospects.
- The advertising media can be classified on the following basis.
 - Indoor Advertising Broadcast media and Press Advertising (Indoor)
 - Direct Mail
 - Outdoor Advertising

Wrap-up Objectives

- Discuss the types of advertising media
- List the factors affecting the media selection
- Discuss the major decisions in making advertising program

Session 39

Sales Promotion

Meaning of Sales Promotion

Sales promotion is a key ingredient in marketing campaign. It can be defined as follows:

"Sales promotion consists of a diverse collection of incentives tools mostly short term designed to stimulate quicker and/or greater purchase of particular products by consumer or the trade."

In other words sales promotion is a demand stimulating devices designed to supplement advertising and facilitate personal selling.

Where advertising offers a reason to buy, sales promotion offers an incentive to buy. Sales promotion includes tools for consumer promotion (samples, coupons, cash refund offers, prices off, premium, prizes, patronage rewards, free trails, warranties, tie in promotions, cross promotions, point of purchase displays, and demonstrations). Trade promotion (prices off, advertising, display allowances, and free goods). And business and sales force promotion (trade shows and conventions, contents for sales representatives, and specialty advertising).



Sales promotion is conducted by producers and middlemen. The target for producers' sales promotions may be middlemen, end users households or business users or the producer's own sales force, middlemen direct sales promotion at their sales people or prospects further down the channel of distribution.

Management of Sales Promotion

Sales promotion should be included in a company's promotion plans, along with advertising and personal selling. This means setting sales promotion objectives and strategies, determining sales promotion objectives and strategies, determining a sales promotion budget, selecting appropriate sales promotion techniques, and evaluating the performance of sales promotion activities.

One problem management faces is that many sales promotion techniques are short run, tactical actions, coupons, premiums, and contests, for example, are designed to produce immediate (but short-lined) responses. As a result, they tend to be used stopgap measures to reverse in expected sales decline rather than as integrated parts of a marketing program.

Determining Objectives and Strategies of Sales Promotion

The objectives of a sales promotion may be the following:

- Stimulating business user or household demand for a product
- Improving the marketing performance of middlemen and sales people
- Supplementing advertising and facilitating personal selling.

One sales promotion technique may accomplish one or two but probably not all of these objectives. More specific objectives of sales promotion are much like those for advertising and personal selling. Examples are:-

- To gain a trial for a new or improved product
- To disrupt existing buying habits
- To attract new customers
- To combat a competition's promotional activity
- To increase impulse buying
- To get greater retailer cooperation



The choice of sales promotion techniques should be dictated by the objectives of the total marketing program. Consider the following situations and the different strategies available:

A firm's objective is to increase sales by entering new geographic markets. A pull strategy is one way to encourage product trial and lure consumers away from familiar brands. Possible sales promotion tactics are coupons, cash rebates, free samples, and premiums.

A firm's objective is to protect market share in the face of intense competition. This goal suggests a push strategy to improve retailer performance and goodwill's Training retailers' sales people, supplying effective point of purchase displays, and granting advertising allowances would be appropriate sales promotion options.

Determining Budgets

The sales promotion budget should be established as a specific part of the budget for the total promotional mix. Including sales promotion in an advertising or public relation budget is not likely to foster the development of a separate sales promotion strategy. And as a result, sales promotion may be overlooked or poorly integrated with the other components of promotion. Setting a separate budget for sales promotion forces a company to recognize and manage it.

Selecting the Appropriate Techniques

Common sales promotion techniques used by a company based on the target audience are as follows.

- 1. Business users or households:** - For business users, the most common sales promotion is a trade discount in the form of a reduced price or free merchandise. Some other common promotion techniques used are: Coupons, Cash rebates, Premium (gifts), Free Samples, Contests, Point of purchase displays, Product demonstrations, Trade show & exhibitions, Advertising specialties
- 2. Middlemen:** - Trade associations in industries as diverse as shoes, travel, and furniture sponsor trade shows that are open only to wholesalers and retailers. Many producers also spend considerable time and money to train the sales force of their wholesalers and retailers. Some other common promotion techniques used are:-



Trade shows and exhibition; Point of purchase displays; Free goods, Advertising allowances; Contests for sales people; Training middlemen's sales forces, Product demonstration; Advertising specialties

3. Producers' Sales Force: - There is overlap between the devices directed at middlemen and those designed for the producer's own sales force. Sales contests are probably the most significant of these. The most common incentive is cash, used in over half of all contests. Sales promotion tools for sales people also includes packet of promotional materials, visual sales aids (flipcharts, slides), and brochures to reinforce sales presentation.

A key step in sales promotion management is deciding which devices will help the organization reach its promotional goals. Factors that influence the choice of promotional devices include:

- a. Nature of the target audience:** - Is the target group loyal to a competitive brand? If so, a high value coupon may be necessary to disrupt customers' purchase patterns. Is the product bought on impulse? If so, an eye-catching point of purchase display may be enough to generate sales.
- b. The organization's promotional objectives:** - Does a pull or push strategy best complement the rest of the promotion program
- c. Nature of the product:** - Does the product lend itself to sampling, demonstration, or multiple item purchases?
- d. Cost of the device:** - Sampling to a large market may be prohibitively expensive.
- e. Current economic conditions:** - Coupons, premiums, and rebates are good options during period of recession or inflation, when consumers are particularly price conscious.

Evaluating Sales Promotion

Evaluating the effectiveness of sales promotion is much easier and the results more accurate than evaluating the effectiveness of an advertising. For example, to a premium offers or a coupon with a specified closing date can be counted and compared to a similar period where there were no premiums or coupons offered. It is easier to measure sales promotion because:-

- Most sales promotion have definite starting & ending points
- Most sales promotions are designed to impact sales directly

However, there are some pitfalls in measuring sales promotion effects.



- **First**, not all sales promotions meet the conditions just mentioned. For instance, training given to a distributor's sales force may be valuable, but may not produce immediate results.
- **Second**, current sales promotion results may be inflated by sales "Stolen" from the future. That is, a sales promotion may get buyers to act now when they would have brought the product in the future anyway. An indication of this cannibalizing effect is a lower level of sales after the promotion ends compared to before the sales promotion began.
- **Third**, any attempt at measurement must take into consideration external conditions such as the behavior of competitions and the state of the economy. A firm's market share may not increase following an expensive sales promotion. For example, a promotion may have offset the potentially damaging impact of a competitions promotional activity.

Lecture Synopsis

- Sales promotion is a demand stimulating devices designed to supplement advertising and facilitate personal selling.
- Where advertising offers a reason to buy, sales promotion offers an incentive to buy.
- Sales promotion is conducted by producers and middlemen.
- The objectives of a sales promotion may be the following:
 - Stimulating business user or household demand for a product
 - Improving the marketing performance of middlemen and sales people
 - Supplementing advertising and facilitating personal selling.
- Setting a separate budget for sales promotion forces a company to recognize and manage it.
- Common sales promotion techniques used by a company based on the target audience are as follows: Business users or households, Middlemen, and Producers' Sales Force
- There are different factors that influence the choice of promotional devices includes: Nature of the target audience: The organization's promotional objectives, Nature of the product, Cost of the device, Current economic conditions.

Wrap – up Questions

- Discuss the sales promotion tools
- Pick the objectives of sales promotion



Session 40

Reading Text

Public Relations/Publicity

Meaning of Public Relation/Publicity

Like advertising and sales promotion, public relation is an important marketing tool. Not only must the company relate constructively to its customers, suppliers and dealers, but it must also relate to a large set of interested publics. Public relation may be defined as follows:

"A public is any group that has an actual or potential interest in or impact on a company's ability to achieve its objectives. Public relations (PR) involve a variety of programs designed to promote and/or protect a company's image or its individual products".

Public relations is a management tool designed to favorably influence attitudes toward an organization, its products, and its policies. It is an often-overlooked form of promotion. In most organizations this promotional tool is typically a stepchild, relegated far behind personal selling, advertising, and sales promotion. There are several reasons for management's lack of attention to public relations:

- a. Organizational Structure:** - In most companies, public relations are not the responsibility of the marketing department. If there is an organized effort, it is usually handled by a small public relation department that reports directly to top management.
- b. Inadequate definitions:** - Both business and the public use the term public relations, loosely. There are no generally accepted definitions of the term. As a result, what actually constitutes an organized public relations effort often is not clearly defined.
- c. Unrecognized benefits:** - Only recently have many organization come to appreciate the value of good public relations. As the cost of promotion has gone up, firms are realizing that positive exposure through the media or as a result of community involvement producer can have a high return on investment of time and effort.

Activities of Public Relation/ Publicity

Publicity is any communication about an organization, its products, or policies through the media that is not paid for by the organization. Publicity usually takes the form of a news story appearing in a mass medium or an endorsement provided by an individual, either informally or in a speech or interview. This is good publicity.



There are three means for gaining good publicity:

- Prepare a story (called a news release) and circulate it to the media. The intention is for the selected newspapers, television stations, or other media to report the information as news.
- Personal communication with a group. A press conference will draw media representatives if they feel the subject or speaker has news value. Company tours and speeches to civic or professional groups are other forms of individual to group communications.
- One on one personal communication often called lobbying. Companies lobby legislators or other powerful people in an attempt to influence their opinions, and subsequently their decisions.

Publicity can help to accomplish any communication objective. It can be used to announce new products, publicize new policies, or report financial performance, if the message, person, or group, or event is viewed by the media as news worthy.

Public relation departments perform the following five activities, not all of which support marketing objectives.

1. **Press relation:** - Presenting news and information about organization in the most positive light
2. **Product publicity:** - Sponsoring various efforts to publicize specific products
3. **Corporate Communication:** - Promoting understanding of the organization with internal and external communications
4. **Lobbying:** - Dealing with legislators and government officials to promote or defeat legislation and regulation
5. **Counseling:** - Advising management about public issue and company positions and image. This includes advising in the event of a product mishap when the public confidence in a product is shaken.

To summarize, publicity, a part of public relations, is any communication about an organization, its products, or policies through the media that is not paid for by the organization. Typically these two activities are handled in a department separate from the marketing department in a firm. Nevertheless, the management process of planning, implementing, and evaluating should



be applied to their performance in the same way it is applied to advertising, sales promotion, and personal selling.

Lecture Synopsis

- Public relations is a management tool designed to favorably influence attitudes toward an organization, its products, and its policies.
- It is an often-overlooked form of promotion.
- There are several reasons for management's lack of attention to public relations:
 - a. Organizational Structure
 - b. Inadequate definitions
 - c. Unrecognized benefits
- Public relation departments perform the following five activities, not all of which support marketing objectives. These are: Press relation, Product publicity, Corporate Communication, Lobbying, Counseling

Discussion Objectives

- What is public relations/publicity?
- Pick the public relations activities.

Session 41

Reading Text

Salesmanship / Personal Selling

The goal of all marketing efforts is to increase profitable sales by offering want satisfaction to consumers over the long run. Personal selling is by far the major promotional method used to reach this goal.

Meaning of Personal Selling

Personal selling can be defined as follows:-

- The personal communication of information to persuade somebody to buy something.
- The individual, personal communication of information, in contrasts to the mass, impersonal communication of advertising, sales promotion, and other promotional tools.



This means that the personal selling is more flexible than these other tools. Sales people can tailor their presentation to fit the needs and behavior of individual customers. Sales people can see their customer's' reaction to a particular sales approach and make adjustments on the spot.

Also, personal selling usually can be focused or pinpointed on prospective customers, thus minimizing wasted effort. In contrast, much of the cost of advertising is spent on sending messages to people who is no way are real prospects.

Another advantage of personal selling is that its goal is to actually make a sale. Other forms of promotion are designed to move a prospect closer to a sale.

Advertising can attract attention, provide information, and arouse desire, but seldom does it stimulate buying action or complete the transfer of title from seller to buyer.

A major limitation of personal selling is its high cost. Even though personal selling can minimize wasted effort, the cost of developing and operation sales force is high. Another disadvantage is that a company often is unable to attract the quality of people needed to do the job.

Buyers placing routine reorders or new orders for standardized products by telephone or computer use less of their time than in –person sales calls. Sellers face increasingly high cost keeping sales people on the road; selling by telemarketing reduces that expense.

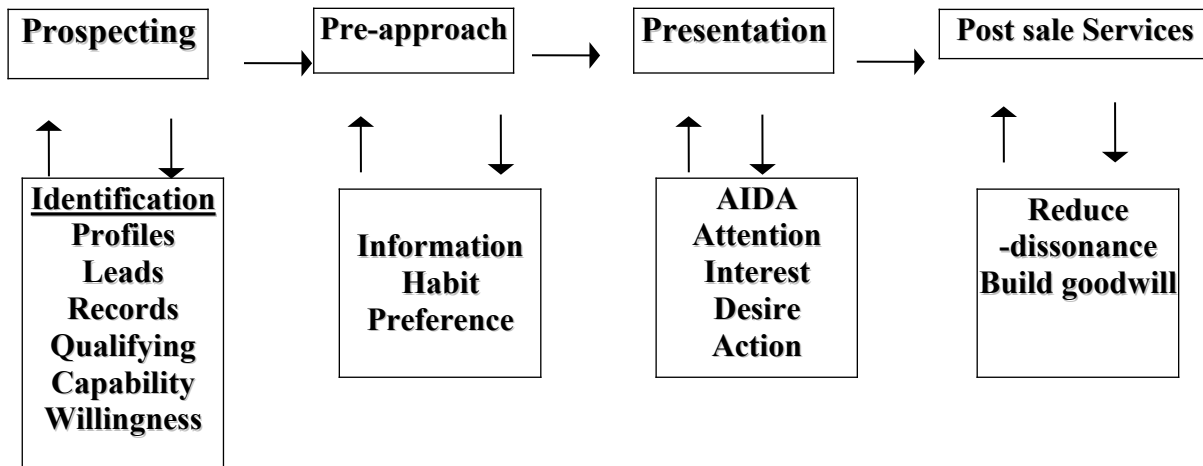
Also, routine selling by creating allows the field sales force to devote more time to creating. Selling, major account selling, and other more profitable selling activities.

Process of Personal Selling

The personal selling process is a logical sequence of four steps that a sales person takes in dealing with prospective buyer. This process leads, hopefully, to some desired customer action and ends with a follow-up to ensure customer satisfaction. The desired action usually is to get the customer to buy a good or a service.



The four-step process may be illustrated as follows.



1. Prospecting

The first step in the personal selling process is called prospecting. It consists of first identifying potential customers and then qualifying them – that is, determining whether they have the necessary purchasing power, authority, and willingness to buy.

- **Identifying prospective customers**

A representative may start the identification process by drawing up a profile of the ideal prospect. Records of past and current customers can help determine characteristics of an ideal prospect. From this profile a seller can start a list of potential customers.

Many other sources can be used to build the list of prospects. The representative's sales manager may prepare a list; current customers may need leads; trade association and industry directories can be a good source; and leads can come from people mailing in a coupon or phoning.

- **Qualifying the prospect**

After identifying prospective customers, a seller should qualify them- that is, determine whether they have the necessary willingness, Purchasing power, and authority to buy.

- To determine willingness to buy, a seller can seek information about a prospect's relationship with its present suppliers.
- To determine a prospect's financial ability to buy, a seller can refer to credit-rating services. For a household consumer or small business in an area, a seller can get information from a local credit bureau.



Identifying who has the authority to buy in a business or a household can be difficult. In a business the buying authority may rest with a committee or an executive. Besides determining the buying authority, a seller should also identify the one or more persons who influence the buying decision.

2. Pre-approach to Individual Prospects

Before calling on prospect, sales people should learn all they can about the persons or companies to whom they hope to sell. This Pre-approach in selling might include finding out what products the prospects are now using and their reaction to these products. In business-to-business selling, a sales person selling team should find out how buying decisions are made in customer's organization.

3. Presenting the Sales Message

With the appropriate Pre approach information, a sales person can design a sales presentation that will attract the prospect's attention. The sales person will then try to hold the prospect's interest while building a desire for the product, and when the time is right, attempt to stimulate action by closing the sale. This approach, called AIDAS (an acronym for Attention, interest, Desire, Action and satisfaction).

- a. **Attract Attention -The Approach:** - The first task in a sales presentation is to attract the prospect's attention and to generate curiosity .In cases where the prospect is aware of a need and is seeking a solution; simply stating the seller's company and product will be enough. However, more creativity often is required.
- b. **Hold interest and Arouse desire:** - After attraction the prospect's attention, the sales representative can hold it and stimulate a desire for the product with a sales talk, There is no common pattern here. Usually, however, a product demonstration is invaluable. Whatever pattern is followed is the talk; the sales person must always show how the product will benefit the prospect.
- c. **Meet Objections and Close the Sale:** - After exploring the product and its benefits, a sales person should try to close. The sale-that is, obtain the customer's agreement to buy. (Achieving the desired action)

A sales person should encourage buyers to state their objections. Then the sales person has an opportunity to meet the objections and to bring at additional product benefits or reemphasis previously stated points. The toughest objections to answer are those that are unspoken.



4. Post Sale Services

An effective selling job does not end when the order is written up. The final stage of a selling process is a series of Post sale activities. That can build customer good will and lay the groundwork for future business. An alert sales person will follow up sales to ensure that no problems occur in delivery, financing, installation, employee training, and other areas that are important to customer satisfaction.

In this final stage of the selling process, a sales person can minimize the consumer's dissonance by: Summarizing the products benefit after the purchase, Repeating why the product is better than alternatives chosen and Emphasizing how satisfied the customer would be with the product.

Lecture Synopsis

- Personal selling is a personal communication of information to persuade somebody to buy something.
- The four-step process may be illustrated as follows.
 - Prospecting
 - Identifying prospective customers
 - Qualifying the prospect
 - Pre-approach to Individual Prospects
 - Presenting the Sales Message
 - Meet Objections and Close the Sale: -
 - Post Sale Services: -

Discussion Questions

- Discuss personal selling/direct marketing
- Pick the process of personal selling



Unit 12

Customer Service

Module 12

Introduction

A business exists to furnish products or services. In a very real sense, profits are merely a measure- although an important one - of how well a company serves its customers. New products or services, more than any other single factor, determine what an enterprise is or will be. The key question in this area can be summarized as follows: What is our business?, Who are our customers?, What do our customer want?. How much will our customer buy & at what price? Etc

Too many companies think that it is the marketing / sales department's job to procure customers. If that department cannot, the company draws the conclusion that its marketing people aren't very good. But, infect, marketing is only one factor in attracting and keeping customers. The best marketing department in the world cannot sell products that are poorly made or fail to meet any one's need. The marketing department can be effective only in companies whose various departments and employees have designed and implemented a competitive superior customer value -delivery system.

Today's companies are facing their toughest competition ever. How companies can go about wining customers and outperform competition? The answer lies in doing a better job of meeting and satisfying customer needs. Only customer-centered companies are adept at building customers, net just building products.

Today's customers face a vast array of product and brand choices, prices & suppliers. How do customers make their choices? Customers form an expectation of value & act on it. Whether or not the offer lives up to the value expectation affects customer satisfaction and their repurchase probability.

Learning Objectives

After studying this unit, you will be able to:

- Understand nature and classification of services
- Explain the characteristics of services, and the marketing implication
- Internalize marketing strategies service firms adopt
- Comprehend the determinants of service quality



Session 42

Reading Text

Nature and Classification of Services

The service can be defined as follows:-

“A service is any act or performance that one party offers to another that is essentially intangible and does not result in the ownership of anything. Its production may or may not be tied to a physical product’. A company’s offer to the market place often includes some services. The service component can be a minor or a major part of the total offer. Five categories of offer can be distinguished.

1. **Pure tangible good:** the offer consists primarily of a tangible good such as soap, toothpaste, or salt. No services accompany the product.
2. **Tangible good with accompanying services:** the offer consists of a tangible good accompanied by one or more services to enhance its consumer appeal. E.g. The more technologically sophisticated the generic product (E.g. cars and computers), the more dependent are its sales on the quality and availability of its accompanying customer services (E.g. display more delivery, repair and maintenance, advice application aids, operator training, installation advice, warranty fulfillment).
3. **Hybrid:** the offer consists of equal parts of goods and services. E.g. people patronize restaurants for both their food and their services.
4. **Major service with accompanying minor goods and services:** the offer consists of a major service along with additional service and /or supporting goods. E.g. Airline passengers are buying transportation service. They arrive at their destinations without anything tangible to show for their expenditure. However, the trip includes some tangibles, such as food and drinks, an airline magazine.
5. **Pure service:** The offer consists of primarily of a service. E.g. baby-sitting, psychotherapy, and massages.

Characteristics of Services

Services have four major characteristics that greatly affect the design of marketing programs: Intangibility, inseparability, variability, and perishability.



A. Intangibility: Services are intangible. Unlike physical products, they cannot be seen, tasted, felt, heard or smelled before they are bought. To reduce uncertainty, buyers will look signs of evidence of the service quality. They will draw inferences about service quality from the place, people, equipment, communication material, symbols and prices that they see.

Therefore, the service providers task is to “manage the evidence,” to “tangible the intangible”.

Suppose a bank wants to position itself as the “fast” bank. It could make this positioning strategy tangible through a number of marketing tools.

- 1. Place:** The banks physical setting must enable quick service. The banks exterior and interior should have clean lines. The layout of the desks and the traffic flow should be planned carefully. Lined should not get overly long.
- 2. People:** The bank personnel should be busy. There should be a number of employees to manage the workload.
- 3. Equipment:** The banks equipment- computers, copying- machines, desks- should be and look “state of the art”.
- 4. Communication material:** The banks communication material- text and photos- should suggest efficiently and speed.
- 5. Symbols:** The bank should choose a name and symbol suggesting its fast service.
- 6. Price:** The bank could advertise that it will deposit \$5 in the account of any customer who waits in live for more than five minutes.

B. Inseparability: Service are typically produced and consumed simultaneously. This is not true of physical goods, which are manufactured, put into inventory, distributed through multiple resellers, and consumed still later. If a person renders the service, then the provider is part of the service. Since the client is also present as the service is produced, provider- client interaction is a special feature of service marketing.

C. Variability: Because they depend on who provides them and when and where they are provided, services are highly variable. Some doctors have an excellent bedside manner and are very good with children; other are more gruff and have less patience with children. Some surgeons have a track record of success in performing a certain type of operation; other surgeons are less successful in this area. Service buyers are aware of this high variability and frequently talk to others before selecting a service provider.



Service firms can take three steps toward quality control.

- Investing in good human resources selection and training.
- Standardizing the service- performance process throughout the organization. This is helped by preparing a service blue print that depicts the service events and processes in a flow chart, with the objective of recognizing potential service fail points.
- Monitoring customer satisfaction through suggestion and complaint systems, customer survey, and comparison-shopping, so that poor service can be detected and corrected.

D. Perishability: Service cannot be stored. Some doctors charge patients for missed appointments because the service value existed only at that point. The perishability of service is not a problem when demand is steady because it is easy to staff the services in advance. When demand fluctuates, service firms have difficult problems.

Customer Value and Satisfaction

Marketing theory and practice developed initially in connection with physical products such as toothpaste, cars and steel. Service industries are quite varied. Some of these service providers are:

- The government sector, with its courts, employment services, hospitals, etc.
- The private nonprofit sectors, with museums, charities, churches, colleges etc.
- The business sector, with its, airlines banks computer service bureaus, hotels, insurance companies etc.
- Many workers in the manufacturing sector, such as the computer operators, accountants and legal staff.

Strategies for producing a better match between demand and supply in a service business include the following.

1. Customer Value

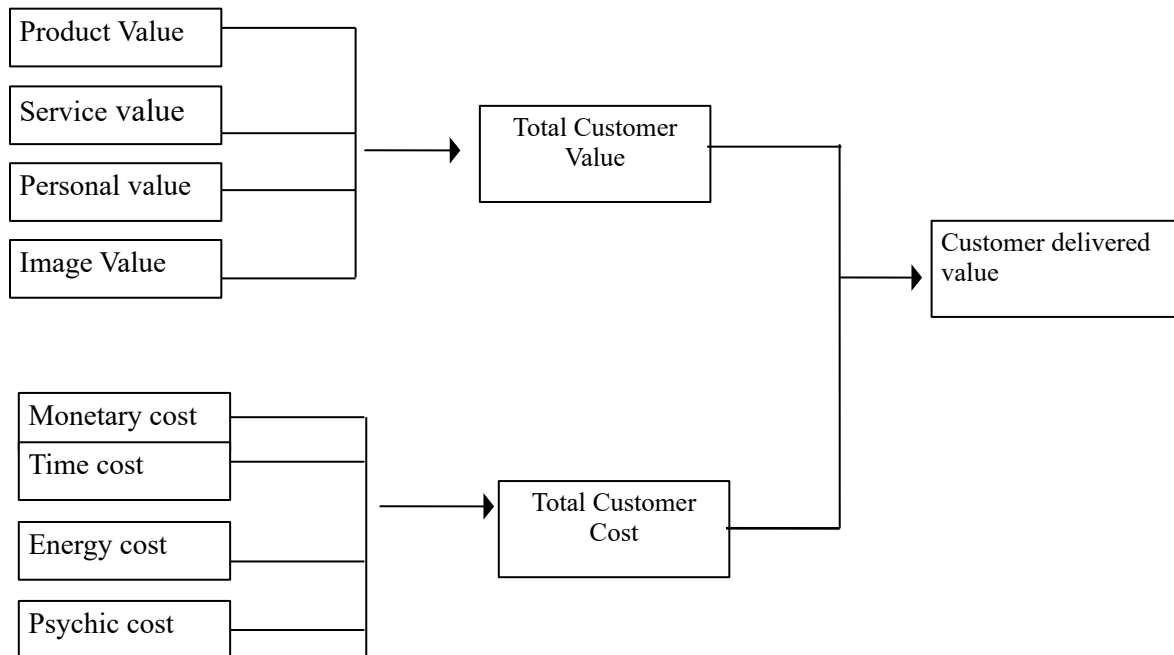
The buyers will buy from the firm that they perceive to offer the highest customer delivered value. Customer delivered value is the difference between total customer value and total customer cost. Total customer value is the bundle of benefits customers expect from a given product or service. Total customer cost is the bundle of costs customers expect to incur in evaluating, obtaining, and using the product or service.

Eg. A firm can improve its offer in three ways.



1. First, it can increase total customer value by improving product, services, personnel, and or image benefits.
2. Second it can reduce the buyer's non-monetary costs by lessening the buyer's time, energy, & psychic costs.
3. Third it can reduce its products monetary costs to the buyer.

Determinants of Customer Delivered Value



Suppose the buyer for a large construction company wants to buy a tractor. He will buy it from either caterpillar or komatsu. The competing sales people carefully describe their respective offers to the buyer.

The buyer has a particular tractor application in mind: He would like the tractor to deliver certain levels of reliability, durability, and performance. He also perceives caterpillar's personnel to be more knowledgeable and responsive. Finally, he places higher value as caterpillar's corporate image. He adds all the values from these four sources – product, services, personnel, and image- and perceives caterpillar as offering more total customer value. He also examines the total customer cost of transacting with caterpillar versus Komatsu.



This total customer cost, in addition to monetary cost, includes the buyer's time, energy, and psychic costs. The buyer evaluates these costs along with the monetary cost to form a picture of total customer cost.

After calculating the cost, the buyer considers whether caterpillar's total customer cost is too high in relation to the total customer value that caterpillar delivers. If it is, the buyer might buy the Komatsu tractor. The buyer will buy from whoever offers the highest delivered value. Given the importance of customer value & satisfactions, what does it take to produce and deliver them? To answer this question, we need to discuss the concept of a value chain and value-delivery systems.

2. Value Chain

Michel porter of Harvard proposed the value chain as a tool for identifying ways to create more customer value. Every firm is a collection of activities that are performed to design, produce, market, deliver and support its product. The value chain identifies nine strategically relevant activities that create value and cost in a specific business. These nine value-creating activities consist of five primary activities and four support activities.

The primary activities represent the sequence of buying materials in to the business (inbound logistics), converting them in to final products (operations), shipping out final products (outbound logistics), marketing them (marketing and sales), and servicing them (service). The support activities-procurement, technology development, human resource management, and firm infrastructure – are handled in certain specialized departments, but not only there.

The firm's task is to examine its costs and performance in each value-creating activity and to look for ways to improve it. The firm should estimate its competitors. Cost and performance: as benchmarks, against which to compare its own costs and performances. To the extent that it can perform certain activities better than its competitors, it can achieve a competitive advantage.

Eg. A credit department may take a long time to check a prospective, customer credit so as not incur bad debts, waits meanwhile, the customer waits and the salesperson frustrated.

The solution to this problem is to place more emphasis on the smooth management of core business processes most of which involve cross- functional inputs and cooperation. The core business processes include.



1. **New product realization process:** - All the activities involved in researching, developing, and launching new high-quality products quickly and within budget.
2. **Inventory management process:** - All the activities involved in developing and managing the inventory levels of raw materials, semi finished materials, and finished goods so that adequate supplies are available and the cost of overstocks are low.
3. **Order to remittance process:** - All the activities involved in receiving and approving orders, shipping the goods on time, and collecting payment.
4. **Customer service process:** - All the activities involved in making it easy for customers to reach the right parties within the company and receive quick and satisfactory service, answers, and resolutions of problems.

Strong companies are those that develop superior capabilities in managing these core processes.

3. Value delivery network

To be successful the firm also needs to look for competitive advantages beyond its own operations, into the value chains of its suppliers, distributors, and customers. Faced with intense competition, many companies today have partnered with specific suppliers and distributors to create a superior value-delivery network.

E.g. A company may learn that its product is fast selling, the next day it puts an order from its material suppliers. In this way partners in the supply chain use the most current sales to manufacture what is selling rather than to manufacture for a forecast. In this quick response system, the goods are pulled by demand rather than pushed by supply.

4. Relationship Marketing

To understand customer relationship marketing, we must first examine the process involved in attracting and keeping customers. The starting point is a suspect, everyone who might conceivably buy the product or service.

The company looks hard at the suspects to determine who are the most likely prospects-the people who have a strong potential interest in the product and the ability to pay for it. Disqualified prospects are those whom the company rejects because they have poor credit or would be unprofitable.



The company hopes to convert many of its qualified prospects into first time customers, and to then convert those satisfied first time customers into repeat customers. Both first time and repeat customers may continue to buy from competitors as well. The company that acts to convert repeat customers into clients- people who buy only from company in the relevant product categories. The next challenge is to turn client into advocates, customers who praise the company and encourages other to buy from it.

The ultimate challenge is to turn advocates into partners, where the customer and the company work actively together. At the same time, it must be recognized that some customers will inevitably become inactive or drop out, for reasons of bankruptcy, moves to other locations, dissatisfaction, and so on. The company's challenge is to reactivate dissatisfied customers through customer win-back strategies. It is often easier to re-attract ex-customers than to find new ones.

Developing more loyal customers increases the company's revenue. However, the company has to spend more to build greater customer loyalty. Development of customer loyalty will be more profitable in some businesses than in others. How much should a company invest in customer-relationship building is so that the costs do not exceed the gains? We need to distinguish five different levels the gains? We need to distinguish five different levels of company investment in customer-relationship building.

- 1. Basic marketing:-** The salesperson simply sells the product
- 2. Reactive marketing:** - The salesperson sells the product and encourages the consumer to call if he or she has any questions, comments, or complaints.
- 3. Accountable marketing:** - The salesperson phones the customer a short time after the sale to check whether the product is meeting the customer's expectations. The sales person also asks the customer for any product or service improvement suggestions and any specific disappointment. This information helps the company continuously improve its performance.
- 4. Proactive marketing:** - The company salesperson contacts the customer from time to time with suggestions about improved product used or helpful new products.
- 5. Partnership marketing:** - The company works continuously with the customer discover ways to effect customer savings or help the customer perform better.



What specific marketing tools can a company use to develop stronger customer bonding & satisfaction? Berry and Parasuraman have distinguished three customer value-building approaches: Adding financial benefits, adding social benefits, and adding structural ties.

1. Adding Financial Benefits: - Two financial benefits that companies can offer are frequency marketing programs and club marketing programs.

Frequency marketing programs (fmps) are designed to provide rewards to customers who buy frequently and/or in substantial amounts. Frequency marketing is an acknowledgment of the fact that 20% of a company customer might account for 80% of its business.

Many companies have created affinity groups, or clubs. Among their customers to bond them closed to the company. Club membership may be offered automatically up on purchase or promised purchase of a certain amount, or by paying a fee.

2. Adding Social benefits: - Here company personnel work on increasing their social bonds with customers by individualizing and personalizing their customer relationship. In essence thoughtful companies turn their customers in to clients. Donnelly, Berry and Thompson draw this distinction:

Customers may be nameless to the institution; clients cannot be nameless. Customers are served as part of the mass or as part of larger segments; clients are served on an individual basis. Customers are served by anyone who happens to be available; clients are served by the professional assigned to them.

3. Adding Structural Ties: - The company may supply customers with special equipment or computer linkage that help customers manage their orders, payroll, inventory and so on.

Customer Satisfaction

Whether the buyer is satisfied after purchase depends on the offer's performance in relation to the buyer's expectation. In general: - Satisfaction is a person's feelings of pleasure or disappointment resulting from comparing a product's perceived performance (or outcome) in relation to his or her expectation.

As this definition makes clear, satisfaction is a function of perceived performance and expectation. If the performance fails short of expectations, the customer is dissatisfied. If the



performance matches the expectations, the customer is satisfied. If the performance exceeds expectations, the customer is highly satisfied or delighted. The main reason to satisfy customers is to retain them. Because the satisfied customer: Stays loyal longer, buys more as the company introduce new products and upgrades existing products, talks favorably about the company & its products, pays less attention to competing brands & advertising and is less sensitive to price, offers product/service ideas to the company and costs less to serve than new customers because transactions are routines.

Thus a company would be wise to measure its customer satisfaction. E.g. The Company could phone a sample of recent buyers and inquire how many are highly satisfied, somewhat satisfied, indifferent, somewhat dissatisfied, & highly dissatisfied.

The marketer's argument for embracing the marketing concept is simple;

- The company's assets have little value without the existence of customers
- The key company task is therefore to attract & retain customers.
- Customers are attracted through competitively superior offers and retained through satisfaction
- Marketing's task is to develop a superior offer and deliver customer satisfaction.
- Customer satisfaction is affected by the performance of the other departments.
- Marketing needs to influence these other departments to cooperate in delivering customer satisfaction.

Although the customer-centered firm seeks to create high customer satisfaction, its main goal is not to maximize customer satisfaction. First the company can increase customer satisfaction by lowering its price or increasing its services, but the result may be lower profits. Second, the company might be able to increase its profitability by means other than increased satisfaction.

(E.g.- by improving manufacturing process or investing more in R&D)

Third, the company has many stakeholders, including employees, dealers, suppliers, and stakeholders. Spending more to increase customer satisfaction might divert funds from increasing the satisfaction of the 'partners'.



Ultimately, the company must operate on the philosophy that it is trying to deliver a high level of customer satisfaction subject to delivering at least acceptable levels of satisfaction to the others stakeholders with in the constants of its total resources.

Although the customer-centered firm seeks to satisfy its customers, the customer satisfaction must be tracked and be analyzed from time to time. Firms use certain tools for tracking and measuring the customer satisfaction. The tools used for tracking customer satisfaction by many firms are illustrated as follows:-

i. Managing Service Quality

One of the major ways to differentiate a service firm is to deliver consistently higher quality service than competitors. The key is to meet or exceed the target customers' quality expectations. Customer expectations are formed by their past experiences, word of mouth, and service-firm advertising. The customers choose providers on these bases and, after receiving the service, compare the perceived service with the expected service. If the perceived service fall below the expected service, customers lose interest in the provider. If the perceived service meets or exceeds their expectations, they are apt to use the provider again.

The five gaps that cause unsuccessful service delivery are as follows:-

1. Gap between consumer's expectation and that of management perception: - management does not perceive correctly what customer want
2. Gap between management perception and service quality specifications: - Management might correctly perceive the customers wants but not set a specified performance standard.
3. Gap between service quality specification and service delivery: - The personnel might poorly trained or incapable of or unwilling to meet the standard. or they may be held to conflicting standards, such as taking time to listen to customers and serving them quickly.
4. Gap between service and external communications: - consumer expectations are affected by statements made by company representatives and ads. If customers did not find what has been said, then the external communications have distorted the customers' expectations.
5. Gap between perceived service and expected service: - This gap occurs when the consumer misperceives the service quality.



Five Determinants of Service Quality

The determinants of service quality in order of their importance as rated by customers are:-

1. **Reliability:** The ability to perform the promised service dependably and accurately.
2. **Responsiveness:** The willingness to help customers and to provide prompt service.
3. **Assurance:** The knowledge and courtesy of employees and their ability trust and confidence.
4. **Empathy:** The provision of caring, individualized attention to customers and
5. **Tangibles:** The appearance of physical facilities, equipment, personnel and communication materials.

Various studies have shown that excellently managed service companies share the following common practices:- a strategic concept, a history of top management commitment to quality, high standards, systems for monitoring service performance, systems for satisfying customers complaints, and an emphasis on employee and customer satisfaction.

ii. Implementing Total Quality Marketing

Today's executives view the task of improving product & service quality as their top priority. The success of many Japanese companies is due to the exceptional quality of their products. Most customers will no longer accept or tolerate average quality performance. If companies want to stay in the race, let alone be profitable, they have no choice but to adapt total quality management (TQM).

Total quality management (TQM) is an organization -wide approach to continuously improving the quality of all the organizations processes, products, and services.

According to general electric's chairman, John. F. Welch, jr. "quality is our best assurance of customer allegiance, or strongest defense against foreign competition, and the only path to sustained growth and earnings".

There is an intimate connection among product and service quality, customer satisfaction, and company profitability. Highness levels of quality result in higher levels of customer satisfaction while supporting higher process and (often)-lower costs. Therefore, quality improvement programs (QIP_s) normally increase profitability.



But what exactly is quality? Various experts have defined it as “fitness for use "conformance to requirements" "freedom from variation," and so on. The American society for quality control has defined quality is the totality of feature and characteristic of a product or services that has been on its ability to satisfy stated or implied needs.

This is clearly a customer-centered definition of quality. We can say that the seller has delivered quality whenever the seller’s product or service meets or exceeds the customer’s expectations. A Company that satisfies most of its customer’s needs most of the time is called a quality company. Total quality is the key to value creation and customer satisfaction. Total quality is every one’s job. This idea was expressed well by Daniel Beckham; “

Marketer’s who don’t learn the language of quality improvement, manufacturing, and operation will become Obsolete. The day of functional marketing is gone. We can no longer afford to think of ourselves as market researchers, advertising people, direct marketers, strategists we have to think of ourselves as customer satisfiers - customer advocates focused on whole processes.”

Marketers play several roles in helping their company define and deliver high quality goods and services to target customers. One implication of TQM is that marketing people must spend time and effort not only to improve external marketing but also to improve internal marketing. The marketer must complain like the customer complains when the product or the service is not right. Marketing must be the customer’s watch day or guardian, and must constantly hold up the standard of “giving the customer the best solution”.

Marketing Strategies for Service Firms

Until recently, service firms lagged behind manufacturing firms in their use of marketing. Many service business are small.(shoe repair, barbershops) and don't use formal management or marketing techniques. There are also professional service business (law and accounting firms) that formerly believed it was unprofessional to use marketing. Other service business (Colleges, Hospitals) faced so much demand or so little competition until recently that they saw no need for marketing. But all of this is changing.

Traditional 4p marketing approaches often work well for goods, but additional elements require attention in service businesses. The addition of three Ps involved in service marketing are: People, Physical evidence and Process.



1. People: Because most service are provided by people, the selection, training and motivation of employees can make a huge difference in customer satisfaction ideally, employees should exhibit competence, a caring attitude, responsiveness, initiative, problem solving ability, and goodwill.

2. Process: Service companies can choose among different processes to deliver their service. Thus restaurants have developed such different formats as cafeteria- style, fast food, buffet and candlelight service.

In line of this complexity, service marketing requires not only external marketing but also internal and interactive marketing. External marketing describes the normal work done by the company to prepare, price, distribute and promote the service to customers. Internal marketing describes the work done by the company to train and motivate its employees to serve customer well. The most important contribution the marketing department can make is to be "Exceptionally clever in getting everyone else in the organization to practice marketing". Interactive marketing describes the employees' skill in serving the client. Service providers must deliver "high touch" as well as " high tech " to be successful

3. Physical Evidence: Companies also try to demonstrate their service quality through physical evidence and presentation. Thus a hotel will develop a look and observable style of dealing with customer that carries out its intended customer- value proposition, whether it is cleanliness, speed some other benefit.

Lecture Synopsis

- A service is any act or performance that one party offers to another that is essentially intangible and does not result in the ownership of anything. Its production may or may not be tied to a physical product.
- Services have four major characteristics that greatly affect the design of marketing programs: Intangibility, inseparability, variability, and perishability.
- One of the major ways to differentiate a service firm is to deliver consistently higher quality service than competitors. The key is to meet or exceed the target customers' quality expectations.



- Customer expectations are formed by their past experiences, word of mouth, and service-firm advertising.
- The customers choose providers on these bases and, after receiving the service, compare the perceived service with the expected service.
 - If the perceived service fall below the expected service, customers lose interest in the provider.
 - If the perceived service meets or exceeds their expectations, they are apt to use the provider again.
- The determinants of service quality in order of their importance as rated by customers are: Reliability, Responsiveness, Assurance, Empathy and Tangibles.

Wrap – up Questions

- Explain the characteristics of service?
- What are the 3Ps added to service?
- What are the determinants of service quality?
- What are the gaps for successful service?

Session 43 – 45

Revision and conclusion of the course in the given semester.